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FIDELITY NATIONAL TITLE INSURANCE CO.

WHEN RECORDED MAIL TO:

IRVINE COMMUNITY DEVELOPMENT COMPANY
550 NEWPORT CENTER DRIVE
NEWPORT BEACH, CA 92660
ATTN: GENERAL COUNSEL

ORDER NO.

Recorded in Official Records, Orange County

Tom Daly, Clerk-Recorder



567.00

2004000812423 03:24pm 09/08/04

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(SPACE ABOVE THIS LINE FOR RECORDER'S USE)

MASTER DECLARATION OF COVENANTS,
CONDITIONS AND RESTRICTIONS,
AND RESERVATION OF EASEMENTS FOR
WOODBURY

THIS DOCUMENT IS BEING RECORDED TO ADD PAGE 2 OF EXHIBIT "B"

THIS PAGE ADDED TO PROVIDE ADEQUATE SPACE FOR RECORDING INFORMATION
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Tom Daly, Clerk-Recorder

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FIDELITY NATIONAL TITLE
INSURANCE COMPANY



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When recorded return to:

IRVINE COMMUNITY DEVELOPMENT COMPANY LLC
550 Newport Center Drive
Newport Beach, CA 92660
Attn: General Counsel

**MASTER DECLARATION OF COVENANTS,
CONDITIONS AND RESTRICTIONS,
AND RESERVATION OF EASEMENTS FOR
WOODBURY**

(A Residential Master Planned Community)

**NOTE: ARTICLE V, SECTION 14 OF THIS MASTER
DECLARATION INCLUDES PROVISIONS WHICH REQUIRE
CERTAIN DISPUTES TO BE RESOLVED THROUGH JUDICIAL
REFERENCE AND WAIVE THE CONSTITUTIONAL RIGHT TO
TRIAL BY JURY AND THE RIGHT TO PUNITIVE DAMAGES.**

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EXHIBITS

EXHIBIT A LEGAL DESCRIPTION OF THE PROPERTY

EXHIBIT B LEGAL DESCRIPTION OF THE ANNEXABLE PROPERTY

EXHIBIT MAP LEGAL DESCRIPTION AND/OR DEPICTION OF THE MASTER
ASSOCIATION PROPERTY IN THIS FIRST PHASE OF
THE COMMUNITY

MASTER DECLARATION OF COVENANTS,
CONDITIONS AND RESTRICTIONS,
AND RESERVATION OF EASEMENTS FOR
WOODBURY

THIS MASTER DECLARATION OF COVENANTS, CONDITIONS AND RESTRICTIONS, AND RESERVATION OF EASEMENTS FOR WOODBURY (hereinafter referred to as the "Master Declaration") is made this 27th day of August, 2004 by IRVINE COMMUNITY DEVELOPMENT COMPANY LLC, a Delaware limited liability company (hereinafter referred to as "Declarant"). (Various capitalized words and phrases used in the following Recitals are defined in Article I hereinbelow.)

RECITALS:

A. Lennar Homes of California, Inc., a California corporation (hereinafter referred to as "Lennar") owns that certain real property located in the City of Irvine, County of Orange, State of California, more particularly described in **Exhibit "A"** attached hereto (hereinafter referred to as the "Property"). (Lennar constitutes a "Merchant Builder" as defined herein.)

B. Declarant and/or Lennar also owns that certain real property located in the City of Irvine, County of Orange, State of California, more particularly described on **Exhibit "MAP"** attached hereto (hereinafter referred to as the "Master Association Property").

C. Declarant and/or Merchant Builders also own fee title to or an easement over, or otherwise may acquire rights, responsibilities and/or obligations that affect any or all of that certain real property located in the City of Irvine, County of Orange, State of California, more particularly described in **Exhibit "B"** attached hereto (hereinafter referred to as the "Annexable Property");

D. Declarant on behalf of itself and all of the Merchant Builders desires that the Property, the Master Association Property and all portions of the Annexable Property which are annexed thereto pursuant to this Master Declaration (hereinafter collectively referred to as

the "Community") be developed as a common interest development pursuant to the Davis-Stirling Common Interest Development Act (California Civil Code Sections 1350, et seq.) and constitute a "Master Planned Development" (as defined in Section 2792.32 of Title 10 of the California Code of Regulations) commonly known as "Woodbury;"

E. As presently planned, the Community will include a variety of residential housing products, including, but not limited to, single family homes constructed on a separate Lot (detached and attached), Condominiums (attached and detached) and Apartments;

F. Some of the housing products may be included within a Planned Development or a Condominium Project so as to be subject to the jurisdiction of a Sub-Association as well as the Master Association referenced below;

G. Declarant on behalf of itself and all of the Merchant Builders deems it desirable to establish a general plan for the development, maintenance, care, improvement, protection, use, occupancy and management of the Community, and in furtherance thereof, to impose protective covenants, conditions, restrictions, reservations, easements, equitable servitudes, liens and charges (hereinafter collectively referred to as the "Protective Covenants") on the Community for the purpose of protecting and preserving the desirability and attractiveness of the Community;

H. Declarant on behalf of itself and all of the Merchant Builders further deems it desirable for the efficient implementation and enforcement of the Protective Covenants to create a corporation that will be responsible for managing the Community and, in furtherance thereof, will be assigned the powers and duties of administering, implementing and enforcing the Protective Covenants set forth herein;

I. WOODBURY COMMUNITY ASSOCIATION, a nonprofit, mutual benefit corporation (hereinafter referred to as the "Master Association") has been or will be incorporated under the laws of the State of California for the purpose of managing the Community and exercising the aforesaid powers and duties;

J. If any portion of the Annexable Property is developed as a Planned Development or a Condominium Project and is annexed into the Community, Declarant and/or any Merchant Builder (with Declarant's consent) may record a Supplemental Declaration imposing such covenants, conditions and restrictions as are reasonably necessary to provide for the administration, operation and maintenance of such Planned Development or Condominium

Project, and may cause a Sub-Association to be incorporated under the laws of the State of California that will be responsible for managing such Planned Development or Condominium Project and that will be assigned the powers and duties of administering, implementing and enforcing the covenants, conditions and restrictions set forth in the Supplemental Declaration, including, without limitation, the power to assess the Owners within the Planned Development or Condominium Project for the costs to manage, administer, operate and maintain such Planned Development or Condominium Project; and

K. Declarant and each Merchant Builder shall convey any and all portions of the Community subject to the Protective Covenants set forth herein.

NOW, THEREFORE, Declarant, for and on behalf of itself and all of the Merchant Builders, hereby establishes a general plan for the development, maintenance, care, improvement, protection, use, occupancy and management of the Community, and declares that the Property, the Master Association Property and all portions of the Annexable Property annexed thereto pursuant to this Master Declaration shall be held, sold, conveyed, encumbered, hypothecated, leased, used, occupied and improved subject to the Protective Covenants set forth herein. Each and all of the Protective Covenants set forth herein shall run with the Community and shall be binding upon and inure to the benefit of Declarant and all of the Merchant Builders and their respective successors, assigns and grantees.

ARTICLE I

DEFINITIONS

Section 1. “Annexable Property” shall mean and refer to that certain real property described in **Exhibit “B”** attached hereto, including all Improvements constructed thereon, all or any part of which may be annexed from time to time into the Community and made subject to this Master Declaration and to the jurisdiction of the Master Association by the Declarant (or by a Merchant Builder with Declarant's consent) as set forth in the Article herein entitled “Annexation of Additional Property.” The Annexable Property consists of real property that Declarant and/or a Merchant Builder owns fee title to or an easement over, and also consists of real property that may be subject to various rights and/or obligations imposed by a Public

Agency in connection with the development of the Community that are intended to be exercised and/or performed by the Master Association.

Section 2. "Apartment" shall mean and refer to the individual dwelling located within an Apartment Building intended for rental or lease to persons for residential purposes.

Section 3. "Apartment Area" shall mean and refer to one or more Lots (or a legal subdivisions thereof) within the Annexable Property which have been or will be improved with one or more Apartment Buildings and which are designated by Declarant (or by a Merchant Builder with Declarant's consent) herein or in a Notice of Annexation as constituting an Apartment Area.

Section 4. "Apartment Building" shall mean and refer to any building constructed on a Lot (or a legal subdivision thereof) containing two (2) or more Apartments.

Section 5. "Articles" shall mean and refer to the Articles of Incorporation of Woodbury Community Association, as filed in the Office of the Secretary of State of the State of California, as such Articles may be amended from time to time.

Section 6. "Assessments" is used herein as a generic term to mean and refer to the following:

(a) "Regular Assessment" shall mean and refer to the annual charge against each Owner and his respective Lot or Condominium representing a portion of the Common Expenses of the Master Association.

(b) "Special Assessment" shall mean and refer to the charge against an Owner and his respective Lot or Condominium representing a portion of the costs incurred by the Master Association to: (i) repair or reconstruct any portion or portions of the Master Association Property or Maintenance Areas which have been destroyed or damaged by fire or other casualty; (ii) construct or install capital improvements to the Master Association Property or Maintenance Areas; or (iii) take any extraordinary action for the benefit of the Master Association Property, Maintenance Areas or the membership of the Master Association pursuant to the provisions of this Master Declaration.

(c) "Compliance Assessment" shall mean and refer to the charge against an Owner (or a Sub-Association) imposed by the Board after Notice and

Hearing for: (i) the costs incurred by the Master Association to bring an Owner and his Lot or Condominium (or a Sub-Association and/or its Sub-Association Property) into compliance with this Master Declaration; and/or (ii) any amount due the Master Association (e.g., a monetary penalty) based upon discipline imposed by the Board against an Owner in accordance with this Master Declaration for a violation of the Master Association Documents.

(d) "Damage Reimbursement Assessment" shall mean and refer to the charge against an Owner and his respective Lot or Condominium (or against a Sub-Association) imposed by the Board after Notice and Hearing as a means of reimbursing the Master Association for all costs incurred to repair or replace any damage to the Master Association Property, Maintenance Areas and/or Special Benefit Improvements which the Board reasonably determined was caused by the negligent or intentional acts or omissions of an Owner, the members of his family or his tenants, lessees or invitees (or by a Sub-Association).

(e) "Special Benefit Assessment" shall mean and refer to the charge levied by the Master Association against an Owner and his respective Lot or Condominium to cover the Special Benefit Expenses which have been or will be incurred by the Master Association on behalf of the respective Special Benefit Area and which are allocable only to the Owners and their respective Lots or Condominiums within such Special Benefit Area.

Section 7. "Best Management Practices" shall mean and refer to those certain structural (i.e., physical improvements) and non-structural (i.e., activities and educational information) water quality management practices set forth in, or otherwise required pursuant to, the Water Quality Management Plans prepared in connection with the development of the Community. The structural Best Management Practices may include, without limitation, detention basins, retention basins, debris basins, "V" ditches, bench drains, catch basins, catch basin media filters, inlet trash racks, drainpacs and other storm drain filtration devices, energy dissipaters, culverts, pipes, efficient irrigation technology and related storm drain and water quality facilities constructed on the Master Association Property and/or Maintenance Area. The non-structural Best Management Practices generally require the Master Association, any Sub-Association and the Owners and other residents within the Community to be aware of the

sensitive natural environment surrounding the Community and to take appropriate actions to control runoff from the Community. With respect to the Master Association, the non-structural Best Management Practices may include, among other things, (i) providing informational materials to the Owners and other residents within the Community regarding general good housekeeping practices for protection of storm water quality; (ii) restricting certain activities addressed in the informational materials to protect the quality of water entering the storm drain system; (iii) managing the landscaping on the Master Association Property and Maintenance Areas, including, without limitation, using fertilizers and pesticides in accordance with the "Management Guidelines for Use of Fertilizers and Pesticides" which is included in the appendix to the Water Quality Management Plan; (iv) performing on a regularly scheduled basis maintenance consisting, at a minimum, of litter control, emptying of common trash receptacles and sweeping of dumpster enclosures; (v) inspecting and cleaning as needed on a monthly basis (and more frequently during the rainy season [i.e., October 15 through April 15]) the catch basins located on the Master Association Property; and (vi) sweeping any on-site private paved areas on a regular basis and prior to the rainy season (i.e., no later than October 15 of each year). With respect to the Owners and other residents within the Community, the non-structural Best Management Practices may include, among other things, restricting certain activities to protect the quality of water entering the storm drain system (e.g., prohibiting the disposal of motor oil, paint products, car detergents and other pollutants into the storm drains in the Community). The Best Management Practices are designed and intended to control runoff and must be implemented by the Master Association, each Sub-Association, and the Owners and other residents within the Community. The Best Management Practices may vary from tract to tract within the Community such that Owners and other residents of some tracts may be subject to more stringent Best Management Practices than in other tracts. The Best Management Practices may be modified from time to time by the Declarant or any Public Agency having jurisdiction regarding water quality for runoff waters from the Community in order to control runoff as the Community develops and runoff conditions change. Compliance by the Master Association, any Sub-Association, and the Owners and other residents within the Community with the Best Management Practices, as they may be modified from time to time, may be monitored and enforced by any Public Agency having jurisdiction regarding water quality for runoff waters from the Community.

Section 8. "Board" shall mean and refer to the Board of Directors of the Master Association, elected in accordance with the provisions of the Bylaws of the Master Association and this Master Declaration.

Section 9. "Bylaws" shall mean and refer to the Bylaws of the Master Association which have been, or will be, adopted by the Board, as such Bylaws may be amended from time to time.

Section 10. "City" shall mean and refer to the City of Irvine.

Section 11. "Close of Escrow" shall mean and refer to the date on which a deed is recorded conveying a Lot or Condominium in the Community to a member of the general public as a retail buyer under the authority of a Final Subdivision Public Report issued by the DRE.

Section 12. "Common Area" shall mean and refer to any portion of the Community which is designated by Declarant (or by a Merchant Builder with the Declarant's consent) as "Common Area" in a Supplemental Declaration recorded in connection with the development of a Condominium Project (or in a Notice of Annexation, if there is no Sub-Association) and which will be owned by some or all of the Owners in such Condominium Project as tenants in common, and if applicable, maintained by the respective Sub-Association.

Section 13. "Common Expenses" shall mean and refer to the actual and estimated costs to be paid by the Master Association for the common benefit of all Owners of Lots and Condominiums in the Community. Unless otherwise indicated, the Common Expenses shall include all costs and expenses incurred by the Master Association in connection with the following: (a) owning, insuring, maintaining, managing, operating, repairing and replacing the Master Association Property and Maintenance Areas; (b) managing and administering the Master Association, including, but not limited to, compensation paid by the Master Association to managers, accountants, budget preparers, attorneys and other consultants and any Master Association employees; (c) all general office and administrative expenses incurred by the Design Review Committee; (d) providing utilities and other services to the Master Association Property and Maintenance Areas; (e) maintaining insurance coverage and fidelity bonds as provided for herein; (f) paying that portion of any Assessment attributable to Common Expenses not paid by the Owner responsible for payment; (g) paying taxes for the Master Association; (h) paying all reasonable out-of-pocket expenses actually incurred by the members of the Board of Directors

and officers of the Master Association and of the Delegates (and Alternates) in performing their duties as provided herein (e.g., postage and photocopying); (i) enforcing the provisions of the Master Association Documents; and (j) paying for all other goods and services as reasonably required by the Master Association to perform its powers and duties as set forth herein. The Common Expenses shall also include adequate reserves as the Board shall determine to be appropriate for the repair and/or replacement of those elements of the Master Association Property and Maintenance Areas which must be repaired or replaced on a periodic basis, rather than on a regular annual basis. The Common Expenses do not include any actual or estimated costs to be paid by the Master Association for any Improvements to the Master Association Property which constitute Special Benefit Improvements and which are allocable as Special Benefit Expenses to the Owners of Lots or Condominiums within a Special Benefit Area.

Section 14. "Community" shall mean and refer to the Property, the Master Association Property and all portions of the Annexable Property which are annexed in accordance with the provisions of this Master Declaration so as to be subject to this Master Declaration and to the jurisdiction of the Master Association.

Section 15. "Condominium" shall mean and refer to a condominium as defined in Section 1351(f) of the California Civil Code, as same may be amended from time to time, consisting of a separate interest in a condominium unit, any and all easements appurtenant thereto and the respective undivided interest in certain Common Area.

Section 16. "Condominium Project" shall mean and refer to any portion of the Community which is developed by Declarant or a Merchant Builder as a condominium project as defined in Section 1351(f) of the California Civil Code, as same may be amended from time to time.

Section 17. "County" shall mean and refer to the County of Orange, and to its various departments and divisions having jurisdiction over the Community.

Section 18. "Declarant" shall mean and refer to Irvine Community Development Company LLC, a Delaware limited liability company, and to any person(s) or entity(ies) to whom the Declarant's rights hereunder shall be expressly assigned and/or the Declarant's duties hereunder shall be expressly delegated pursuant to a written assignment which is recorded in the Office of the County Recorder for Orange County. Any such assignment may be to all or any portion of the Community or Annexable Property and may include only certain

specific rights and/or duties of the Declarant and may be subject to such conditions as Declarant may impose in its sole discretion.

Section 19. "Declaration of Annexation" shall mean and refer to a document recorded by Declarant or by a Merchant Builder for the purpose of annexing all or a portion of the Annexable Property into a Sub-Association in accordance with the provisions of a Supplemental Declaration, thereby subjecting such property to such Supplemental Declaration and to the jurisdiction of such Sub-Association.

Section 20. "Delegate" shall mean and refer to the person who represents all of the Owners within a Delegate District (excluding Declarant and all Merchant Builders) at the meetings of the Master Association and casts the collective voting power attributable to such Owners as provided in this Master Declaration and in the Bylaws. The Declarant shall select its own Delegate to represent Declarant and the Merchant Builders at the meetings of the Master Association and to cast its/their collective voting power as provided in this Master Declaration and in the Bylaws, and all other Delegates shall be selected as provided herein.

Section 21. "Delegate District" shall mean and refer to a specific portion of the Community designated by Declarant to constitute a Delegate District for the purpose of establishing a representative form of governance for the Master Association. The Property constitutes Delegate District No. 1. Subsequent Phases may either be designated as a separate Delegate District or may be incorporated into an existing Delegate District, as Declarant, in its sole discretion, deems appropriate.

Section 22. "Design Guidelines" shall mean those certain architectural standards, landscape standards, guidelines, procedures and criteria initially established by Declarant for the Community for: (i) the use by the Owner of a Lot or Condominium in the preparation of plans and specifications for Improvements to be built, constructed, erected, planted or otherwise installed on his Lot or Condominium; (ii) the use by any Sub-Association in the preparation of plans and specifications for Improvements to be built, constructed, erected, planted or otherwise installed on its Sub-Association Property; (iii) the use by each Sub-Association as the basis for its review of plans and specifications for proposed Improvements submitted by an Owner within such Sub-Association; (iv) the use by the Design Review Committee as the basis for its review of plans and specifications for proposed Improvements submitted by an Owner who is not subject to a Sub-Association. The Design Guidelines may be

revised from time to time as provided in the Article herein entitled "Design Review." The Design Guidelines may include supplemental guidelines and/or architectural and landscape standards which are applicable only to the Lots or Condominiums within a specific Sub-Association which are approved by the Board. In all cases, the supplemental guidelines and/or architectural and landscape standards which are applicable to the Lots or Condominiums within a specific Sub-Association must be consistent with the general Design Guidelines, and may not be amended without the prior written consent of the Board. A copy of the Design Guidelines may be obtained from the Design Review Committee.

Section 23. "Design Review Committee" shall mean and refer to the committee formed by the Board pursuant to the Article herein entitled "Design Review" and pursuant to the Bylaws.

Section 24. "DRE" shall mean and refer to the California Department of Real Estate, which administers the sale of subdivided lands pursuant to Sections 11000, et seq., of the California Business and Professions Code (or any similar statute hereafter enacted).

Section 25. "Dwelling" shall mean and refer to a structure which is designed and constructed for human occupancy for residential purposes. As used in this Master Declaration, a Dwelling may be an attached or detached home constructed on a separate Lot, a Condominium or an Apartment.

Section 26. "Eligible Mortgage Holder" shall mean and refer to the holder, insurer or guarantor of a first Mortgage on a Lot or Condominium in the Community who has filed with the Master Association a written request for notice of certain information as provided in the Article herein entitled "Mortgagee Protection."

Section 27. "FHLMC" shall mean and refer to the Federal Home Loan Mortgage Corporation (The Mortgage Corporation) created by the Emergency Home Finance Act of 1970, as amended from time to time, including any successors thereto.

Section 28. "FNMA" shall mean and refer to the Federal National Mortgage Association, a government-sponsored private corporation established pursuant to Title VIII of the Housing and Urban Development Act of 1968, as amended from time to time, including any successors thereto.

Section 29. “GNMA” shall mean and refer to the Government National Mortgage Association administered by the United States Department of Housing and Urban Development, including any successors thereto.

Section 30. “Improvements” shall mean and refer to all structures and appurtenances thereto of every kind whatsoever, including, but not limited to, Dwellings, outbuildings (e.g., sheds), swimming pools, spas and other recreational facilities, gazebos, barbecues, garages, carports, open parking areas, roads, driveways, private streets, street lights, landscaped parkways and medians, sidewalks, walkways, pavement and other hardscape, trails, fences, screens, awnings, patio and balcony covers, stairs, decks, planters, trellises, sunshades, screening walls, wind screens, screen doors, skylights, poles, signs, retaining walls, walls (including Master Association Walls and Sub-Association Walls), footings, columns, gates, decorative or informative signs, mail kiosks, private utility lines and connections, private storm drains and catch basins and sewer lines and laterals, antennas, signs, solar energy systems, water softener and refining systems, heating and air conditioning systems, landscaped slopes, trees (including the Street Trees), shrubs, hedges, flowers and other landscaping and other landscaping and all landscape irrigation systems. Improvements shall also mean and refer to the following: (i) all exterior modifications to a Dwelling, (including, but not limited to, building, constructing or erecting any room additions and/or demolishing or conducting any exterior remodeling, changing the roof material, windows or exterior doors of any Dwelling, and painting the exterior of any Dwelling or other structure); (ii) the demolition or destruction by voluntary action or any structure or appurtenance thereto of every type and kind; (iii) the re-grading, excavating, filling or similar disturbance of the surface of the land, including, without limitation, change of grade, change of grade level, or change of drainage pattern; and (iv) the clearing or removal of landscaping.

Section 31. “Landscape Maintenance Agreement” shall mean and refer to (i) that certain “Agreement and Grant Deed of Real Property and Easements for Landscape Maintenance and Notices of Annexations” entered into by and among the Master Association, and certain Merchant Builders and Sub-Associations for the purpose, among others, of granting easements on, over and across certain portions of the Master Association Property for maintenance of landscaping and related Improvements by the respective adjoining Sub-Association; and (ii) any other agreement and conveyance of easements for landscape

maintenance purposes over portions of the Master Association Property and/or Sub-Association Property entered into by and among the Master Association, certain Merchant Builders and/or Sub-Associations for the purpose, among others, of granting easements on, over and certain portions of the Master Association Property and/or Sub-Association Property in order to preserve a uniform and harmonious landscape maintenance scheme for such Master Association Property and/or Sub-Association Property. A Landscape Maintenance Agreement will be recorded in the Official Records of Orange County, California and the maintenance responsibilities thereunder shall be reflected on the Woodbury Master Maintenance Exhibit.

Section 32. “Lot” shall mean and refer to a plot of land as shown and described on a recorded tract map or parcel map, as such plot of land may be modified or otherwise adjusted by a recorded lot line adjustment. A Lot includes all Improvements (including the Dwelling or Dwellings) constructed thereon and all easements appurtenant thereto. As contemplated in this Master Declaration, a Lot may be improved with only one Dwelling (e.g., a detached single family home) or may be improved with two or more Dwellings as in the case of a Condominium Project or an Apartment Area. The term “Lot” shall not mean or refer to any portion of the Community which constitutes Master Association Property or Sub-Association Property.

Section 33. “Maintenance Areas” shall mean and refer to the following areas (and any Improvements constructed thereon) which are not owned by the Master Association but which will be maintained by the Master Association and the costs and expenses of such maintenance included in the Common Expenses of the Master Association:

(a) certain real property (and all Improvements thereon) which is located outside the boundaries of the Community (including, but not limited to, parkways and/or medians located within the right-of-way of a public street within or adjoining the Community) which the Master Association is obligated to maintain pursuant to a condition of approval or other requirement imposed in connection with the development of the Community;

(b) certain Improvements located on a Lot or Condominium (excluding any Special Benefit Improvements) or located on any portions of Sub-Association Property including, but not limited to, the following:

- (1) the exterior surface(s) (i.e., the surface(s) facing a public and/or private street so as to be generally visible to the public and/or residents within the Community), the top and the structural integrity of a Master Association Wall;
- (2) entry monuments;
- (3) landscaped areas; and
- (4) Street Trees.

The Maintenance Areas in this first Phase of the Community and the Maintenance Areas in any subsequent Phase of the Community (other than the Master Association Walls) will be generally depicted on the Woodbury Master Maintenance Exhibit. All depictions of the Maintenance Areas are intended for illustrative purposes only and the “as-built” conditions shall control.

Section 34. “Maintenance Guidelines” shall mean and refer to those certain general guidelines regarding the ordinary and necessary maintenance, repair, replacement and/or restoration of the Master Association Property and Maintenance Areas. Among other things, the Maintenance Guidelines set forth suggested minimum maintenance levels, recommended intervals for regularly scheduled maintenance items and recommended scope of maintenance practices and procedures. The Maintenance Guidelines are expressly intended to be flexible and may be modified by the Board from time to time as it deems prudent to adjust to the maturing and/or other changes within the Community. Declarant has provided both the Board and the property manager for the Community with a copy of the Maintenance Guidelines.

Section 35. “Master Association” shall mean and refer to Woodbury Community Association, a California nonprofit, mutual benefit corporation, in which all Owners shall be Members.

Section 36. “Master Association Documents” shall mean and refer to the Articles, Bylaws, this Master Declaration, all Notices of Annexation recorded for subsequent Phases of the Community, the Design Guidelines, the Maintenance Guidelines and all Rules and Regulations adopted by the Master Association, as such documents may be restated, amended or otherwise modified from time to time.

Section 37. “Master Association Property” shall mean and refer to: (a) all personal property now or hereafter owned by the Master Association; and (b) all real property, and all Improvements constructed or otherwise installed thereon, now or hereafter owned in fee or by easement or leased to the Master Association which the Master Association is obligated to

manage, operate, insure, maintain, repair, replace, restore and/or reconstruct in accordance with the provisions of this Master Declaration. Without limiting the foregoing, the Master Association Property may include trees and other landscaping (including, without limitation, Street Trees) located on certain portions of Sub-Association Property which Street Trees are to be maintained by the Master Association in accordance with the provisions of a Landscape Maintenance Agreement and/or this Master Declaration. Conversely, certain portions of the Master Association Property may be improved with turf, ground cover or other low landscaping that extends into certain adjoining Sub-Association Property and in order to preserve a uniform and harmonious appearance for such landscaping, such portions of the Master Association Property may be maintained by the adjacent Sub-Association pursuant to a Landscape Maintenance Agreement and/or this Master Declaration. Additionally, portions of the Master Association Property may consist of easements for maintenance of certain Improvements which are designated as Special Benefit Improvements and which are to be maintained by the Master Association for the benefit of Owners of Lots and/or Condominiums within a Special Benefit Area. The Master Association Property included in this first Phase of the Community is generally described and/or depicted on **Exhibit "MAP"** attached hereto. Portions of the Annexable Property may be designated as additional Master Association Property and annexed into the Community by a Notice of Annexation recorded in the office of the County Recorder in accordance with the provisions of the Article herein entitled "Annexation of Additional Property." Such additional Master Association Property shall be generally described and/or depicted on an **Exhibit "MAP"** attached to such Notice of Annexation. Any description or depiction of the Master Association Property is intended for illustrative purposes only and the actual "as-built" condition shall be controlling. Further, in the event of any conflict between the descriptions and/or depictions of the Master Association Property on the individual **Exhibits "MAP"** and the descriptions and/or depictions of the Master Association Property on the Woodbury Master Maintenance Exhibit, the descriptions and/or depictions on the Woodbury Master Maintenance Exhibit shall control. Any real property conveyed by Declarant or a Merchant Builder to the Master Association for use as a park shall be used solely and exclusively for park and related recreational and social purposes and may not be converted to any other use whatsoever without the express written consent of the City and of the Declarant for so long as Declarant or any Merchant Builder owns any portion of the Annexable Property.

Section 38. "Master Association Walls" shall mean and refer to those certain walls, fences and pilasters originally constructed by Declarant or a Merchant Builder on the Master Association Property or on a Maintenance Area which are designated by Declarant (or by a Merchant Builder with Declarant's consent) as a Master Association Wall, and as the result of such designation, will be maintained in whole or in part by the Master Association as provided herein. The Master Association Walls included in this first Phase and any subsequent Phase of the Community are generally depicted on the Master Association Wall exhibit on file with the property manager for the Community. The depiction of the Master Association Walls on such exhibit is intended for illustrative purposes only and the "as-built" condition shall be controlling.

Section 39. "Master Declaration" shall mean and refer to this "Master Declaration of Covenants, Conditions and Restrictions, and Reservation of Easements for Woodbury," as same may be restated and/or amended from time to time.

Section 40. "Member" shall mean and refer to every person or entity who holds a membership in the Master Association, as more particularly set forth in the Article herein entitled "The Master Association."

Section 41. "Merchant Builder" shall mean and refer to Lennar and to any other person or entity (other than the Declarant) who: (i) is designated by Declarant as a Merchant Builder; (ii) owns or acquires any portion of the Annexable Property for the purpose of developing either (A) an Apartment Area, or (B) five (5) or more Lots or Condominiums and reselling such Lots or Condominiums to the general public under the authority of a Final Subdivision Public Report issued by the DRE; and (iii) intends, with Declarant's consent, to annex such portion of the Annexable Property into the Community.

Section 42. "Mortgage" shall mean and include any mortgage, deed of trust or other conveyance of a Lot or Condominium to secure the performance of an obligation, which conveyance will be reconveyed upon the completion of such performance, including an installment land sales contract (as defined in Section 2985 through 2985.6 of the California Civil code, as same may be amended from time to time). The term "Deed of Trust," when used herein, shall be synonymous with the term "Mortgage."

Section 43. "Mortgagee" shall mean and refer to a person or entity to whom a Mortgage is made, and shall include the beneficiary of a Deed of Trust or the vendor under an installment land sales contract, as the case may be, and the assignees of a Mortgagee, beneficiary or vendor.

Section 44. "Mortgagor" shall mean and refer to a person or entity who mortgages his or its Lot or Condominium to another, i.e., the maker of a Mortgage, and shall include a trustor of a Deed of Trust and the vendee under an installment land sales contract.

Section 45. "Notice and Hearing" shall mean and refer to written notice and the opportunity for a hearing before the Board of the Master Association, the Design Review Committee, or other tribunal created by the Board in the manner provided in the Bylaws, at which the affected Owner(s) shall have an opportunity to be heard in person or by counsel at such Owner's expense, in the manner provided herein and in the Bylaws before any decision is reached.

Section 46. "Notice of Annexation" shall mean and refer to that certain document recorded by Declarant (or by a Merchant Builder with Declarant's consent) for the purpose of annexing a portion of the Annexable Property into the Community in accordance with the provisions of this Master Declaration, thereby subjecting such portion of the Annexable Property to this Master Declaration and to the jurisdiction of the Master Association.

Section 47. "Owner" shall mean and refer to the record owner (or owners if more than one [1]) of fee title to, or an undivided interest in, any Lot or Condominium in the Community. Without limiting the foregoing, the term "Owner" also includes the Declarant and each Merchant Builder offering Lots or Condominiums in the Community for sale pursuant to a Final Subdivision Public Report issued by the DRE, and the purchaser under an installment land sales contract (as described in Section 2985 through 2985.6 of the California Civil Code, as same may be amended, from time to time). Additionally, the term "Owner" also includes any Merchant Builder who originally developed an Apartment Area and retained ownership thereof after the commencement of the rental or leasing program as well as any person or entity who acquired an Apartment Area from either the original Merchant Builder thereof or from a previous Owner of such Apartment Area. The term "Owner" does not include persons or entities who hold an interest in a Lot or a Condominium merely as security for the performance of an obligation.

Section 48. "Phase" shall mean and refer to: (a) the Property and Master Association Property described on **Exhibit "A"** and **Exhibit "MAP"** attached hereto; and (b) any portion of the Annexable Property which is annexed into the Community pursuant to a Notice of Annexation recorded in the Office of the County Recorder for Orange County, as provided in this Master Declaration.

Section 49. "Planned Development" shall mean and refer to any portion of the Community (other than a Condominium Project) which is developed by Declarant or a Merchant Builder as a planned development as defined in Section 1351(k) of the California Civil Code, as same may be amended from time to time. A Planned Development may either be a Special Benefit Area or may be subject to a Supplemental Declaration and to the jurisdiction of a Sub-Association.

Section 50. "Property" shall mean and refer to all of that certain real property described on **Exhibit "A"** attached hereto, and to all Improvements constructed thereon.

Section 51. "Public Agencies" shall mean and refer individually and/or collectively to any of the various local, state and federal governmental agencies having jurisdiction over all or any portion of the Community (including, but not limited to, the City, the County, the DRE, the Regional Water Quality Control Board and the Irvine Ranch Water District ["IRWD"] and the Orange County Fire Authority ["OCFA"]).

Section 52. "Rules and Regulations" shall mean and be synonymous with "operating rules" as defined in Section 1357.100 of the California Civil Code which are adopted, amended or repealed by the Board pursuant to this Master Declaration.

Section 53. "Special Benefit Area" shall mean and refer to any portion of the Community designated by Declarant (or by a Merchant Builder with Declarant's consent) as constituting a Special Benefit Area by reason of the significantly disproportionate use of certain Improvements by the Owners of two (2) or more Lots or Condominiums. Although the use of such Improvements must be significantly disproportionate, it need not be exclusive. In no event may the use of any street in the Community by the Owners of Lots or Condominiums that adjoin such street be the basis for the formation by the Board of a Special Benefit Area without the written consent of all Owners to be included in such Special Benefit Area. Such Improvements utilized by the Owners within the Special Benefit Area shall constitute Special Benefit

Improvements and the Master Association shall levy Special Benefit Assessments against the Lots or Condominiums within such Special Benefit Area to recoup the Special Benefit Expenses incurred by the Master Association on account thereof. The Lots or Condominiums which constitute a Special Benefit Area shall be so designated by Declarant (or by the Merchant Builder with Declarant's consent) in the Notice of Annexation recorded on such Lots or Condominiums. Special Benefit Areas established by the Board shall be created by a written instrument recorded on all of the Lots or Condominiums in such Special Benefit Area in the Official Records of Orange County, California.

Section 54. "Special Benefit Expenses" shall mean and refer to the actual and estimated costs to be paid by the Master Association which are allocable only to the Owners of Lots or Condominiums within a Special Benefit Area. The Special Benefit Expenses attributable to a Special Benefit Area may include, without limitation, the costs and expenses incurred by the Master Association in connection with the following: (a) administering the Special Benefit Area, including compensation paid to budget preparers for determining the annual operating budget for the Special Benefit Area; (b) maintaining, painting, irrigating, repairing and/or replacing (as the case may be) the Special Benefit Improvements in accordance with the provisions of this Master Declaration; (c) obtaining and maintaining insurance coverage as provided herein for the Special Benefit Improvements; (d) providing utility services as reasonably required for the Special Benefit Improvements; (e) funding reasonable reserves, as deemed appropriate by the Board, for the repair and replacement of those Special Benefit Improvements which must be repaired or replaced on a periodic basis rather than on a regular annual basis in accordance with the provisions of this Master Declaration; (f) unpaid Special Benefit Assessments; and (g) paying for all other goods and services designated by, or in accordance with other expenses incurred by the Master Association for the benefit of the Owners and the Lots or Condominiums located within a Special Benefit Area.

Section 55. "Special Benefit Improvements" is used herein as a generic term to mean and refer to those Improvements which shall be insured, operated, maintained, painted, irrigated, repaired, replaced and/or reconstructed (as the case may be) by the Master Association for the benefit of the Owners of Lots or Condominiums within a Special Benefit Area in accordance with the provisions of this Master Declaration. The actual Special Benefit Improvements included within a Special Benefit Area will be set forth in the budget for the

Special Benefit Area. (Due to the fact that the Special Benefit Improvements will be located on real property that is either owned in fee by the Master Association or over which the Master Association owns an easement for access and maintenance, the Special Benefit Improvements will constitute a portion of the Master Association Property.)

Section 56. “Street Trees” shall mean and refer to certain trees located along certain portions of the public and/or private streets within the Community which will be maintained by the Master Association as provided in the Article herein entitled “Repair and Maintenance.” The Street Trees may be located on portions of the Master Association Property, any portion of Sub-Association Property and/or within a public right-of-way. All Street Trees will be generally depicted on the Woodbury Master Maintenance Exhibit on file with the Property Manager for the Community.

Section 57. “Sub-Association” shall mean and refer to any California non-profit mutual benefit corporation organized and established in connection with a Condominium Project or Planned Development within the Community.

Section 58. “Sub-Association Documents” shall mean and refer to the documents identified in a Supplemental Declaration as constituting Sub-Association Documents, including, but not limited to, the Articles of Incorporation and Bylaws for a Sub-Association, the Supplemental Declaration, all Declarations of Annexation, any rules and regulations adopted by the Sub-Association, and any restatements and/or amendments to any of the foregoing. In the event of any conflict between the provisions of the Sub-Association Documents and the Master Association Documents, the Master Association Documents shall control.

Section 59. “Sub-Association Property” shall mean and refer to any portion of the Community which: (a) is designated by a Merchant Builder with Declarant's consent as “Sub-Association Property” in a Supplemental Declaration (or in a Declaration of Annexation); (b) will be owned, in fee or by easement, by a Sub-Association; and (c) unless otherwise designated by a Merchant Builder with Declarant's consent, shall be solely for the use and benefit of and/or shall be maintained at the sole cost and expense of (i) only the Owners of Lots within a Planned Development, or (ii) only the Owners of Condominiums within a Condominium Project. Sub-Association Property may include certain portions of the Master Association Property which, although owned by the Master Association, shall be maintained by the respective Sub-Association pursuant to the provisions of a Landscape Maintenance

Agreement and/or the provisions of this Master Declaration. Conversely, portions of the Sub-Association Property may be maintained by the Master Association pursuant to the provisions of a Landscape Maintenance Agreement and/or the provisions of this Master Declaration.

Section 60. “Sub-Association Walls” shall mean and refer to those certain walls, fences and/or pilasters originally constructed by Declarant or a Merchant Builder on or adjacent to the Master Association Property, any Sub-Association Property and/or a Lot or Condominium within a Sub-Association, which are designated by Declarant or a Merchant Builder in a Supplemental Declaration or Declaration of Annexation as constituting Sub-Association Walls and as the result of such designation will be maintained in whole or in part by the Sub-Association as provided herein and/or in the Supplemental Declaration. In the event a Sub-Association is responsible for maintaining the interior surface of a Master Association Wall, such interior surface shall be deemed to be a Sub-Association Wall even though the Master Association is responsible for maintaining the other surface, the top and the structural integrity of such Master Association Wall. The Sub-Association Walls located within a Sub-Association shall either be depicted on an exhibit attached to the Supplemental Declaration or a Declaration of Annexation recorded on for a subsequent Phase, or on a composite depiction on file with the property manager for the Sub-Association. All depictions of the Sub-Association Walls are for illustrative purposes only and the “as-built” condition shall be controlling.

Section 61. “Supplemental Declaration” shall mean and refer to any declaration of covenants, conditions and restrictions, and reservation of easements, or any similar document recorded by Declarant (or by a Merchant Builder with Declarant's consent) in connection with a Condominium Project or Planned Development developed within the Community. In the event of any conflict between the provisions of this Master Declaration and the provisions of a Supplemental Declaration, this Master Declaration shall control.

Section 62. “Water Quality Management Plans” shall mean and refer to the following: (i) the Water Quality Management Plan for Planning Area 9 (Including Tentative Tract 16339)” prepared by Hunsaker & Associates, dated December 17, 2002; and (ii) all other water quality management plans that may be prepared for Declarant and/or any Merchant Builder for a portion of the Community in compliance with applicable federal, state and local laws for the Community (or portions thereof) and approved by the applicable Public Agencies. The Water Quality Management Plans address water runoff generated by the residential areas

and other development Improvements within the Community and will be monitored by various Public Agencies (e.g., the Regional Water Quality Control Board and the City). The Water Quality Management Plans contain, among other things, certain Best Management Practices that must be followed by the Master Association, any Sub-Association, the Owners and/or other residents within the Community. The Water Quality Management Plans and the related Best Management Practices may be amended or otherwise modified at any time by the Declarant and/or the Public Agencies having jurisdiction over such matters. A copy of each approved Water Quality Management Plan is available in the office of the property manager for the Community.

Section 63. “Woodbury Master Maintenance Exhibit” shall mean and refer to that certain exhibit on file with the property manager for the Community which generally describes and/or depicts certain portions of the Community to be maintained by the Master Association, by each Sub-Association or by the City or other Public Agency. The Woodbury Master Maintenance Exhibit will be prepared by Declarant, from time to time, as development within the Community progresses and shall describe and/or depict the respective maintenance obligations as of the date specified thereon. At such time as the Community has been fully developed, the Master Developer shall cause to be prepared a composite final Woodbury Master Maintenance Exhibit for the overall Community and shall have the absolute unilateral right, but not the obligation, to cause such final Exhibit to be recorded as an amendment to this Master Declaration in the Official Records of Orange County, California.

Section 64. Application of Definitions. Unless otherwise indicated or the context shall prohibit such application the aforesaid definitions shall be applicable throughout the Master Association Documents and to any restatements or amendments thereto.

ARTICLE II

INTRODUCTION TO WOODBURY

Section 1. General Plan of Development.

(a) Phasing. Woodbury is a residential master planned community, and as presently planned, the Community will be developed by Declarant and various Merchant Builders in a series of Phases over several years. The Property described on **Exhibit “A”** attached hereto, and the Master Association Property described on

Exhibit "MAP" attached hereto, constitute the first phase of the Community. All or any portions of the Annexable Property may be developed by Declarant and/or Merchant Builders as additional Phases and annexed to the Property and made subject to this Master Declaration and to the jurisdiction of the Master Association as provided in the Article herein entitled "Annexation of Additional Property". This Master Declaration (and the other Master Association Documents) impose Protective Covenants and other terms, provisions and regulations which establish the general plan for the development, maintenance, care, improvement, use, occupancy and management of the Community.

(b) Types of Dwellings. As presently planned, the Dwellings to be constructed within the Community may include, but are not limited to, attached and detached single family homes constructed on a separate Lot, attached and detached Condominiums and Apartments. Each Owner will receive title to his respective Lot or Condominium, all easements appurtenant thereto and an appurtenant membership in the Master Association. The Owners of a Lot or Condominium located within a portion of the Community which is subject to a Sub-Association, shall also receive an appurtenant membership in the Sub-Association, shall be subject to the Sub-Association Documents, and shall receive an appurtenant easement to use and enjoy any Sub-Association Property, and/or an undivided ownership interest in certain Common Area included within such Sub-Association.

(c) The Master Association. The Master Association will be the management body for the Community, and subject to the provisions of this Master Declaration, will be responsible for owning and/or maintaining the Master Association Property and Maintenance Areas and for administering and enforcing the Protective Covenants set forth in the Master Association Documents. The Master Association Property and Maintenance Areas (other than the Master Association Walls) included within this first Phase of the Community and any additional Master Association Property and Maintenance Areas annexed into the Community in a subsequent Phase will be generally described and/or depicted on the Woodbury Master Maintenance Exhibit on file with the property manager for the Community. Each Sub-Association may provide additional amenities which shall be solely for the

use and enjoyment of the members of such Sub-Association and not for the Members of the Master Association at large.

(d) Membership in the Master Association. Each Owner of a Lot or Condominium in the Community shall automatically become a member of the Master Association, and shall be obligated for the payment of Assessments to the Master Association as provided herein. In addition, each Owner, his family members, lessees, tenants and their respective guests and invitees will be entitled to the use and enjoyment of the Master Association Property within the Community in accordance with the Master Association Documents. The Owners of Lots or Condominiums which are located within a Planned Development or a Condominium Project so as to be subject to a Sub-Association will also automatically be a member of the respective Sub-Association, and obligated for the payment of assessments levied by such Sub-Association. Only such Owners, their family members, lessees, tenants and their respective guests and invitees will be entitled to the use and enjoyment of any Sub-Association Property located in such Sub-Association in accordance with the Sub-Association Documents.

Section 2. Development Control.

(a) Construction of Improvements. Subject only to the prior approval of the applicable Public Agencies, nothing in this Article or elsewhere in this Master Declaration shall limit the right of Declarant (and/or any Merchant Builder with Declarant's consent) to: (a) install, construct, modify, alter or remove any Improvements in any portions of the Community owned or controlled by Declarant and/or any Merchant Builder; (b) redesign or otherwise alter the style, size, square footage, color or appearance of any Improvements in any portion of the Community owned or controlled by Declarant and/or any Merchant Builder; (c) construct such additional Improvements on any portion of the Community owned or controlled by Declarant and/or any Merchant Builder; (d) subdivide, re-subdivide, grade or regrade any portion of the Community owned or controlled by Declarant and/or any Merchant Builder; (e) control all aspects of designing and constructing the Improvements (including without limitation, all recreational amenities) in the Property and the Annexable Property; and (f) conduct a program of marketing and selling and/or

leasing Lots or Condominiums in the Community (or other lots or condominiums owned by Declarant or a Merchant Builder even though such other lots or condominiums are located in a separate and unrelated development outside the Community).

(b) Reconstruction of Improvements. In addition to the foregoing, Declarant hereby reserves for itself and each Merchant Builder until development of the Community has been completed and Declarant and each Merchant Builder has concluded its program for selling, leasing or otherwise marketing its Lots and/or Condominiums in the Community (and/or other lots or condominiums owned by Declarant or a Merchant Builder outside the Community) a non-exclusive easement of ingress, egress and access on, over, under and across all Master Association Property and Maintenance Areas to install, construct, maintain, repair, remove, reconstruct and replace any Improvements located on any portion of the Master Association Property and/or Maintenance Areas as may be required by any Public Agency or as Declarant, in its sole discretion, deems reasonably necessary.

(c) Access Rights. Declarant hereby reserves for itself and each Merchant Builder until development of the Community has been completed and Declarant and each Merchant Builder has concluded its program for selling, leasing or otherwise marketing its Lots and/or Condominiums in the Community (and/or other lots or condominiums owned by Declarant or a Merchant Builder located outside the Community): (i) a nonexclusive easement for ingress, egress and access on, over, under and across the Community as Declarant, in its sole discretion, deems necessary to exercise its rights and easements reserved in this Section or elsewhere in this Master Declaration; (ii) the right to carry on normal sales, leasing and/or other marketing activities, including the operation of model complexes and sales or leasing offices, and to display reasonable signs and exhibits on any portion of the Community owned or controlled by Declarant or a Merchant Builder; and (iii) a nonexclusive easement for ingress, egress, access and use (without charge) of the Master Association Property in connection with the sales, leasing or marketing of Lots and/or Condominiums in the Community (and/or other lots or condominiums owned by Declarant or a Merchant Builder located outside the Community as provided above).

(d) Assignment. Declarant hereby reserves the right to assign and transfer (on an exclusive or non-exclusive basis as Declarant deems appropriate) any or all of the rights reserved in this Section or elsewhere in this Master Declaration to any person or entity, at Declarant's sole and absolute discretion, by an express written assignment recorded in the Official Records of Orange County.

Section 3. Non-Liability. Nothing in this Article or elsewhere in this Master Declaration shall be understood or construed to compel Declarant and/or any Merchant Builder to cause any subsequent Phase to be constructed or annexed into the Community. The purpose of this Article is merely to describe the legal relationship between the first and any subsequent Phases of the Community in the event all or any of such Phases shall be constructed and annexed into the Community.

Section 4. Soil Conditions. Many areas of Southern California have soil types known to be expansive in nature, and the Community is no exception. The soils reports prepared for the Community indicate that soils within the Community are moderate to very high in expansion potential. Expansive soils will expand when they become wet and contract when they dry out. This expansion and contraction may cause movement, cracking and other distress in concrete slabs, patios, sidewalks and other flatwork Improvements within the Community. Since movement of Improvements constructed on expansive soils is normal and will occur, each Owner of a Lot or Condominium in the Community should take this into account in the design of the landscape, hardscape and other Improvements which such Owner constructs on his respective Lot or Condominium.

Additionally, the soils within the Community have very high corrosive potential to metal, and appropriate action should be taken to protect below grade structures.

Further, the soils in portions of the Community may be very hard and/or contain subterranean rocks. Consequently, the installation of pools, spas, landscaping and other Improvements that require digging, trenching or other excavation may be more expensive due to the cost of working with such soils.

Each Owner of a Lot or Condominium within the Community should advise his contractors, engineers, architects and other professional consultants of the existence of the soils conditions described above so that their effect may be mitigated by appropriate design and construction techniques. Further details on the soils conditions within the Community can be

found in the soils reports which are available for review at the City of Irvine Building Inspection Department.

Section 5. Use of Reclaimed Water and Water Softeners. In its efforts to conserve water, IRWD has for years required the use of reclaimed water (treated wastewater) to irrigate parks, school yards, golf courses, greenbelt areas and common areas. The water used to irrigate all of the Master Association Property and Maintenance Areas will be reclaimed water. The water used in the Dwellings and outside in the private yards through hose bibs will be domestic potable water.

In the future, IRWD may require the use of reclaimed water to irrigate landscaping in the private yard areas. In order to establish reclaimed water service to a Lot or Condominium, IRWD will require each Owner to complete an application for residential reclaimed water service and the irrigation system hookup will have to meet special design requirements. Declarant does not make any representations whether reclaimed water service will be required or available to a Lot or Condominium in the Community.

Reclaimed water is not potable and therefore not suitable for human consumption. Based upon a number of independent studies, the California Department of Health Services has determined that inadvertent consumption of reclaimed water by domestic pets and other animals will not cause harm and, further, that the use of reclaimed water has not resulted in any significant adverse health consequences. As with any water spray, the repeated spray of reclaimed water may stain or discolor personal property, fencing and structural Improvements over time.

According to IRWD, IRWD's reclaimed water is disinfected with chlorine and its clarity to the human eye is indistinguishable from domestic water. The standards imposed upon IRWD for reclaimed water quality are established by various governmental regulatory agencies, and the standards may change from time to time. In no event shall Declarant or any Merchant Builder or any of their respective employees, consultants or agents be liable for any property damage or personal injury caused by reclaimed water.

Each Owner is subject to IRWD's rules and regulations. Further information regarding District regulations is available from IRWD at its headquarters office.

Section 6. Post Tension Slabs. The concrete slab for a Dwelling constructed in the Community may have been reinforced with a grid of steel cables installed in

the concrete slab and then tightened to create extremely high tension. This type of slab is known as a "Post Tension Slab." Cutting into a Post Tension Slab for any reason (e.g., to install a floor safe, to remodel plumbing, etc.) is very hazardous and may result in serious damage to the Dwelling and/or personal injury. Each Owner covenants and agrees to verify with Declarant or the Merchant Builder who constructed the Dwelling or the City Building Department whether his Dwelling was constructed on a Post Tension Slab. If an Owner's Dwelling was constructed on a Post Tension Slab, such Owner further covenants and agrees that: (1) he shall not cut into or otherwise tamper with the Post Tension Slab; (2) he shall not knowingly permit or allow any other person to cut into or tamper with the Post Tension Slab so long as he owns any interest in the Dwelling; (3) he shall disclose the existence of the Post Tension Slab to any person who rents, leases or purchases the Dwelling from him; and (4) he shall indemnify and hold Declarant, the Merchant Builder and their respective officers, directors, shareholders, employees, contractors, consultants and agents, free and harmless from and against any and all claims, damages, losses or other liability (including attorneys' fees) arising from any breach of this covenant.

Section 7. Electric Power Lines. The electric power lines within the Community have been installed underground. Underground and overhead electric distribution and transmission lines are located in the vicinity of the Community. The electric lines are owned and operated by Southern California Edison Company ("Edison"), and produce electromagnetic fields ("EMF"). Numerous studies and evaluations of EMF and human health risks have been undertaken over many years, and some are ongoing. Some studies have reported a possible relationship between EMF exposure and some health conditions, including certain types of cancer, miscarriage, and ALS (Lou Gehrig's disease), while other studies have found no such relationship. Additional information regarding EMFs is available from Edison's Regional EMF Manager, Southern California Edison Company, 1851 West Valencia Drive, Fullerton, CA 92833. Other sources for the current information regarding EMF and related studies, include: (1) the Electric and Magnetic Fields Program, California Department of Health Services, 1515 Clay Street, 17th Floor, Oakland, California 94612, Website: <http://www.dhs.cahwnet.gov/ps/deodc/ehib/emf/>, (2) the Federal EMF-Rapid Website at <http://www.niehs.hih.gov/emfrapid/home.htm>, or (3) the International Agency for Research on

Cancer, 150 cours Albert Thomas, F-69372 Lyon cedex 08, France, Website: <http://www.iarc.fr/pageroot/top.html>.

Section 8. Plants and Wildlife. The Community is located in close proximity to natural open space areas which provide habitat for various forms of wildlife (including, but not limited to, coyotes, snakes, raccoons, possums, skunks, squirrels and mice) and poisonous vegetation (e.g., poison ivy, poison oak, etc.). Animal wildlife may venture from the open space areas into the Community, including your Lot or Condominium.

Each Owner assumes all risks pertaining to such wildlife and releases Declarant, all Merchant Builders, the Master Association and their respective shareholders, directors, officers, employees, consultants and agents from any and all claims, damages, costs, expenses, losses and other liability (including actual attorney's fees) for death or injury to any person and/or damage to any property arising from or otherwise relating to such wildlife.

Section 9. Proto-II Walls. The walls located on a Lot or Condominium in the Community may be of a type of masonry wall known as "Proto-II" walls. Although Proto-II walls typically look the same as conventional masonry walls, the method of construction is different. Conventional masonry walls are built with rigid vertical and horizontal sleeves of rebar and grout to provide strength and stability to the wall. Proto-II walls, on the other hand, are constructed using high strength steel post-tensioning rods inside the footings and wall to induce tightness (tension) throughout the footings and wall. Because of the presence of post-tension rods within the structure of the wall, it is imperative that Owners contact a professional Proto-II wall installer before undertaking any structural repair of the Proto-II walls. Each Owner covenants and agrees to verify with Declarant or the Merchant Builder who constructed the Owner's Dwelling or the City Building Department whether there are any Proto-II walls located on such Owner's Lot or Condominium.

Section 10. No Guarantee of Views. Some Lots or Condominiums in the Community depending upon location may enjoy some unique view potential. The view, if any, a Lot or Condominium in the Community will enjoy is subject to the limitations and disclaimers set forth herein.

The term "view" as used in this Master Declaration shall refer to the field of vision from the front or rear of the Lot or Condominium (however, in the case of a corner Lot or Condominium, the field of vision may also be oriented toward the exposed side yard), shall be

limited solely to the area located between the prolongation of the side property lines (and may not be widened to extend at an angle across the side yard of an adjoining Lot or Condominium on either side), and shall extend straight out from the finished grade of the Lot or Condominium. Notwithstanding the foregoing limitations, there are no express or implied easements for views or for the passage of light and air to any Lot or Condominium in the Community.

Although the provisions of the Article herein entitled "Design Review" may have some effect on preserving views from and providing for the passage of light and air to an individual Lot or Condominium, Declarant, the Merchant Builders, the Board and the Design Review Committee, and the directors, officers, employees, consultants, agents and contractors of the foregoing, do not make any representations or warranties, express or implied, concerning the view, if any, that a particular Lot or Condominium will enjoy. Furthermore, the payment by any Owner of any "premium" does not constitute a representation or warranty, express or implied, concerning the view, if any, the Lot or Condominium will enjoy. Each Owner, by accepting a deed to his respective Lot or Condominium, expressly acknowledges and agrees that any view which his Lot or Condominium may enjoy as of the date of purchase may be impaired or obstructed by the installation of trees, other landscaping or other types of barriers (both natural and artificial), the growth of landscaping, the construction or other installation of Improvements in the Community and/or on any property adjoining the Community in accordance with applicable laws, codes, ordinances and regulations, and each Owner expressly consents to any such obstructions. Each Owner further understands that the provisions of this Master Declaration establish certain architectural and landscaping controls applicable to the Community, and that each Owner has the right to enforce such controls. Except as expressly set forth in this Master Declaration, there are no rights concerning the preservation of any view.

Section 11. Public Access. In accordance with certain conditions of approval imposed by the Public Agencies in connection with the development of the Community, certain portions of the Master Association Property include certain trails which will be (e.g., walking, hiking and/or biking trails) which will be available for use by the general public.

Section 12. Statutory Notice. In accordance with California Civil Code Section 1353, Declarant hereby provides the following notice:

NOTICE OF AIRPORT IN VICINITY

This property is presently located in the vicinity of an airport, within what is known as an airport influence area. For that reason, the property may be subject to some of the annoyances or inconveniences associated with proximity to airport operations (for example: noise, vibration, or odors). Individual sensitivities to those annoyances can vary from person to person. You may wish to consider what airport annoyances, if any, are associated with the property before you complete your purchase and determine whether they are acceptable to you.

Section 13. Siphon Reservoir. The Community is located southwesterly of the Siphon Reservoir and Dam. The reservoir, which is uncovered and is used to store irrigation water for agricultural operations, has a capacity of 578 acre-feet of water. A dam inundation study prepared for this reservoir indicates that in the event of a sudden and unexpected dam failure (e.g., a failure due to an earthquake), large portions of the Community would be subject to flooding that could cause injury to persons and damage to property. Information regarding the Siphon Reservoir and Dam and the dam inundation study is available from the City.

ARTICLE III

PROPERTY RIGHTS REGARDING THE MASTER ASSOCIATION

PROPERTY AND RESERVATION OF EASEMENTS

Section 1. Owners' Easements. Every Owner shall have a nonexclusive right and easement of ingress, egress, access, use and enjoyment in and to the Master Association Property. Said right and easement shall be appurtenant to and shall pass with title to every Lot and Condominium, subject to the limitations set forth in this Article III. Notwithstanding the foregoing, certain portions of the Master Association Property are not intended for use and enjoyment by the Owners (e.g., those portions which constitute landscaped slopes), and accordingly the easements for ingress, egress, access, use and enjoyment do not apply to such portions of the Master Association Property.

Section 2. Limitations on Owners' Easement Rights by the Master Association. The rights and easements of ingress, egress, access, use and enjoyment set forth in Section 1 hereinabove shall be subject to the provisions of this Master Declaration, including, but not limited to, the following:

(a) Limitations on Guests. The right of the Master Association to reasonably limit the number of guests of Owners using the Master Association Property and the recreational amenities located thereon;

(b) Rules and Regulations. The right of the Master Association to establish and enforce reasonable Rules and Regulations pertaining to the use of the Master Association Property and the recreational amenities located thereon, (including, without limitation, the imposition of security deposits and/or cleaning fees for use of the amenities by large groups as defined by the Board);

(c) Suspension of Rights and Imposition of Penalties. The right of the Master Association to suspend the voting rights attributable to a Lot or Condominium and the rights and easements of use and enjoyment of the recreational amenities located on the Master Association Property of any Member, (and all persons deriving such rights and easements from any Member as provided herein) for any period during which any Assessment against such Member's Lot or Condominium remains unpaid and delinquent, and to impose monetary penalties or suspend such use rights and easements for a period not to exceed thirty (30) days for any noncontinuing violation of the Master Association Documents; provided that all such disciplinary action shall be made only by the Board after Notice and Hearing, and in no event shall any disciplinary action restrict vehicular or pedestrian access to the Member's Lot or Condominium;

(d) Use Fees. The right of the Board to establish and impose reasonable fees for the temporary exclusive use for private events by an Owner of the facilities located on the Master Association Property (e.g., a rental charge for use of the recreation center for a private wedding reception, or birthday party, etc.). Except as otherwise provided herein, use of the recreational amenities shall be on a first-come-first-served basis;

(e) Borrowings and Encumbrances. The right of the Master Association, with the assent of Delegates casting affirmative votes on behalf of at least sixty-seven percent (67%) of the Owners other than Declarant and the Merchant Builders, to borrow money for the purpose of improving the Master Association Property and Improvements located thereon and/or, subject to the terms and provisions of the Article herein entitled "Mortgagee Protection," to mortgage, pledge, deed in trust, hypothecate or otherwise encumber any or all of its real or personal property, as security for money borrowed or debts incurred;

(f) Dedications. Subject to the terms and provisions of the Article herein entitled "Mortgagee Protection," the right of the Master Association to dedicate or transfer a portion of the Master Association Property to a Public Agency or any utility for such purposes and subject to such conditions as may be agreed to by the Master Association, and in furtherance thereof, to deannex such portion of the Master Association Property from this Master Declaration. No such dedication or transfer and deannexation shall be effective unless it is approved by the Delegates and first Mortgagees as provided in the Article herein entitled "Mortgage Protection" and a certificate executed by the President and the Secretary of the Master Association evidencing such approvals is recorded in the Office of the County Recorder for Orange County;

(g) Acceptances and Conveyances of Property. The right of the Board to join with the Declarant, a Merchant Builder, a Sub-Association, an Owner, a Public Agency, utility company, or other person or entity in the execution of a lot line adjustment, grant deed and/or grant of easement for the purpose of accepting or conveying title to property, including without limitation, any portion of the Master Association Property, and in furtherance thereof to deannex such portion of the Master Association Property from this Master Declaration, as necessary to transfer title, provided and on condition that any such lot line adjustment and/or conveyance is made for any of the following purposes: (i) to eliminate encroachments due to engineering errors or errors in construction of any Improvements upon any of the affected property, (ii) to permit changes in the development plan in circumstances where such changes are the result of topography, obstruction, hardship, aesthetic

considerations or environmental conditions, (iii) to fulfill the requirement of a Public Agency, or (iv) to transfer the burden of management and maintenance of any Master Association Property which in the reasonable judgment of the Board is generally inaccessible or is not likely to be of general use or benefit to the membership at large of the Master Association.

(h) Limitations on Access and Use. The right of the Master Association to reasonably restrict access to and/or use of greenbelts, open space areas, slopes and/or other areas within the Master Association Property that are not intended for recreational use;

(i) Performance of Duties. The right of the Master Association to perform and exercise its powers and duties as set forth herein;

(j) Public Access. The right of the general public to use certain portions of the Master Association Property (including, without limitation, hiking and/or biking trails) as required by any Public Agency in connection with the development of the Community;

(k) Offers of Dedication. Portions of the Master Association Property (including, but not limited to, streets, parks, trails and open space areas) may be subject to an unaccepted offer of dedication to a Public Agency for various purposes, including, but not limited to public access, use and/or maintenance. Such portions of the Master Association Property may be used by the Members of the Master Association and shall be maintained by the Master Association as provided herein in the same manner as all other Master Association Property until such time, if ever, that the offer of dedication is accepted by the applicable Public Agency. If the offer of dedication is accepted, the affected portion of the Master Association Property shall (i) be maintained by the applicable Public Agency, if applicable; (ii) no longer constitute a portion of the Master Association Property; (iii) shall no longer be subject to this Master Declaration; and (iv) be open for use by the general public as permitted by the applicable Public Agency;

(l) Other Rights. Other rights of the Master Association, the Board, the Owners and Declarant with respect to the Master Association Property as may be provided for in this Master Declaration; and

(m) Other Restrictions. Any limitations, restrictions or conditions affecting the use, enjoyment or maintenance of the Master Association Property imposed by the Master Association, Declarant or any Public Agency having jurisdiction to impose any such limitations, restrictions or conditions, including, but not limited to, the rights of any and all Public Agencies to use their vehicles or appropriate equipment as reasonably necessary over those portions of the Master Association Property designed for vehicular movement to perform municipal functions or emergency or essential public service.

Section 3. Use of Recreational Amenities by Non-Residents. In addition to the limitations on each Owner's nonexclusive right and easement of ingress, egress, access, use and enjoyment in and to the Master Association Property set forth in the preceding Section, each Owner acknowledges that the Master Association's Rules and Regulations may allow certain recreational amenities (and the related parking areas) (including, without limitation, the private park located on Lot 232 of Tract 16577) to be used by non-residents of Woodbury (e.g., competitive swim meets, exercise classes and other events) and to restrict the use by Owners and other residents to accommodate such use by non-residents.

Section 4. Delegation of Master Association Property Use Rights. Subject to the rights reserved to the Master Association in Section 2 above, each Owner of a Lot or Condominium in the Community (including, without limitation, the Owner of an Apartment Area) may delegate his rights of use and enjoyment to the Master Association Property, and the recreational amenities thereon, to the members of his immediate family, his tenants and lessees and their respective guests and invitees. In the event an Owner shall rent or lease his Lot or Condominium, his rights of use and enjoyment to the Master Association Property, and the recreational amenities thereon, shall be automatically delegated to his tenants or lessees for the duration of their tenancy, and the Owner's rights of use and enjoyment to the Master Association Property, and the recreational amenities thereon, shall be deemed suspended for the duration of such tenancy, except reasonable rights of ingress, egress and access to his respective Lot or Condominium and such other rights as may be reasonably required to perform the necessary functions of a landlord. The seller under an installment sales contract shall be deemed to have delegated any rights of use and enjoyment in the Master Association Property, and the recreational amenities thereon, to the purchaser under the contract.

Section 5. Waiver of Use. No Owner may exempt himself from personal liability for Assessments duly levied by the Master Association nor release any Lot or Condominium which he owns in the Community from the liens and charges imposed by the Master Association by waiver of the use and enjoyment of the Master Association Property, and the recreational amenities thereon, or by abandonment of any Lot or Condominium in the Community.

Section 6. Easements for Vehicular and Pedestrian Traffic. In addition to the general right and easement of ingress, egress, access, use and enjoyment granted herein, there is hereby created, granted and reserved a nonexclusive easement appurtenant to each Lot and Condominium in the Community for vehicular ingress, egress and access on, over and across all of the public and any private streets within the Community.

Section 7. Easements for Unintentional Encroachments. There is hereby created, established and granted nonexclusive easements appurtenant to any Lot or Condominium, the Master Association Property and/or Sub-Association Property (as the case may be) on, over and across those portions of an adjacent Lot or Condominium, Master Association Property and/or Sub-Association Property, not to exceed two feet (2') for the encroachment by any Improvement as originally constructed by Declarant or by a Merchant Builder, and for the encroachment by any Improvement resulting from subsequent settling, shifting or other movement of such Improvements. All such encroachments shall be measured at the point of encroachment along a line which is perpendicular to the common boundary between the affected properties.

Section 8. Easements for Utilities. The rights and duties of the Owners of Lots or Condominiums within the Community with respect to sanitary sewer, storm drains, water, electricity, gas and telephone lines, cable television (or CATV) lines, security system lines and other facilities shall be governed by the following:

(a) Regulations governing the installation of antennae are more particularly set forth in the Article entitled "Use Restrictions" hereinbelow.

(b) Each respective utility company and private purveyor shall maintain all utility facilities and connections on the Community owned by such utility company; provided, however, that if any company shall fail to do so, it shall be the obligation of each Owner to maintain those facilities and connections located upon

such Owner's Lot or Condominium, and it shall be the obligation of the Master Association to maintain those facilities and connections located upon the Master Association Property.

(c) Wherever sanitary sewer, storm drains, water or gas connections, television cables, electricity, security system or telephone lines are installed within the Community, and it becomes necessary to gain access to said connections, cables and/or lines through a Lot or Condominium owned by someone other than the Owner of the Lot or Condominium served by said connections, cables and/or lines, the Owner of the Lot or Condominium served by said connections, cables and/or lines shall have the right, and is hereby granted an easement to the fullest extent necessary therefor, to enter upon such other Lot or Condominium or to have the utility companies and private purveyors enter upon such other Lot or Condominium to repair, replace and generally maintain said connections, cables and/or lines.

(d) Whenever sanitary sewer, storm drains, water or gas connections, television cables, electricity or telephone lines are installed within the Community, and said connections, cables and/or lines serve more than one (1) Lot or Condominium, the Owner of each Lot or Condominium served by said connections, cables and/or lines shall be entitled to the full use and enjoyment of such portions of same as service his Lot or Condominium.

(e) In the event of a dispute between Owners respecting the repair or rebuilding of the aforesaid connections, cables and/or lines, or the sharing of the cost thereof, said Owners shall first contact the appropriate utility company in an effort to resolve the dispute; provided however, if said dispute remains unresolved, upon written request of one (1) of such Owners addressed to the Master Association, the matter shall be submitted to the Board who, and after Notice and Hearing in which the Owners shall have an opportunity to be heard, shall decide the dispute, and the decision of the Board shall be final and conclusive on the Owners.

(f) Easements over the Community for the installation and maintenance of electric, telephone and cable television lines, water, gas, storm drains and sanitary sewer connections and facilities, utility meters, street lights, mail boxes, fire hydrants and traffic signs as shown on any recorded map of the Community or

otherwise of record are hereby reserved by Declarant, for itself and the Merchant Builders, together with the right to grant and transfer the same. Notwithstanding that an Owner may install Improvements (including landscaping) within a utility easement area with the approval of the Design Review Committee, each Owner acknowledges that such Improvements (including landscaping) may be removed by the respective utility company or Public Agency to maintain, repair or replace any of the foregoing facilities without any liability to the Owner to repair or restore such Improvements (including landscaping).

Section 9. Easements for Maintenance by the Master Association. There is hereby created, granted and reserved a nonexclusive easement in favor of the Master Association for ingress, egress and access on, over and across those portions of the Community as reasonably required by the Master Association to exercise its rights and perform its obligations (including, but not limited to, the maintenance of the Master Association Property and Maintenance Areas as more particularly set forth in the Article herein entitled "Powers and Duties of the Master Association"). When it is necessary for the Master Association to enter upon any Lot or Condominium or any Sub-Association Property for the purpose of: (a) maintaining the Master Association Property and/or Maintenance Areas (including any Street Trees located thereon); (b) bringing an Owner and/or his Lot or Condominium into compliance with the Master Association Documents; or (c) bringing the Sub-Association Property into compliance with the Master Association Documents, the Master Association, and its duly authorized agents and employees, shall have the right, after reasonable notice to the Owner and/or Sub-Association (as the case may be) and at a reasonable hour of the day, to enter upon such Owner's Lot or Condominium or the Sub-Association Property for the performance of such work. Such entry shall be made with as little inconvenience as is practicable, and in the event that any damage shall be proximately caused by such entry, the Master Association shall repair the same as a Common Expense. Notwithstanding the foregoing, in the event of an emergency, such right of entry shall be immediate, and shall not require advance notice.

Section 10. Easements for Maintenance by Sub-Associations. There is hereby created, granted and reserved nonexclusive easements in favor of each Sub-Association for ingress, egress and access on, over and across such portions of the Community as reasonably required to perform its respective maintenance obligations. When it is necessary for a Sub-

Association to enter upon a portion of the Master Association Property that adjoins Sub-Association Property and/or upon any Lot or Condominium that is subject to such Sub-Association to perform any maintenance or other obligation, the Sub-Association, and its duly authorized agents and employees, shall have the right, after reasonable notice to the Master Association and/or Owner (as the case may be) and at a reasonable hour of day, to enter upon the Master Association Property and/or such Owner's Lot or Condominium. Such entry shall be made with as little inconvenience to the Owner as is practicable, and any damage proximately caused by such entry shall be repaired at the Sub-Association's expense. Notwithstanding the foregoing, in the event of an emergency, such right of entry shall be immediate, and shall not require advance notice.

Section 11. Easements for Clustered Mailboxes. In order to comply with the various requirements of the City, County and the United States Postal Service, clustered mailboxes may be installed within the Community. Easements are hereby created on and over the affected portions of the Community in favor of all Owners and the United States Postal Service for delivery, deposit and retrieval of mail. The location of the clustered mailboxes as originally installed may be subject to change as required by the United States Postal Service.

Section 12. Easements Over Sidewalks. There are hereby created, granted and reserved nonexclusive reciprocal appurtenant easements in favor of all Owners, the members of their families, their lessees and tenants and their respective guests and invitees on, over and across all sidewalks located along any street (public or private) within the Community.

Section 13. Easements for Drainage. There are hereby created, granted and reserved over each Lot and each Condominium in the Community nonexclusive appurtenant easements for drainage according to the drainage facilities installed and/or patterns created by Declarant and/or the Merchant Builder in accordance with the approved grading plans for the Community, as well as according to the actual, natural and existing patterns for drainage. In the event the approved grading plans make provisions for "cross drainage," whereby water from a Lot and/or Condominium drains across one (1) or more contiguous Lots or Condominiums by means of surface ditch or subsurface pipe or other facilities, each Owner of a Lot or Condominium affected by such "cross drainage" covenants and agrees for himself and his successors and assigns that he will permit free access by Owners of adjacent or adjoining Lots or Condominiums to all drainage facilities located on his Lot or Condominium which affect such

adjacent or adjoining Lots and/or Condominiums when access is essential for the maintenance of permanent stabilization of slopes, or maintenance of the drainage facilities for the protection and use of the adjacent or adjoining Lots and/or Condominiums. Additionally, each Owner, for himself and his successors and assigns, covenants and agrees that he will not, in any way, interfere with the established drainage patterns over his Lot or Condominium or any drainage facilities located thereon. In the event it is necessary and essential to alter said drainage patterns or facilities for the protection and use of his Lot or Condominium, such Owner shall make adequate provision for proper drainage and shall obtain plans and specifications from a licensed soils or civil engineer and shall submit such plans and specifications to the Design Review Committee for prior review and approval. Further, each Owner, for himself and his successors and assigns, covenants and agrees that he shall maintain and repair all drainage facilities located on his Lot or Condominium in proper working order at all times, including keeping the facility free from dirt, debris and other obstructions.

Section 14. Easements for Community Cable Television, Telecommunication Systems and Alarm System Cabling. There are hereby reserved for the benefit of Declarant, and its successors and assigns permanent, non-exclusive easements in gross on, over, under, across and through: (i) all private and public streets, roads, trails, sidewalks and walkways in the Community (including any Lot or parcel shown as a street or road right-of-way on a final map or parcel map recorded on any portion of the Community and any street or road right-of-way conveyed or dedicated in fee or easement to any governmental agency); (ii) all parkways which are adjacent to any such streets, roads, trails, sidewalks or walkways in the Community; and (iii) all lettered Lots or parcels as shown on a final map or parcel map recorded on any portion of the Community, all for the purposes of constructing, installing (including the right to connect to existing facilities and systems), repairing, replacing, maintaining and using existing or future lines, connections, conduit and other facilities, equipment and systems for any or all of the following: (a) a community antenna television system; (b) alarm system cabling; and (c) electric, gas, cable, telephone, future information technology, water, sewer, drainage facilities and systems; provided however, that the construction, installation, repair, replacement, maintenance and use of such lines, connections, conduit and other facilities, equipment and systems shall not unreasonably interfere with an Owner's use of his respective Lot or Condominium. Declarant hereby reserves the ownership of all such lines, connections, conduit

and other facilities, equipment and systems currently existing and owned by Declarant or hereafter installed by or conveyed to Declarant.

Section 15. Easements for Fiber Optic Cable and/or Other Telecommunication and Video (Broadband) Systems. There are hereby reserved for the benefit of Declarant, and its successors and assigns permanent, non-exclusive easements in gross on, over, under, across and through the dry utilities easement located on each Lot and Condominium in the Community for the installation of fiber optic cable and/or other telecommunication and video (broadband) systems, and for the installation in the Dwelling of a low-voltage structured wiring systems (including RG6 coaxial cable, CAT5e cable, empty conduit and related outlets and other facilities).

Section 16. Reservation of Construction Rights. Without limiting the rights of Declarant and the Merchant Builders set forth in Article II hereinabove, during the period the Community is being developed, nothing in this Master Declaration shall limit the right of Declarant (and/or any Merchant Builder with Declarant's consent) to establish additional licenses, easements and rights-of-way on, over and across the Community in favor of Declarant, a Merchant Builder, Public Agencies, utility companies and private purveyors of utility services, and/or others as may, from time to time, be reasonably necessary for the development, maintenance and proper operation of the Community. The foregoing rights established and reserved herein shall be subject only to the applicable regulations and requirements of the Public Agencies. The foregoing rights may be assigned by Declarant (or by a Merchant Builder with Declarant's consent) to any successor to all or part of Declarant's (or the Merchant Builder's) interest in the Community by an express assignment recorded in the Official Records of Orange County.

Section 17. Reservation of Easements Over Master Association Property. Declarant (and each Merchant Builder with Declarant's consent) hereby reserves the right to grant nonexclusive easements for ingress, egress, access, use and enjoyment over the Master Association Property within the Community in favor of Owners of Lots and/or Condominiums located in any portion of the Annexable Property which is annexed as a subsequent Phase pursuant to this Master Declaration. At such time as the Notice of Annexation recorded on a subsequent Phase becomes effective as provided herein, the Owners of the Lots and/or Condominiums in all prior Phases of the Community shall automatically obtain nonexclusive

easements for ingress, egress, access, use and enjoyment over any Master Association Property included in such subsequent Phase. Notwithstanding the foregoing, portions of the Master Association Property consist of slopes, parkways and other areas that are not intended for recreational or other use by the Owners and other residents within the Community, and accordingly, the aforesaid easements of ingress, egress, access, use and enjoyment shall not apply thereto.

Section 18. Transfer of Master Association Property to Master Association.

(a) Conformance with Plan of Development. Declarant and each Merchant Builder covenants for itself, and its successors and assigns, to convey to the Master Association fee simple title to, an easement over, or a leasehold interest in the Master Association Property located within a particular Phase of the Community, if any, prior to or concurrently with the first Close of Escrow for the sale of a Lot or Condominium in such Phase. Such conveyance shall be subject to the Protective Covenants set forth herein and to any non-monetary liens and encumbrances and to any other matters of record or apparent at the time of such conveyance. All conveyances shall be made in conformity with Declarant's general plan for the development of the Community, as such general plan may be modified, from time to time, by Declarant, in its sole discretion.

(b) Completion of Master Association Property. As more particularly set forth in the Article herein entitled "Enforcement of Bonded Obligations," in the event that Improvements proposed to be constructed on the Master Association Property included in this first Phase of the Community have not been completed prior to the first day of the month following the first Close of Escrow for the sale of a Condominium in this first Phase of the Community (or the Improvements proposed to be constructed on the Master Association Property included in a subsequent Phase have not been completed as of the first Close of Escrow for the sale of a Lot or Condominium in such subsequent Phase, as applicable), as evidenced by a valid Notice of Completion recorded in the Official Records of the County, the completion of such Improvements shall be assured in accordance with Section 11018.5 of the California Business and Professions Code (or any similar statute hereinafter enacted) and the applicable regulations of the DRE.

(c) Commencement of Master Association Responsibilities. Except as otherwise provided herein and/or in the Grant Deed conveying Master Association Property, the Master Association's responsibility to begin maintenance of the Master Association Property and/or any Maintenance Areas included in a Phase of the Community shall commence upon the earlier of: (1) the first day of the month following the first Close of Escrow for the sale of a Lot or Condominium in such Phase to a bona fide purchaser pursuant to a Final Subdivision Public Report issued by the DRE; or (2) the recordation of the grant deed or other instrument conveying the Master Association Property to the Master Association. Notwithstanding the foregoing, if the contractors or subcontractors of Declarant or a Merchant Builder are contractually obligated to maintain or warrant the landscaping or other Improvements on the Master Association Property (or Maintenance Areas) for a specified period of time during which said contractors or sub-contractors shall perform such maintenance, the Master Association shall not interfere with the performance of such warranty or other contractual maintenance obligations. Maintenance performed by such contractors or subcontractors shall not serve to postpone the commencement of Assessments pursuant to this Master Declaration, nor entitle an Owner to claim any offset or reduction in the amount of such Assessments.

(d) Character of Improvements to Master Association Property; Disputes. The nature, design, quality and quantity of all Improvements to the Master Association Property and Maintenance Areas shall be determined by Declarant in its sole discretion. The Master Association shall be obligated to accept title to the Master Association Property and undertake all maintenance responsibilities for the Master Association Property and Maintenance Areas as provided herein. In the event that a dispute arises between Declarant (and/or the Merchant Builders) and the Master Association with respect to the nature, design, quality or quantity of the Improvements, or the acceptance of maintenance responsibilities therefore, the Master Association shall be obligated to accept title to the Master Association Property and to undertake maintenance responsibilities pending resolution of the dispute in accordance with the provisions of this Master Declaration.

ARTICLE IV
THE MASTER ASSOCIATION

Section 1. Membership. Every Owner (including Declarant and each Merchant Builder) shall be a Member of the Master Association. Each Class A Member's membership in the Master Association shall be appurtenant to the Lot or Condominium owned by such Member and shall not be assignable, except to the person or entity to whom the title to such Lot or Condominium has been transferred. Membership in the Master Association shall be in addition to membership in any Sub-Association. Ownership of a Lot or Condominium shall be the sole qualification for Class A membership in the Master Association.

Section 2. Classes of Membership. The Master Association shall have three (3) classes of voting membership, as follows:

(a) Class A Members. Initially, the Class A Members shall be all Owners other than Declarant and the Merchant Builders. Upon the conversion of the Class B Membership as provided below, Declarant and each Merchant Builder shall also become a Class A Member as to those Lots and Condominiums which they own and are paying Assessments levied by the Master Association. Subject to the provisions of the Article herein entitled "Apartment Areas," the Class A Member(s) who own a Lot or a Condominium are allocated one (1) vote for their respective Lot or Condominium. When more than one (1) person holds an ownership interest in a Lot or Condominium, all such persons shall be Class A Members. The vote attributable to such Lot or Condominium shall be exercised as the Owners among themselves determine, but in no event shall more than one (1) Class A vote be cast with respect to any Lot or Condominium. (All references in the Master Association Documents to votes cast by Delegates on behalf of a specified percentage of the Class A Members is intended and shall be interpreted to be consistent with one (1) vote per Lot or Condominium as provided in this Section, except as provided in the Article herein entitled "Apartment Areas.")

(b) Class B Members. The Class B Members shall be Declarant and the Merchant Builders. Except as otherwise provided in Section 3 hereinbelow and in the Article herein entitled "Apartment Areas," each Class B Member shall be entitled to three (3) votes for each Lot or Condominium it owns and is paying the

Assessments levied by the Master Association. The Class B membership shall cease and shall be converted to Class A membership upon the happening of any of the following events, whichever occurs earliest (hereinafter referred to as the "Class B Conversion Date"):

(1) When seventy five percent (75%) of the estimated total number of Dwellings in the overall Community (excluding Apartments) (e.g., currently estimated to be approximately two thousand two hundred twenty five [2,225] Dwellings X 75% equals approximately one thousand six hundred sixty eight [1,668] Dwellings) have been conveyed to Class A Members;

(2) The fifth (5th) anniversary of the first Close of Escrow for the sale of a Lot or Condominium pursuant to the original issuance by the DRE of the most recently issued Final Subdivision Public Report for a Phase of the Community; or

(3) The twenty-fifth (25th) anniversary of the first Close of Escrow for the sale of a Condominium pursuant to a Final Subdivision Public Report issued by the DRE for the first Phase of the Community.

(c) Class C. The Class C Member shall be the Declarant, without regard to whether Declarant is the Owner of a Lot or Condominium in the Community. The Class C Membership shall not be considered part of the voting power of the Master Association, and Declarant shall not be entitled to exercise any Class C vote except for the purpose of electing those members of the Board which the Class C Member is entitled to elect hereunder. The Class C Member shall be entitled to solely elect a majority of the members of the Board until the first to occur of the following events:

(1) When seventy five percent (75%) of the estimated total number of Dwellings in the overall Community (excluding Apartments) (e.g., currently estimated to be approximately two thousand two hundred twenty five [2,225] Dwellings X 75% equals approximately one thousand six hundred sixty eight [1,668] Dwellings) have been conveyed to Class A Members;

(2) The fifth (5th) anniversary of the first Close of Escrow for the sale of a Lot or Condominium pursuant to the original issuance by the DRE of the

most recently issued Final Subdivision Public Report for a Phase of the Community; or

(3) The twenty-fifth (25th) anniversary of the first Close of Escrow for the sale of a Condominium pursuant to a Final Subdivision Public Report issued by the DRE for the first Phase of the Community.

Unless a specific provision of this Master Declaration or the Articles requires the approval of a greater percentage, any action taken by the Master Association which must have the approval of either (i) the Members of the Master Association, or (ii) the "total voting power" of the Master Association, before being undertaken shall require the vote or written assent of at least a majority of the Class B Members and at least a majority of the Class A Members, so long as both the Class A and Class B memberships exist. At such time as the Class B membership ceases and converts to Class A membership as provided above, any action taken by the Master Association which must have the approval of either (i) the Members of the Master Association, or (ii) the "total voting power" of the Master Association, before being undertaken shall require the vote or written assent of at least a majority of all Class A Members and at least a majority of the Class A Members other than the Declarant and the Merchant Builders. Notwithstanding the foregoing, any action by the Master Association pursuant to the Article herein entitled "Enforcement of Bonded Obligations" shall only require a majority of the voting power of the Members, other than the Declarant and the Merchant Builders.

Section 3. Assignment of Merchant Builder Voting Rights. Unless otherwise expressly agreed to in a writing executed by Declarant and a Merchant Builder and such writing is delivered to the Secretary of the Master Association, each Merchant Builder hereby irrevocably assigns to Declarant all Class A and Class B voting rights to which such Builder would be entitled under this Master Declaration, and all such voting rights shall be exercised solely by Declarant's Delegate, as Declarant may deem appropriate in its sole and absolute discretion.

Section 4. Special Voting Procedures for Election of the Board. So long as the Class B or Class C memberships shall remain in effect, Delegates representing the Class A Members (other than Declarant and the Merchant Builders) shall be entitled to solely elect at least twenty percent (20%) of the members of the Board. At such time as the Class B and Class C membership shall cease and terminate, the Declarant's Delegate shall be entitled to solely elect

at least twenty percent (20%) of the members of the Board until development of the Community has been completed and Declarant and each Merchant Builder has concluded its program for selling, leasing or otherwise marketing its Lots and/or Condominiums in the Community.

Section 5. Record Dates. Subject to the provisions of Section 12 below regarding record dates for the determination of Class A Members entitled to notice of any meeting of the Members of the Delegate District, the Board may fix, in advance, record dates for the purpose of determining Members entitled to notice of any other meetings, the votes attributable to each class of membership, or to exercise any other rights under the Master Association Documents.

Section 6. Vesting of Voting Rights. The voting rights attributable to a Lot or Condominium in the Community shall not vest until the Assessments provided for in this Master Declaration have been levied by the Master Association against such Lot or Condominium.

Section 7. The Delegate District System.

(a) Establishment of the Delegate District System. In order to provide for the efficient and effective management of the Master Association, Declarant hereby establishes a representative form of governance for the Master Association which utilizes a Delegate District system of voting, as more fully set forth herein and in the Bylaws.

(b) Formation of Delegate Districts. If any portion of the Community consists of an Apartment Area, such Apartment Area shall constitute a separate Delegate District. If any portion of the Community consists of a Planned Development or a Condominium Project so as to be subject to the jurisdiction of a Sub-Association, all of the Lots or Condominiums subject to the jurisdiction of the respective Sub-Association shall constitute one Delegate District. As to all portions of the Community which are not an Apartment Area or subject to a Sub-Association, each Phase which is annexed into the Community shall constitute a separate Delegate District; provided however, Declarant (or a Merchant Builder with Declarant's consent) may, from time to time: (i) incorporate a new Phase of the Community into an existing Delegate District by so indicating in the Notice of Annexation recorded on such Phase; or (ii) consolidate two or more Delegate Districts by recording a written

instrument signed by Declarant (and the respective Merchant Builder, if applicable) containing a legal description of the affected Delegate Districts, and thereafter such Districts shall constitute a single Delegate District for purposes of this Master Declaration. The Delegate and Alternate Delegate representing any Districts which are consolidated as provided above, shall be entitled to serve the balance of their terms of office.

(c) Delegates and Alternate Delegates. Each Delegate District shall have one (1) Delegate to represent the Members (other than Declarant and any Merchant Builder) in that Delegate District at all meetings of the Master Association and to cast all votes attributable to Members (other than Declarant and all Merchant Builders) in such Delegate District. Each District shall also have one (1) Alternate Delegate to act in the place and stead of the Delegate when the Delegate is absent, disabled or otherwise unable to act. All Delegates and Alternate Delegates must satisfy the eligibility requirements set forth in Section 9 below.

(d) Declarant's Delegate. Declarant shall be entitled to appoint one (1) Delegate ("Declarant's Delegate") to represent Declarant (and the Merchant Builders) at all meetings of the Master Association and to cast all of votes which Declarant is entitled to cast (including the votes assigned by Merchant Builders to Declarant as provided herein). The Declarant's Delegate shall have all of the rights, privileges, powers and duties as other Delegates. Declarant may, from time to time, change the person who it has appointed to serve as the Declarant's Delegate, at its sole discretion. Declarant may also designate an Alternate Delegate to act in the place and stead of the Declarant's Delegate if such Delegate is absent or otherwise unable to act. Declarant shall give written notice to the Board of any such appointment or change in appointment. Declarant's right to appoint a Declarant's Delegate shall cease and terminate at such time as the overall Community has been completed and neither Declarant nor any Merchant Builder owns a Lot or Condominium in the Community or any portion of the Annexable Property.

Section 8. Initial Appointment of Delegates and Alternate Delegates.

Subject to the eligibility requirement set forth in Section 9 below, the Board shall appoint the initial Delegate and Alternate Delegate to represent the Members (other than Declarant and

Merchant Builder) for each newly established Delegate District within sixty (60) days after the first Close of Escrow for the sale of a Lot or Condominium in such Delegate District; provided however, the Owner of an Apartment Area shall appoint the Delegate and Alternate Delegate to represent such Owner within ninety (90) days of the effective date of the annexation of such Apartment Area into the Community. The initial Delegate and Alternate Delegate so appointed shall serve in office until the successor Delegate and Alternate Delegate have been selected as provided in Section 9 below. The Board may, at any time, with or without cause, remove and replace the original Delegate and/or Alternate Delegate appointed by the Board for a Delegate District until the Delegate and Alternate Delegate have been selected as provided herein.

Section 9. Election of Delegates and Alternate Delegates.

(a) Declarant's Delegate. The Declarant's Delegate and Alternate Delegate shall be appointed by the Declarant as provided above.

(b) Delegates for an Apartment Area. The Delegate and Alternate Delegate for a Delegate District consisting of an Apartment Area shall be appointed by the Owner of such Apartment Area as provided above.

(c) Delegates for Areas Subject to a Sub-Association. The Delegate and Alternate Delegate for a Delegate District subject to a Sub-Association shall be the President, any Vice President, the Secretary or the Treasurer of the Sub-Association. The Board of Directors of the Sub-Association shall select the officers who will serve as the Delegate and Alternate Delegate after the first annual meeting of the members of the Sub-Association in accordance with the provisions of the Supplemental Declaration and/or Bylaws for the Sub-Association.

(d) Delegate and Alternate Delegate for Areas Not Subject to Sub-Association. As to all portions of the Community which are not an Apartment Area or which are not subject to a Sub-Association, the Delegate and Alternate Delegate that are the successors to the initial appointed Delegate and Alternate Delegate shall be selected in accordance with the procedures and requirements set forth herein. In all cases, the candidates must satisfy the eligibility requirements set forth in subsection (e) below.

(1) Solicitation of Candidates to Serve as the First Elected Delegates and Alternate Delegates. Within six (6) months after the first Close of Escrow for the sale of a Lot or Condominium in a Delegate District that is not an Apartment Area or subject to a Sub-Association, the Members in such Delegate District (other than Declarant and all Merchant Builders) shall elect their Delegate and Alternate Delegate. At the time that the Board appoints the initial Delegate, the Board may, at its discretion, either (i) concurrently appoint a nominating committee for such Delegate District that shall solicit candidates from among the Members of such District who are willing to serve as its first elected Delegate and Alternate Delegate; or (ii) delegate the task of soliciting candidates who are willing to serve as its first elected Delegate and Alternate Delegate for such District to the property manager for the Community. The nominating committee or the property manager to whom the task of soliciting candidates to serve as the first elected Delegate and/or Alternate Delegate has been delegated is referred to herein as the "Delegate Candidate Solicitor."

(2) Appointment of the Delegates by the Board of the Master Association. If the Delegate Candidate Solicitor is unable to identify at least two (2) eligible Members of a Delegate District who are willing to serve as the first elected Delegate and/or Alternate Delegate, the Board of the Master Association shall appoint the Delegate and/or Alternate Delegate to represent such Delegate District.

(3) Election of the Delegates. If the Delegate Candidate Solicitor identifies two (2) or more eligible Members who are willing to serve as the first elected Delegate and/or Alternate Delegate, the Delegate Candidate Solicitor shall request the Secretary of the Master Association to call a meeting of the Members of the Delegate District (other than Declarant and all Merchant Builders) in accordance with the provisions of Section 11 below for the sole purpose of electing such Delegate and/or Alternate Delegate. The Board shall adopt procedures that provide the candidates a reasonable opportunity to communicate their qualifications and reasons for candidacy to Class A Members within their respective District and to solicit votes. The Delegate Candidate Solicitor shall

conduct the election as provided herein. The Delegate and/or Alternate Delegate shall be elected by a majority of a quorum of the Members of such District (other than Declarant and all Merchant Builders) who are in attendance at a duly called and noticed meeting of the Members of such Delegate District either in person or by proxy. Alternatively, such Delegate and/or Alternate Delegate may be elected by written ballot without a meeting of the Members of such District if conducted in accordance with the provisions of Section 11 below. Each Class A Member of the Delegate District shall have the number of votes specified in Section 2 above. Election by written ballot shall be valid only when the total number of votes cast by ballot within the time period specified equals or exceeds the quorum which is required to be present at a meeting of the Members of the Delegate District (other than Declarant and all Merchant Builders), as more particularly described in Section 11(e) below. The candidate receiving the greatest number of votes cast shall be elected as the Delegate and the candidate receiving the second greatest number of votes cast shall be elected as the Alternate Delegate. The Delegate Candidate Solicitor shall certify in writing to the Board of the Master Association, the name and address of the Delegate and/or Alternate Delegate elected, the time and place of the meeting or election, and the Delegate District which the Delegate and Alternate Delegate represent. The Master Association shall not be obligated to recognize any Delegate or Alternate Delegate, or the votes or written assents cast by them, unless the Master Association has first received written confirmation of such election from the Delegate Candidate Solicitor.

(4) Appointment of the Delegate and Alternate Delegate by the Board of Directors. Notwithstanding the provisions of this subsection (d), if a majority of a quorum of the Members of a Delegate District (other than the Declarant and all Merchant Builders) shall vote in the affirmative, the Members of such Delegate District may confer the right and power to appoint the initial elected and/or any successor Delegate and Alternate Delegate for such Delegate District to the Board of Directors of the Master Association. Upon receipt of notice of such affirmative vote, the Board shall thereafter appoint the Delegate and Alternate Delegate to represent such Delegate District until such time as a

majority of a quorum of the Members of such Delegate District (other than the Declarant and all Merchant Builders) vote to reassume such right and power. Without limiting the foregoing, the Board of Directors shall have the right and power, at any time, to appoint the Delegate and Alternate Delegate for any Delegate District if there are less than two (2) candidates who are willing to serve as the Delegate for such District. Any Delegate or Alternate Delegate appointed by the Board may be removed at any time by the Board and a successor Delegate or Alternate Delegate shall be appointed by the Board.

(e) Eligibility Requirements for Delegates. The Declarant's Delegate and Alternate Delegate must be an employee or authorized agent of the Declarant. The Delegate and Alternate Delegate for an Apartment Area must be the Owner, an employee or an authorized agent of the Owner of such Apartment Area. All other Delegates and Alternate Delegates representing the Members (other than Declarant and the Merchant Builders) in a Delegate District must each be an Owner of a Lot or Condominium in the respective Delegate District and must be in "good standing" with the Master Association (and with the respective Sub-Association, if applicable) as set forth in subsection (h) below.

(f) Term of Office of Delegates.

(1) Declarant's Delegate. The Declarant's Delegate and Alternate delegate shall serve at the discretion of the Declarant.

(2) Delegate for an Apartment Area. The Delegate and Alternate Delegate for an Apartment Area shall serve at the discretion of the Owner of such Apartment Area.

(3) Delegates for Sub-Association. The term of office for the Delegate and Alternate Delegate representing Members subject to a Sub-Association shall be coincident with such Delegate's term of office as an officer of the Sub-Association.

(4) Delegates for Areas Not Subject to a Sub-Association. Subject to the vacancy provisions set forth below, the term of office for each Delegate and Alternate representing the Members in a District not subject to a Sub-Association shall be two (2) years and shall commence on the day the Delegate (or Alternate)

is elected by the Members (or is appointed by the Board) as provided in this Section, and shall continue for said two (2) year term or until a successor has been elected (or appointed) as provided herein, whichever is later. The successor Delegate and Alternate Delegate shall be elected by the Class A Members in the District (or appointed by the Board of the Master Association) in accordance with the provisions of this Section and Section 11 below.

(5) Consecutive Terms. Delegates may serve consecutive terms of office, whether as a Delegate, Alternate Delegate or combination thereof.

(g) Vacancies. The office of a Delegate (and Alternate Delegate) shall be deemed vacant if the Delegate (or Alternate Delegate) dies, resigns, sells his Lot or Condominium, is removed by the vote of the Members of the Delegate District (or is removed by the Board if the Delegate [or Alternate Delegate] was appointed by the Board), is judicially declared mentally incompetent, or fails to satisfy the eligibility requirements set forth hereinabove. Such vacancies shall first be filled by the Alternate Delegate, but if there is no Alternate Delegate, the Board shall appoint a Delegate and/or Alternate Delegate until such office(s) are filled by a special election by the Members of the Delegate District in accordance with the provisions of this Article. Subject to the eligibility and vacancy requirements, each Delegate and Alternate Delegate shall serve the remainder of the unexpired term of his predecessor. An officer of a Sub-Association serving as a Delegate or Alternate Delegate shall be deemed removed concurrently with his removal as an officer of the Sub-Association.

(h) Good Standing. In order to be eligible to serve as a Delegate (or Alternate Delegate), a Member must be in "good standing" with the Master Association (and with his respective Sub-Association, if applicable). "Good Standing" means that the Member has been current in the payment of Assessments for eleven (11) of the last twelve (12) consecutive months, and was not been in willful violation of the Master Association Documents within the past twelve consecutive months.

Section 10. Voting by the Delegates.

(a) Representative System. All meetings of the Master Association shall be attended by the Delegates (or Alternate Delegates, as applicable) representing

and casting the votes of the Members of their respective Delegate Districts (other than Declarant and the Merchant Builders) and by Declarant's Delegate (or Alternate Delegate) representing and casting the votes attributable to Declarant and the Merchant Builders, as provided herein. Members who are not Delegates may attend and observe any meeting of the Master Association (to the extent of the permissible capacity of the meeting room), but may not participate in any of the deliberations of the Delegates at that meeting or in the voting by the Delegates on any matter whatsoever. Delegates must act personally at a meeting of the Delegates of the Master Association or by written ballot, and may not act by proxy. If a Delegate is not present at a duly called meeting of the Delegates, then the Alternate Delegate for such absent Delegate may attend the meeting and exercise all rights and powers and cast the votes to which the absent Delegate would be entitled. If the Alternate Delegate is also not present at a duly called meeting of the Delegates, the Board of Directors may appoint any member of the Delegate District who is in attendance to serve as an "Interim Acting Delegate" solely for such meeting to exercise all rights and powers and cast the votes to which the absent Delegate would be entitled. If the previously absent Delegate (or Alternate Delegate) should arrive prior to the adjournment of any such meeting, the Alternate Delegate (or Interim Acting Delegate) shall no longer be entitled to act in the place of such Delegate (or Alternate Delegate); provided that such relinquishment of authority by the Alternate Delegate (or Interim Acting Delegate) shall not invalidate any matter previously voted or acted upon by such Delegate in his temporary capacity as the Delegate.

(b) Number of Delegate Votes. At a meeting of the Master Association, each Delegate shall be entitled to cast the voting power attributable to the Members in such Delegate District in accordance with the provisions of Section 2 hereinabove; provided however, no voting rights are attributable to the Members of a Lot or Condominium who are not in good standing with the Master Association, (and/or their respective Sub-Association) whereby their voting rights have been suspended after Notice and Hearing; and provided further that only the Declarant's Delegate shall cast the votes attributable to the Declarant (and the Merchant Builders) as provided herein. The Delegate for a Delegate District consisting of an Apartment

Area shall cast the votes applicable to such Apartment Area as provided in the Article herein entitled "Apartment Areas."

(c) Voting Procedures. Except as otherwise provided hereinbelow, Delegates representing the Members (other than Declarant and the Merchant Builders) may not exercise any discretion when casting the votes attributable to their respective Delegate District, unless the Delegate has been authorized to act on behalf of a Member pursuant to a proxy. Each Delegate is intended to be a vote carrier for the Members (other than Declarant and the Merchant Builders) in his respective Delegate District. Accordingly, (i) whenever a matter is designated in a notice of a meeting as an item that must be approved by the vote or written assent of Delegates representing a specified percentage of the membership or total voting power of the Master Association, (ii) whenever the Master Association Documents require that any matter or action be approved by the vote or written assent of Delegates representing a specified percentage of the membership or total voting power of the Master Association, and/or (iii) whenever Directors are to be elected, (individually referred to as a "Voting Proposal"), the Voting Proposal shall first be submitted to the vote of the Members in each Delegate District as set forth in Section 11 below. After such vote by the Members in each District, the Delegate shall cast all of the votes he represents "for" or "against" the Voting Proposal (or for the individual candidates, in the case of the election of Directors). In determining the number of votes to be cast by the Delegate, the following procedures shall govern:

(1) Votes Cast by Members. The number of votes cast by the Members who actually voted at the meeting of the Members of the Delegate District as described in Section 11 hereinbelow, whether in person, by proxy or written ballot, "for" or "against" the Voting Proposal (or for individual candidates, in the case of the election of Directors) shall be cast by the Delegate in precisely the same numbers as cast by such Members.

(2) Votes for Absentee Members. The votes attributable to absentee Members (i.e., Members who did not cast a vote in person, by proxy or written ballot) shall not be cast by the Delegate "for" or "against" the Voting

Proposal and shall not be considered in determining the votes cast by the Delegate.

(3) Abstentions. Abstentions shall not be considered in determining the votes cast by the Delegate.

(4) Cumulative Voting. The election of Directors shall be by cumulative voting when more than one (1) Director is to be elected. Cumulative voting rights may be exercised only by the Members and not by the Delegates. The Delegate shall cast all of the votes he represents for the individual candidates in precisely the same numbers as cast by the Members.

(5) Discretionary Action by the Delegates. At a meeting of the Delegates, any matter that was not included in the notice of the meeting, but which may be properly presented at the meeting for action, may be decided by the Delegates without the prior vote or written assent of the Members of their respective Delegate Districts if the decision to take action is approved by Delegates representing at least seventy-five percent (75%) of the total voting power of the Master Association; provided however, in all events any decision to increase Regular Assessments by more than twenty percent (20%) above the maximum Regular Assessment for the preceding fiscal year, to levy any Special Assessment, to discuss the commencement of a legal action pursuant to California Civil Code 1375 or any other action for alleged defects in the design and/or construction of any Improvements within the Community, and/or to materially amend the Master Association Documents as provided in Article XV hereinbelow entitled "Mortgagee Protection" shall require prior direction from the Members of the Delegate Districts.

(d) Meetings of the Master Association. All of the provisions regarding the meetings of the Master Association (including, but not limited to, regular and special meetings, notice of meetings, quorum requirements, etc.) are set forth in the Bylaws of the Master Association.

Section 11. Meetings of the Members of the Delegate Districts. Meetings of the Members of the Delegate Districts shall be duly called and noticed by the Secretary of the Master Association in accordance with the provisions of this Section. The Delegate

or Alternate Delegate shall act as the chairman for all meetings with the Members of the Delegate District and shall designate a secretary to take minutes of the meeting of the Members of the Delegate District. The Members of the Delegate District may take action by vote or written assent at such meeting or by action without a meeting as provided herein.

(a) Calling of Meetings. As to each Delegate District which is not an Apartment Area or subject to a Sub-Association, the Secretary of the Master Association shall duly call and give notice of meetings of the Members of the Delegate Districts not more than ninety (90) days prior to the termination of the Delegate's term of office to either: (i) nominate candidates for the office of Delegate and Alternate Delegate to represent the Members of the Delegate District; or (ii) authorize the Board to appoint the Delegate and Alternate Delegate, if the Members of such Delegate District have not previously conferred the right and power to appoint the Delegate and Alternate Delegate to the Board as provided above. Additionally, as to each Delegate District which is not an Apartment Area or subject to a Sub-Association, the Secretary of the Master Association shall duly call and give notice of meetings of the Members of the Delegate Districts not more than thirty (30) days prior to the termination of the Delegate's term of office to elect the Delegate and Alternate Delegate if two (2) or more candidates are seeking to be elected as the Delegate to represent the Members of the Delegate District. Further, as to each Delegate District which is not an Apartment Area or subject to a Sub-Association, the Secretary of the Master Association shall duly call and give notice of meetings of the Members of the Delegate Districts as directed by the Board to vote upon Voting Proposals.

(b) Notice of Meetings. Written notice of the meeting shall be sent to each Member of record and to each Eligible Mortgage Holder at least five (5) days prior to such meeting; provided however, notice of the meeting to elect the Delegate and Alternate Delegate for the District need not be given to Declarant or to any Merchant Builder. The mailing of notice, postage prepaid, in the manner provided in this Section, shall be considered notice served two (2) business days after said notice has been deposited in a regular depository of the United States mail. Such notice

shall state the place, date and time of the meeting and the matters to be acted upon by the Members of the Delegate District.

In the case of the election of the Delegate and/or Alternate Delegate, the notice to Members shall identify the candidates. The nomination of candidates from the floor of the meeting of the Members of the Delegate District is permissible. The Board shall establish procedures which provide reasonable opportunity to the candidates to communicate their qualifications and reasons for candidacy to the Members of their Delegate District and to solicit votes. Cumulative voting shall not be required for the election of the Delegate and/or Alternate Delegate.

In the case of Voting Proposals (including the election of Directors to the Board), the notice shall include, a description of the particular Voting Proposal (including the names of all candidates for Directors of the Board, in the case of the election of Directors), and in the case of the election of Directors, a statement that cumulative voting procedures shall be followed for all elections of Directors where more than one (1) Director is being elected. The nomination of candidates for Directors of the Board from the floor of the meetings of Members in the Delegate Districts is not permissible.

(c) Special Meetings. A special meeting of the Members of a Delegate District shall be promptly called by the Secretary of the Master Association as provided in the Bylaws or herein or as directed by a majority of a quorum of the Board; or upon written request from (i) Declarant, for so long as Declarant is a Class B or Class C Member; (ii) the Merchant Builder for such Delegate District, if the Merchant Builder is a Class B Member; or (iii) the Delegate representing such Delegate District and the Members in the Delegate District having not less than five percent (5%) of the voting power within such Delegate District attributable to Members other than Declarant and any Merchant Builders. To be effective, such written request shall be delivered to the President or to the Secretary of the Master Association. The Board shall then cause at least ten (10) days notice to be given to all Members in such Delegate District (including Declarant and any Merchant Builders) that a meeting will be held at a time and place fixed by the Board not less than ten (10) days, nor more than thirty (30) days after receipt of the written request. The

notice of the special meeting shall specify the general nature of the business to be undertaken and that no other business may be transacted.

(d) Proxies. Every Member entitled to attend, vote at or exercise consents with respect to any meeting of the Members in any Delegate District may do so either in person or by proxy, duly executed in writing and filed with the Delegate prior to the meeting to which it is applicable. A proxy shall afford the Member the opportunity to specify a choice between approval and disapproval of each Voting Proposal or group of Voting Proposals to be acted upon, and in the cases of the election of the Delegate (and Alternate) or the election of the Directors of the Master Association, the preferred candidate(s). The proxy shall provide that where a Member specifies a choice, the vote shall be cast in accordance with that choice. The proxy shall also identify the person or persons authorized to exercise the proxy and the length of time it shall be valid. Every proxy shall be revocable and shall automatically terminate upon the earliest of the following: (i) the conveyance by the Owner of his Lot or Condominium; (ii) the date of automatic termination, if any, specified in the proxy, but not to exceed three (3) years from the date of the issuance of the proxy; or (iii) eleven (11) months from the date of issuance of the proxy, if no automatic termination date is specified in the proxy.

(e) Member Voting Rights. Voting by the Members at Delegate District meetings shall be by secret written ballot. The right to vote in any Delegate District may not be severed from the ownership of the Lot or Condominium to which it is appurtenant, except that any Member may give a revocable proxy as provided above, or may assign his right to vote to a contract purchaser, a lessee, employee or tenant actually occupying his Lot or Condominium or to the Mortgagee of the Lot or Condominium concerned, for the term of the lease or Mortgage. Any sale, transfer or conveyance of a Lot or Condominium to a new Owner or Owners shall operate automatically to transfer the appurtenant vote to the new Owner, subject to (i) any record date established by the Board as provided herein, and (ii) any outstanding assignment of the right to vote to a contract purchaser, lessee or Mortgagee as provided herein. When more than one (1) person or entity has an ownership interest in any Lot or Condominium, all such Owners shall be Members of the Delegate

District and may attend any meeting of the Members, but the vote attributable to the Lot or Condominium shall be exercised as they among themselves determine. Co-Owners of a Lot or Condominium may from time to time designate in writing one (1) of their number authorized to cast their vote. Fractional votes shall not be allowed, and the vote for each Lot or Condominium shall be exercised, if at all, as a unit. No vote shall be cast for any Lot or Condominium if the co-Owners present in person or by proxy are unable to agree as to how their vote should be cast. Unless the Delegate receives a written objection in advance from a co-Owner, it shall be conclusively presumed that the voting co-Owner is acting with the consent of all other co-Owners.

(f) Quorum. The presence, in person or by proxy, of Members representing at least twenty-five percent (25%) of the voting power attributable to Members other than Declarant and the Merchant Builders and twenty-five percent (25%) of the voting power attributable to Declarant and the Merchant Builders shall constitute a quorum for the transaction of business at a meeting of the Members of a Delegate District; provided however, the voting power attributable to Declarant and the Merchant Builders is not required to establish a quorum for a meeting of the Members of a Delegate District to elect their Delegate and/or Alternate Delegate. In the absence of a quorum at a meeting, a majority of those present, in person or by proxy, may adjourn the meeting to another time, but may not transact any other business. An adjournment for lack of a quorum shall be to a date not less than five (5) days and not more than thirty (30) days from the original meeting date. Except as may otherwise be required pursuant to the Master Association Documents, the quorum for such a meeting shall be at least fifteen percent (15%) of the necessary voting power(s) of the Delegate District present, in person or by proxy. If a time and place for the adjourned meeting is not fixed by those in attendance at the original meeting, or if for any reason a new date is fixed for the adjourned meeting after adjournment, notice of the time and place of the adjourned meeting shall be given to Members in the manner prescribed for the original meeting.

(g) Action Without a Meeting. Any action that may be taken by the Members of a Delegate District at a meeting of the Members may be taken without a meeting if the following requirements are satisfied:

(1) In the case of Voting Proposal other than the election of Directors where cumulative voting is required, the Secretary of the Master Association shall distribute to each Member of the Delegate District a written ballot in accordance with the provisions of Section 7513 of the California Corporations Code. In the case of the election of Directors where cumulative voting is required, the Secretary of the Master Association shall distribute to each Member of the Delegate District written instructions to the Delegate and proxy ("Delegate Instructions") by any means reasonably calculated to give notice to the Member (e.g., given personally, given by first-class mail [registered or certified] addressed to the Member at the address appearing on the books of the Master Association as the address for receipt of notices, or given by electronic mail, if requested by the Member). The ballot and the Delegate Instructions shall both provide a reasonable time within which to be returned.

(2) Each ballot and each Delegate Instructions shall set forth: (i) each proposed action, (ii) an opportunity to specify approval or disapproval of each proposed action (or in the case of the election of Directors, the candidate(s) voted for), (iii) a reasonable time within which to return the ballot or Delegate Instructions to the Master Association pursuant to applicable law in order to be counted, (iv) the number of responses needed to meet the quorum requirement for the Delegate District, and (v) the percentage of approvals necessary to approve each proposed action. Ballots and Delegate Instructions shall be solicited in a manner consistent with the requirements of Section 7511 and 7514 of the California Corporations Code, as same may be amended from time to time. The solicitation must specify the time by which the ballot or Delegate Instructions must be received in order to be counted.

(3) The proposed action taken by the Members without a meeting by written ballot shall be approved if (i) within the time period specified, the number of votes cast by ballot equals or exceeds the quorum required to be present at a meeting authorizing the action, and (ii) the number of approvals equals or exceeds the number of votes that would be required for approval at a

meeting at which the total number of votes cast was the same as the number of votes cast by ballot.

(4) The votes for Directors cast by the Members pursuant to the Delegate Instructions shall be cast by the Delegate at the meeting of the Master Association in accordance with the provisions of Section 10 above.

(5) A written ballot and a Delegate Instruction may not be revoked.

(6) All written ballots and all Delegate Instructions shall be filed with the Secretary of the Master Association and maintained in the corporate records.

Section 12. Record Date. The Board of Directors may fix a date as a record date for the determination of the Class A Members (other than Declarant and the Merchant Builders) entitled to notice of any meeting of the Members of the Delegate District. Any record date fixed by the Board shall ensure reasonable time to comply with all notice requirements set forth in the Master Association Documents. If the Board does not fix a record date for notice to Delegate District Members, the record date for notice shall be the close of business on the tenth (10th) business day preceding the day on which notice is to be given. In addition, the Board may fix a date in the future as a record date for the determination of the Members entitled to vote. The record date so fixed shall be not more than sixty (60) days prior to the date of the meeting. If the Board does not fix a record date for determining Members entitled to vote, Members on the day of the Delegate District meeting who are otherwise eligible to vote are entitled to vote at the meeting.

Section 13. Delegate Voting Reports. In order to verify compliance with the voting procedures set forth herein, the Declarant's Delegate and each other Delegate shall deliver to the Secretary of the Master Association at the meeting of the Delegates a certification containing the following information: (i) the total number of votes which such Delegate represents; (ii) the total number of votes cast by Declarant and/or the Merchant Builders "for" and "against" a Voting Proposal (or for individual candidates in the case of the election of Directors); and (iii) the total number of votes which were cast by the Members of the Delegate District "for" and "against" a Voting Proposal (or for individual candidates in the case of the election of Directors). The Secretary of the Master Association, or the person designated as the

inspector of the election, shall tabulate the total number of votes cast by all Delegates in each of the foregoing categories in order to determine whether the necessary approvals have been obtained. It will be conclusively presumed for purposes of all Master Association business that each Delegate (or Alternate Delegate or Interim Acting Delegate) casting votes on behalf of the Members in his Delegate District acted with the authority and consent of the Members in his respective District, and that Declarant's Delegate acted with the authority and consent of the Declarant and the respective Merchant Builders. All agreements and determinations lawfully made by the Master Association in accordance with the voting procedures established herein and in the Bylaws shall be deemed to be binding upon all Owners and their respective successors and assigns.

ARTICLE V

POWERS AND DUTIES OF THE MASTER ASSOCIATION

Section 1. Management Body. The Master Association is hereby designated as the management body of the Community, and the affairs of the Master Association shall be managed by the Board in accordance with the Bylaws of the Master Association. The initial Board shall be appointed by the incorporators or their successors. Thereafter, the Board shall be elected as provided herein and in the Bylaws.

Section 2. Powers. The Board, for and on behalf of the Master Association, shall have the right and power to perform all lawful acts which may be necessary to conduct, manage and control the affairs and business of the Master Association. Subject to the provisions of the Master Association Documents, the Board shall have all general powers authorized under the California Corporations Code for nonprofit, mutual benefit corporations, and shall have the specific powers to perform the following:

(a) Enforce the provisions of the Master Association Documents, and conduct disciplinary proceedings against Members for violations of the Master Association Documents in accordance with the Notice and Hearing procedures set forth in the Bylaws;

(b) Acquire and hold title, (whether in fee, by easement or leasehold) to the Master Association Property;

(c) Subject to the provisions of this Master Declaration and any Landscape Maintenance Agreement, maintain, repair, replace and reconstruct all Master Association Property and Maintenance Areas so as to keep same in a neat, clean, safe and attractive condition at all times, and pay for all utilities, maintenance and other necessary services for the Master Association Property and Maintenance Areas all as more specifically set forth in the Article herein entitled "Repair and Maintenance;"

(d) Maintain fire, casualty, liability and worker's compensation insurance coverage, fidelity bonds and other insurance coverage, as more particularly set forth in the Article herein entitled "Insurance;"

(e) Cause budgets and other financial statements for the Master Association to be regularly prepared and distributed to the Members as provided herein;

(f) Grant easements or licenses where necessary for utilities over the Master Association Property to serve all or any portion of the Community;

(g) Grant nonexclusive easements over portions of the Master Association Property in favor of a Sub-Association for the purpose of permitting the Sub-Association to perform its respective maintenance responsibilities;

(h) Execute lot line adjustments (and corresponding deeds); grant fee title to or easements over the Master Association Property to Declarant, a Merchant Builder, a Sub-Association, a Public Agency and/or a third party; and/or accept grants of fee title to or easements over real property from Declarant, a Merchant Builder, a Sub-Association, a Public Agency and/or a third party as provided in the Article herein entitled "Property Rights Regarding the Master Association Property and Reservations of Easements;"

(i) Levy and collect Assessments on all Lots and Condominiums in the Community for which Assessments have commenced in an amount sufficient to enable the Master Association to fully perform its duties under the Master Association Documents, and enforce payment of such Assessments in accordance with the terms and provisions set forth in the Article herein entitled "Nonpayment of Assessments: Remedies of the Master Association";

(j) Pay all taxes and special assessments which would be a lien upon the entire Community or the Master Association Property, and discharge any lien or encumbrance levied against the entire Community or the Master Association Property;

(k) Reconstruct all Master Association Property and Maintenance Areas which may be damaged or destroyed;

(l) Elect the officers of the Master Association and fill vacancies on the Board unless such vacancy was created by the removal of a Director by the Delegates;

(m) Engage the services of a professional property manager and/or management company to perform all or any portion of the duties and responsibilities of the Board with respect to administration of the Master Association;

(n) Engage the services of attorneys, accountants, architects, and other consultants as reasonably necessary and proper for the efficient operation of the Master Association, the enforcement of the Master Association Documents, or the performance of any other duties or exercise of any other rights of the Master Association;

(o) Enter into a maintenance and/or subsidy agreement made by and between the Master Association and the Declarant and/or a Merchant Builder for a term and on such conditions as are acceptable to the Board and the DRE for the purpose of reducing the any Assessments levied on Lots and Condominiums in the Community (including Lots and Condominiums owned by the Declarant and/or any Merchant Builder);

(p) In addition to the Master Association's rights to perform certain maintenance and repairs if a Sub-Association fails or refuses to perform such maintenance or repairs as required by a Supplemental Declaration, provide services to any Sub-Association on terms and conditions which are mutually agreeable to the Master Association and such Sub-Association. In any case, any such agreement shall be in writing and shall be executed by two (2) authorized officers of the Master Association and the Sub-Association pursuant to duly adopted resolutions of the Boards of Directors of the Master Association and the Sub-Association;

(q) Coordinate with each Sub-Association, to the maximum extent feasible, the contracting of maintenance of the Master Association Property with the contracting of maintenance of the Sub-Association Property by a Sub-Association (e.g., maintenance of the Master Association Property landscaped areas with the maintenance of the Sub-Association Property landscaped areas, etc.) and/or other goods and services, in order to maximize the efficient operation of the Master Association and the various Sub-Associations; and

(r) Adopt reasonable Rules and Regulations concerning the maintenance, improvement, use and/or occupancy of the Community;

(s) Delegate its powers to officers, committees, employees and agents as provided herein;

(t) Perform its obligations under any contract or other agreement entered into by the Master Association (including, without limitation, any Landscape Maintenance Agreement);

(u) Enter into any Lot or Condominium (including the Dwelling) when necessary in connection with maintenance or construction for which the Master Association is responsible;

(v) Maintain a website and provide internet services to the Owners and other residents within the Community;

(w) Provide social and/or educational events, activities and/or other opportunities for the Members; and

(x) Perform any and all other acts and things that a California nonprofit, mutual benefit corporation is empowered to do, which may be necessary, convenient or appropriate in the administration of its affairs for the specific purposes of carrying out its duties as set forth in this Master Declaration.

Section 3. Duties. The Board shall perform and execute the following duties on behalf of the Master Association:

(a) Provide, water, sewer, gas, electricity, garbage and trash collection, and other necessary services for the maintenance, repair and proper operation of the Master Association Property and Maintenance Areas;

(b) Provide insurance for the Master Association and its Members in accordance with the provisions of the Article herein entitled "Insurance;"

(c) Subject to the provisions of this Master Declaration and any Landscape Maintenance Agreement, maintain, irrigate, inspect, paint, repair, replace and/or restore (as applicable) all Master Association Property and Maintenance Areas so as to keep same in a neat, clean, safe, attractive, sanitary and orderly condition at all times as set forth in the Article herein entitled "Repair and Maintenance;"

(d) Pay all real and personal property taxes and assessments which the Master Association is required to pay for pursuant to the terms and provisions of this Master Declaration or by law, unless separately assessed to Owners; provided, however, that it shall be the obligation of each Owner to pay his respective share of the tax assessment levied on the Community prior to separate assessments by the County Tax Assessor pursuant to the applicable provisions of the California Revenue and Taxation Code;

(e) Contract for any other material, supplies, furniture, labor, services, maintenance, repairs, structural alterations and insurance which the Master Association is required to pay for pursuant to the terms and provisions of this Master Declaration or by law;

(f) Cause the following financial statements for the Master Association to be regularly prepared and distributed to each Member of the Master Association:

(1) A pro forma operating budget for each fiscal year shall be distributed not less than forty-five (45) days nor more than sixty (60) days prior to the beginning of the fiscal year, and shall contain all of the following information:

(i) An itemized estimate of the Master Association's revenue and expenses, determined on an accrual basis, together with a separate itemized estimate of the funds to be collected and expended for each Special Benefit Area;

(ii) A summary, printed in bold type, of the current status of the Master Association's reserves, based upon the most recent review or study conducted pursuant to California Civil Code Section

1365.5 ("Study"), as may be amended from time to time, setting forth the following:

(A) The current estimated replacement costs, estimated remaining life and the estimated useful life of the Master Association Property and Maintenance Areas, together with an explanation of the methods of funding being utilized by the Master Association to defray the costs of future repairs, replacements or additions to the Master Association Property and Maintenance Areas;

(B) As of the end of the fiscal year for which the Study was prepared, the current estimate of the amount of cash reserves necessary to repair, replace, restore or maintain the major Improvements to the Master Association Property and Maintenance Areas;

(C) As of the end of the fiscal year for which the Study was prepared, the accumulated cash reserves actually set aside to repair, replace, restore or maintain such major Improvements to the Master Association Property and Maintenance Areas; and

(D) The percentage that the accumulated cash reserves which have been set aside is of the current estimate of the amount of cash reserves which will be necessary.

A summary of the Master Association's reserves disclosed as provided herein shall not be admissible in evidence to show improper financial management of the Master Association, provided that other relevant and competent evidence of the financial condition of the Master Association is not made inadmissible by this provision;

(iii) A statement as to whether the Board has determined or anticipates that the levy of one (1) or more Special Assessments will be required to repair, replace or restore any major Improvements to the

Master Association Property and Maintenance Areas or to provide adequate reserves thereof; and

(iv) A general statement addressing the procedures utilized by the Master Association to calculate and establish reserves to defray the costs of future repairs, replacements, additions to the major Improvements to the Master Association Property and Maintenance Areas.

In lieu of distributing the pro forma operating budget required hereinabove to all Members, the Board may elect to distribute a summary of the pro forma operating budget to all Members with a written notice, in at least 10-point bold type on the front page, that the pro forma operating budget is available at the business office of the Master Association, or at another suitable location within the Community, and that copies will be provided upon request and at the expense of the Master Association. If any Member requests that a copy of the pro forma operating budget required herein be mailed to said Member, the Master Association shall mail the copy to the Member by first class mail at the expense of the Master Association within five (5) days of the receipt of said request.

A review of the Master Association's financial statement shall be prepared by a licensee of the California Board of Accountancy in accordance with generally accepted accounting principles for any fiscal year in which the gross income of the Master Association exceeds Seventy-Five Thousand Dollars (\$75,000.00). If the review of the Master Association's financial statement is not prepared by an independent licensee of the California Board of Accountancy, said review shall be accompanied by a certificate from an authorized officer of the Master Association that the review was prepared from the books and records of the Master Association without an independent audit. An Eligible Mortgage Holder may have an audited financial statement prepared at its own expense. A copy of such review of the financial statement shall be distributed within one hundred twenty (120) days after the close of each fiscal year.

(2) A statement of the Master Association's policies and practices in enforcing its remedies against Members for nonpayment of Assessments, as set forth in the Article herein entitled "Nonpayment of Assessments: Remedies of the

Master Association,” which shall be distributed within sixty (60) days prior to the beginning of the fiscal year.

(g) Review on at least a quarterly basis, the following:

- (1) A current reconciliation of the Master Association's operating accounts;
- (2) A current reconciliation of the Master Association's reserve accounts;
- (3) The current year's actual amounts collected as reserves and expenses compared to the current year's budget;
- (4) An income and expense statement for the Master Association's operating and reserve accounts; and
- (5) The most current account statements prepared by the financial institutions where the Master Association maintains its operating and reserve accounts.

The withdrawal of funds from any of the Master Association's reserve accounts shall require the signature of either: (i) two (2) members of the Board; or (ii) one (1) member of the Board and an officer of the Master Association who is not also a member of its Board. As used in this Section, “reserve account” means moneys that the Board has identified from its annual budget for use to defray the future repair or replacement of, or additions to, those major components of the Master Association Property and Maintenance Areas which the Master Association is obligated to repair or replace on a periodic basis, rather than on a regular annual basis. The Board shall not expend funds collected and budgeted as “reserve” moneys for any purposes other than as permitted by California Civil Code Section 1365.5, as same may be amended from time to time. Further, all funds collected from a Special Benefit Area to cover such Area's Special Benefit Expenses shall be deposited into separate operating and reserve accounts for the benefit of such Special Benefit Area so as not to be commingled with other operating and reserve funds collected by the Master Association, shall be used solely for such Area and shall be used solely for the purpose for which such funds were collected. Notwithstanding the foregoing, the

Board is authorized to transfer interest earned in all reserves into the general operating account in order to satisfy income taxes payable on such interest income.

(h) At least once every three (3) years, cause to be conducted a reasonably competent and diligent visual inspection of the accessible areas of the major components of the Master Association Property and Maintenance Areas as part of a study of the reserve account requirements for the Community if the current replacement value of such major components is equal to or greater than one half ($\frac{1}{2}$) of the gross budget of the Master Association (excluding the Master Association's reserve account for that period). The Board shall review this study annually and shall consider and implement necessary adjustments to the Board's analysis of the reserve account requirements as a result of such review. The reserve study shall consider and include, at a minimum, the requirements set forth in Section 1365.5(e) of the California Civil Code, as the same shall be amended from time to time;

(i) Formulate, adopt, distribute and enforce Rules and Regulations as more particularly described hereinbelow;

(j) Assume and pay out of the Assessments provided for hereinbelow all costs and expenses incurred by the Master Association in connection with the performance and execution of all of the aforesaid powers and duties, and any other powers and duties the Master Association may assume;

(k) Give notices in writing to FHLMC, FNMA and GNMA, and other lenders and investors participating in the financing of the sale of Lots or Condominiums in the Community as required herein;

(l) Enforce all applicable provisions of the Master Association Documents pertaining to the ownership, use, management and control of the Community;

(m) Within ten (10) days of the mailing or delivery of a written request from an Owner, provide said Owner with: (i) a copy of the Master Association Documents; (ii) a true statement in writing from an authorized representative of the Master Association of the amount of the Master Association's current Regular and Special Assessments, as well as the amount of any delinquent Assessments, late

charges, interest and costs of collection (including attorney's fees) which as of the date of such statement are or may be made a lien on such Owner's Lot or Condominium; and (iii) a copy of the most recent pro forma operating budget distributed pursuant to California Civil Code Section 1365, as same may be amended from time to time. The Board may impose a fee for providing the foregoing, but in no event shall the fee exceed the reasonable cost to prepare and reproduce the requested documents. In addition, the Board shall make available, during normal working business hours, upon request by any prospective purchaser of a Lot or Condominium, any Owner of a Lot or Condominium, any first Mortgagee and the holder(s), insurer(s) and guarantor(s) of a first Mortgage of any Lot or Condominium, current copies of the Master Association Documents and all of the books, records and financial statements of the Master Association;

(n) Elect the officers of the Master Association, fill any vacancies on the Board, except if such vacancy is created by the removal of a Director by the Delegates;

(o) Appoint the members to the various Committees formed by the Board (e.g., the Nominating Committee, the Design Review Committee, etc.) as more particularly set forth herein or in the Bylaws;

(p) Cause a summary of the provisions of Section 1354 of the California Civil Code, as same may be amended from time to time, regarding alternative dispute resolution prefiling requirements and which specifically reference Section 1354, to be prepared and annually distributed to each Member of the Master Association. The summary shall be provided either at the time the pro forma operating budget is distributed as provided herein or in the manner specified in Section 5016 of the California Corporations Code, as same may be amended from time to time;

(q) Maintain the structural Best Management Practices located on the Master Association Property and/or Maintenance Areas, perform the non-structural Best Management Practices to the extent applicable to the Master Association and enforce compliance by any Sub-Association and by the Owners and other residents within the Community with their respective structural and/or non-structural Best

Management Practices obligations, all as more particularly set forth in the Water Quality Management Plans;

(r) Comply with the provisions of California Civil Code Section 1375, as same may be amended from time to time, as provided hereinbelow;

(s) Comply with the provisions of California Civil Code Section 1365.1 and 1367.1 when collecting delinquent Assessments;

(t) Distribute the written notice required by Section 1365.1 of the California Civil Code to each Member of the Master Association during the sixty (60) day period immediately preceding the beginning of the Master Association's fiscal year; notwithstanding the foregoing, unless otherwise required by law, nothing herein shall be interpreted or construed to require the Master Association to adopt a payment plan program for the payment of delinquent Assessments, however, if a payment plan program is adopted by the Board, such program shall be applied in a uniform and non-discriminatory manner;

(u) Cause summaries of the Master Association's fire and casualty insurance policy, comprehensive general liability insurance policy, earthquake and flood insurance policy (if one has been issued) and liability coverage policy for the directors and officers of the Master Association complying with the provisions of Section 1365 of the California Civil Code, as same may be amended from time to time, to be distributed to each Member of the Master Association within sixty (60) days preceding the beginning of the Master Association's fiscal year, that includes all of the following information about each policy: (i) the name of the insurer; (ii) the type of insurance; (iii) the policy limits of the insurance; and (iv) the amount of any deductibles. The Board shall, as soon as reasonably practical, notify the Members by first class mail if any of the policies have lapsed, been cancelled, and are not immediately renewed, restored or replaced, or if there is a significant change in coverage (e.g., a reduction in coverage or limits, or an increase in the deductible). If the Master Association receives any notice of non-renewal of a policy described herein, the Board shall immediately notify the Members if replacement coverage will not be in effect by the date the existing coverage will lapse. The summary of

insurance coverage required herein shall contain the statement required by Section 1365 (e)(4) of the California Civil Code, as same may be amended from time to time;

(v) Maintain in good condition at all times the blue reflective markers installed on the private streets within the Community which indicate the location of the fire hydrants;

(w) Perform its obligations under any contract or other agreement entered into by the Master Association (including, without limitation, any Landscape Maintenance Agreement); and

(x) Periodically review and revise the Maintenance Guidelines as the Board may deem reasonable and prudent to adjust to the changing needs of the Community.

Section 4. Financial Statements for Special Benefit Areas. The Board shall (i) cause appropriate financial statements for each Special Benefit Area to be regularly prepared and distributed to each Member of such Special Benefit Area; and (ii) review on at least a quarterly basis the applicable accounts and statements pertaining to such Special Benefit Area. The Board shall perform the foregoing duties concurrently with its performance of its duties described in Section 3, subsections (f) and (g) hereinabove, and shall apply the requirements and procedures set forth therein to each Special Benefit Area.

Section 5. Repair of Damage to the Master Association Property. Notwithstanding the Master Association's duty to maintain the Master Association Property and Maintenance Areas, if after prior Notice and Hearing, the Board determines that any maintenance, repair or replacement is necessary due to the willful or negligent acts or omissions of any Owner, his family, tenants, lessees and/or their respective guests or invitees (or a Sub-Association), the Board shall assess the cost of such maintenance, repair and/or replacement as a Damage Reimbursement Assessment against such Owner (or Sub-Association).

Section 6. Limitations on Contracts. Except as otherwise provided herein, no contract entered into by the Master Association or the Board, acting for and on behalf of the Master Association, may run for a term longer than one (1) year, except with the vote or written assent of Delegates representing a majority of the total voting power of the Master Association and Delegates representing a majority of the votes attributable to Members other than the Declarant and the Merchant Builders.

Section 7. Delegation of Duties. In the event that the Master Association shall delegate any or all of its duties, powers or functions to any person, corporation or firm to act as manager, neither the Master Association nor the members of the Board shall be liable for any omission or improper exercise by the manager of any such duty, power or function so delegated.

Section 8. Right of Entry for Emergency. The Board, any person authorized by the Board or any Owner, may enter into any Dwelling in the event of any emergency involving illness or potential danger to life or property. Such entry shall be made with as little inconvenience to the Owner as is practicable, and in the event that any damage shall be proximately caused by or result from said entry, the Master Association shall repair the same at its expense.

Section 9. Right of Entry. The Board, or any person authorized by the Board, shall have the right, after reasonable notice, to enter onto any Lot or Condominium to effect necessary repairs which the Owner has failed to perform (or which are necessary in connection with the repairs to the Master Association Property or an adjoining Lot or Condominium) or to bring such Lot or Condominium into compliance with the Master Association Documents. Such entry shall be made with as little inconvenience to the Owner as is practicable, and in the event that any damage shall be proximately caused by or result from said entry, the Master Association shall repair the same at its expense.

Section 10. Limitations on Board Action. The Board shall be prohibited from taking any of the following actions, except with the vote or written assent of Delegates representing a majority of the voting power of the Master Association residing in Members other than the Declarant and Merchant Builders:

(a) Entering into a contract with a third person, wherein the third person will furnish goods or services for the Master Association Property, the Maintenance Areas or the Master Association for a term longer than one (1) year, with the following exceptions:

(1) A contract with a public utility company if the rates charged for the materials or services are regulated by the Public Utilities Commission; provided, however, that the term of the contract shall not exceed the shortest term for which the supplier will contract at the regulated rate;

(2) Prepaid casualty and/or liability insurance policies of not to exceed three (3) years duration, provided that the policy permits for short-rate cancellation by the insured;

(3) Agreements for cable television, satellite, telecommunication, data and/or broadband services and equipment of not to exceed ten (10) years duration, provided that the lessor under the agreement is not an entity in which Declarant has a direct or indirect interest of ten percent (10%) or more;

(4) Agreements for the sale or lease of burglar alarm and fire alarm equipment, installation and services of not to exceed five (5) years duration, provided that the supplier or suppliers are not entities in which the Declarant has a direct or indirect ownership interest of ten percent (10%) or more;

(5) A contract for a term not to exceed three (3) years that can be terminated by the Master Association within one (1) year without cause, penalty or other obligation upon ninety (90) days written notice of termination to the other party; and

(6) A contract to engage services for the Mitigation Areas or to engage any services required to comply with any condition of approval imposed by a Public Agency.

(b) Incurring aggregate expenditures for capital improvements to the Master Association Property in any fiscal year in excess of five percent (5%) of the budgeted gross expenses of the Master Association for that fiscal year;

(c) Selling during any fiscal year property of the Master Association having an aggregate fair market value greater than five percent (5%) of the budgeted gross expenses of the Master Association for that fiscal year;

(d) Paying compensation to members of the Board, to the officers of the Master Association or to the Delegates for services performed in the conduct of the Master Association's business; provided, however, the Board may cause a director, officer and all Delegates to be reimbursed for actual expenses incurred in carrying on the business of the Master Association; or

(e) Filling a vacancy on the Board created by the removal of a Director by the Delegates.

Section 11. Licenses, Easements and Rights of Way. The Board, for and on behalf of the Master Association, is authorized and empowered to grant such licenses, easements and rights-of-way for sewer lines, water lines, underground conduits, storm drains and other utility purposes over those portions of the Master Association Property upon which no building or other similar structure has been erected as may be necessary and appropriate for the orderly maintenance, preservation and enjoyment of the Master Association Property (including, but not limited to, maintenance of the Master Association Property in accordance with the Fuel Modification Zones Maintenance Guidelines and the Environmental Documents) or for the preservation of the health, safety, convenience and welfare of the Owners. Such licenses, easements and rights-of-way may be granted at any time prior to twenty-one (21) years after the death of the individuals who have signed this Master Declaration, and their issue who are in being as of the date hereof, and the right to grant such licenses, easements and rights-of-way is hereby expressly reserved.

Section 12. New Improvements. Except as otherwise provided in this Master Declaration, the Master Association may construct new Improvements to the Master Association Property or demolish existing Improvements, provided that in the case of any Improvement, addition or demolition involving a total expenditure in excess of five percent (5%) of the budgeted gross expenses of the Master Association for that fiscal year, the written consent or vote of Delegates constituting a quorum and casting a majority of votes as to the maximum total cost therefor shall first be obtained, and provided that no Lot or Condominium shall be altered or damaged by any such demolition or construction without the consent of the Owner thereof. The Board shall levy a Special Assessment on all Owners in the Community for the cost of such work. For purposes of this Section, a quorum shall mean Delegates representing more than fifty percent (50%) of the Lots or Condominiums in the Community. Notwithstanding the foregoing, if the new Improvements or the demolition of existing Improvements relates to Special Benefit Improvements, only the vote or written consent of Delegates representing a majority of Owner's within such Special Benefit Area need be obtained, and the Board shall levy a Special Assessment solely on the Owners in the respective Special Benefit Area for the cost of such work.

Section 13. Master Association Rules and Regulations. The Board shall have the power to adopt, amend and repeal Rules and Regulations, as it deems reasonable, which

may include the establishment of a system of fines and penalties enforceable as Compliance Assessments. The Rules and Regulations shall govern such matters in furtherance of the purposes of the Master Association, including, without limitation, the use and operation of the Master Association Property and Maintenance Areas; placement of signs; parking restrictions and enforcement in compliance with Section 22658.2 of the California Vehicle Code, as same may be amended from time to time; trash collection; minimum standards for maintenance of Lots and Condominiums consistent with Maintenance Guidelines and the Design Guidelines, and any other matters which are within the jurisdiction of the Master Association. Rules and Regulations may not discriminate among Owners and shall not be inconsistent with this Master Declaration. Rules and Regulations described in Section 1357.120 of the California Civil Code shall be adopted, amended and repealed in accordance with the procedures set forth in Section 1357.130 of the California Civil Code, and the Board's action may be reversed in accordance with the procedures set forth in Section 1357.140 of the California Civil Code; provided however, that a reversal of the Board's action shall require the approval of a majority of the Class A Members and shall also require the approval of the Declarant for so long as Declarant or any Merchant Builder owns any portion of the Annexable Property. A copy of the Rules and Regulations as they may be adopted, amended or repealed, from time to time, or a notice setting forth the adoption, amendment or repeal of any Rule or Regulation, shall be delivered in writing to each Owner, shall be posted in a prominent location within the Master Association Property and shall be placed on file in the principal office of the Master Association. The Rules and Regulations shall be binding on the Owners and their successors in interest, and all other residents within the Community whether or not actually received thereby. The Rules and Regulations as adopted, amended or repealed, shall be available at the principal office of the Master Association to each Owner upon request. In the event of any conflict between any such Rules and Regulations and any provisions of the other Master Association Documents, the provisions of the Rules and Regulations shall be deemed to be superseded.

Section 14. Resolution of Disputes. Except as otherwise provided in this Section, all disputes between or among (i) the Master Association, (ii) any Sub-Association, (iii) any Owner(s), and/or (iv) the "Developer Parties" (as defined herein) which arise out of, relate to, or are in any way connected with the Master Association Documents or the Community shall be resolved as provided in this Section. For purposes of this Section, the term "Developer

Parties” shall mean and refer to the Declarant, all Merchant Builders, and their respective shareholders, directors, officers, employees, contractors, subcontractors, consultants, agents and representatives.

(a) Utilization of Alternative Dispute Resolution Procedures. The Master Association, any Sub-Association, each Owner of a Lot or Condominium in the Community, and Declarant, for and on behalf of itself and all of the Developer Parties, acknowledge and agree that the utilization of alternative dispute resolution (“ADR”) procedures (including, without limitation, mediation, arbitration and judicial reference) pursuant to this Master Declaration in lieu of traditional civil litigation is in accordance with the philosophy and intent of the Federal Arbitration Act (9 U.S.C. Sections 1 through 16) which is designed to encourage the use of alternative methods of dispute resolution that avoid costly and potentially lengthy traditional court proceedings. Parties interpreting this Section shall follow the federal court rulings which provide, without limitation, that the Federal Arbitration Act (i) is a congressional declaration of a liberal federal policy favoring arbitration agreements as an alternative dispute resolution procedure, notwithstanding substantive or procedural state policies to the contrary; (ii) requires that federal and state courts rigorously enforce agreements to arbitrate; (iii) requires the scope of this alternative dispute resolution agreement be interpreted broadly in favor of arbitration; and (iv) requires disputes over whether an issue is arbitrable be resolved in favor of arbitration. Specifically, this Section is to be interpreted in accordance with federal court rulings. References herein to California Code Sections are not intended to be, and shall not be interpreted to be, a waiver of rights created under the Federal Arbitration Act.

(b) Authority of the Board of Directors Regarding Resolution of Disputes. The Board, for and on behalf of the Master Association, is authorized and empowered to initiate, defend, join in, settle and pay costs and expenses incurred in connection with any legal proceedings (including any ADR proceedings), as the Board, in its sole discretion, deems appropriate in connection with any dispute between or among: (1) the Master Association and any Owner(s); (2) the Master Association and any Sub-Association; (3) the Master Association and any of the Developer Parties; (4) the Master Association and any other person or entity; (5) any

Owner and any of the Developer Parties; and (6) any Owner and another Owner. Such disputes may pertain to, among other things, (i) the interpretation and/or enforcement of the Master Association Documents; (ii) damage to any Improvements to the Master Association Property and/or Maintenance Areas; and (iii) damage to the Lots and/or Condominiums which arises out of, or is integrally related to, any damage to the Master Association Property and/or Maintenance Areas. The Board is also authorized and empowered to perform any act reasonably necessary to resolve any such dispute through ADR proceedings.

(c) Specific Dispute Resolution Procedures for Certain Disputes.

(1) Disputes Between Declarant and A Merchant Builder. All disputes between Declarant and a Merchant Builder shall be resolved solely in accordance with the documentation whereby the Merchant Builder purchased property in the Community from Declarant.

(2) Disputes Involving the Declarant, the Master Association, the Master Association Property and/or Maintenance Areas. Except where prohibited by law and except as otherwise expressly set forth herein, all disputes that involve in any way or to any extent the Declarant (excluding disputes between the Declarant and a Merchant Builder as Owners), the Master Association, the Master Association Property and/or the Maintenance Areas shall be resolved in accordance with the judicial reference provisions set forth in subsection (e) below. Notwithstanding the foregoing, any disputes between the Master Association and any Owner (including Declarant and any Merchant Builder) regarding delinquent Assessments may be resolved as provided in the Article herein entitled "Nonpayment of Assessments; Remedies of the Master Association" (including, without limitation, the commencement of a civil action for judicial foreclosure of the assessment lien). Additionally, any dispute between the Master Association and the Declarant regarding the enforcement of a completion bond for the Master Association Property shall be resolved in accordance with the instructions accompanying such completion bond and with the provisions of the Article herein entitled "Enforcement of Bonded Obligations."

(3) Disputes Between an Owner and A Merchant Builder for Alleged Defects in the Design and/or Construction of the Owner's Dwelling. All disputes between a Merchant Builder and an Owner (and/or a Sub-Association) arising from, relating to or in any way connected with alleged defects in the design and/or construction of the Owner's Dwelling or other Improvements to his Lot or Condominium (or the Sub-Association Property) shall be resolved in accordance with the dispute resolution provisions, if any, set forth in either: (i) the purchase and sale documentation between the Merchant Builder and the affected Owner; or (ii) any document recorded by the Merchant Builder on the affected Lot or Condominium (or the Sub-Association Property). In any event, all disputes that involve the Declarant, the Master Association, the Master Association Property and/or the Maintenance Areas as provided in subsection (c)(2) above shall be resolved in accordance with the judicial reference provisions set forth in subsection (e) below.

(d) Conditions Precedent to Commencing Legal Proceedings for Certain Disputes.

(1) Disputes Subject to Section 1354 of the California Civil Code. With respect to all disputes subject to California Civil Code Section 1354, before commencing any legal proceedings to resolve such disputes, the Master Association and each Owner (including Declarant and each Merchant Builder as an Owner) covenant and agree to comply with the mandatory ADR procedures set forth in Section 1354. If the parties to such dispute are unable to resolve the dispute by the mandatory ADR proceedings, the parties shall resolve the dispute by judicial reference in accordance with the provisions of subsection (e) below.

(2) Disputes Regarding Alleged Defects in the Design and/or Construction of the Master Association Property or Maintenance Areas, or Damage to A Lot or Condominium Integrally Related Thereto.

(i) Compliance with Civil Code Section 1375. Subject to subsection (c)(1) above, before commencing any legal proceedings against any of the Developer Parties based upon a claim for damage to the Master Association Property or Maintenance Area, or for damage to any

Lot or Condominium or any Sub-Association Property in the Community which is integrally related to any damage to the Master Association Property or Maintenance Area, the Master Association, each Sub-Association and each Owner covenant and agree that the Master Association, Sub-Association and each Owner (notwithstanding that Section 1375 does not expressly apply to Owners by its terms) will comply with the provisions of California Civil Code Section 1375. If the parties to such dispute are unable to resolve the dispute in accordance with the procedures set forth in Section 1375, the parties shall resolve the dispute by judicial reference in accordance with the provisions of subsection (e) below. In all cases, each party shall be solely responsible for its own attorneys' fees.

(ii) Special Meeting of the Master Association for Disputes Regarding Construction Defects. As more particularly set forth in the Bylaws, in the event the Board either rejects a settlement offer as referenced in Section 1375 or decides to commence an action for damages pursuant to Section 1375 or any other provision of California law, the Secretary shall first call a special meeting of the Members. In addition to the information required by Section 1375 to be specified in the notice of such meeting, the notice shall also specify the following: (1) a good faith estimate of the costs to repair the alleged defects prepared by a licensed general contractor who has submitted a bid to perform the necessary repair work; (2) how the necessary repairs will be funded; (3) the name of the attorney whom the Master Association is contemplating retaining and an estimate of the attorney's fees, consultant's fees and any other costs to be incurred to prosecute such proceedings; (4) how such fees and costs will be funded; (5) each Member's duty to disclose to prospective purchasers the alleged defects; and (6) the potential impact the proceedings may have on the marketability and availability of financing and/or insurance for Lots and/or Condominiums in the Community.

(e) Judicial Reference. All disputes required to be resolved by judicial reference as provided herein, and any other unresolved dispute that the parties desire to resolve by judicial reference, shall be submitted to general judicial reference pursuant to California Code of Civil Procedure Sections 638(1) and 641 through 645 or any successor statutes thereto. The parties to the dispute shall cooperate in the judicial reference proceedings. The Referee shall have the authority to try, and shall try, all issues, whether of fact or law, including, without limitation, the validity, scope and enforceability of these dispute resolution procedures, and shall report a statement of decision to the court. The judicial reference proceedings shall be conducted pursuant to procedures specified by the selected Referee and set forth herein, provided that the following rules and procedures shall apply in all cases unless all parties agree otherwise in writing.

(1) The parties shall agree upon a single referee within (10) days of receipt by any party of a written request to resolve such dispute by judicial reference. If the parties are unable to agree upon a Referee within such ten (10) day period, then any party may thereafter seek to have a Referee appointed under the California Code of Civil Procedure Sections 638 and 640. If the Referee is appointed by the Court, the Referee shall be a neutral and impartial retired judge with substantial experience in relevant matters from Judicial Arbitration and Mediation Service ("JAMS"), the American Arbitration Association ("AAA") or similar mediation/arbitration entity. The proposed Referee may be challenged for any of the grounds listed in Section 641 of the California Code of Civil Procedure.

(2) The judicial reference proceedings shall proceed without a jury, and the parties acknowledge and agree that they are waiving any and all rights to a jury trial.

(3) The parties shall be entitled to conduct all discovery as provided in the California Code of Civil Procedure, and the Referee shall oversee discovery and may enforce all discovery orders in the same manner as any trial court judge, with rights to regulate discovery and to issue and/or enforce

subpoenas, protective orders or other limitations on discovery available under California law.

(4) The judicial reference proceedings shall be conducted in accordance with California law (including the rules of evidence), and in all regards the Referee shall follow California law as applicable at the time of the reference proceedings. The Referee may issue any remedy or relief, other than punitive damages, which the courts of the State of California could issue if presented the same circumstances, and the Referee shall follow and otherwise employ the standards for issuing such relief as defined by California law. The Referee may require one or more pre-hearing conferences. A stenographic record of the proceedings shall be made. The Referee's statement of decision shall contain findings of fact and conclusions of law to the extent applicable. The Referee shall have the authority to rule on all post-hearing motions in the same manner as a trial judge. The statement of decision of the Referee upon all of the issues considered by the Referee shall be binding upon the parties, subject to rights of appeal as provided below, and upon filing of the statement of decision with the clerk of any court of the State of California having jurisdiction thereof, or with the judge where there is no clerk, judgment may be entered thereon in the same manner as if the action had been tried by the court. The judgment and decision of the Referee shall be appealable in the same manner and subject to the same rules as if rendered by the court.

(5) If a dispute involves parties other than those listed in this Section, this provision shall be interpreted to bring such third-party disputes into the general reference procedure prescribed herein to the extent permitted by law and by the provisions of this Master Declaration. All parties shall cooperate in good faith to ensure that necessary and appropriate parties are included in the judicial reference proceeding. Declarant shall not be required to participate in the judicial reference proceedings if all parties against whom Declarant has necessary or permissive cross-claims or counterclaims, including, without limitation, other Developer Parties, will not or cannot be joined in the judicial reference proceeding, such that Declarant would be forced to litigate in multiple forums or

potentially face inconsistent rulings. If Declarant is not a party to the judicial reference proceedings, any Merchant Builder that is a party to such proceedings shall have the same rights as Declarant hereunder.

(6) The exclusive venue for all judicial reference proceedings shall be the County in which the Community is located, unless all parties agree to a different location; and

(7) Except where attorneys' fees are awarded as an element of sanctions or pursuant to a written agreement, the parties shall bear their own attorneys' fees in any proceedings conducted hereunder. In any dispute involving Declarant on the one hand, and the Master Association, a Sub-Association or an Owner on the other hand, the Master Association, Sub-Association or the Owner shall advance an amount equal to the cost of filing a civil action for the same claim in the appropriate state court in the County in which the Community is located, and Declarant shall advance the initiation/filing fees in excess of the amount advanced by the Master Association, Sub-Association or the Owner. Unless otherwise agreed to by the parties or ordered by the Referee, all other costs and fees of the proceedings shall be advanced equally by the parties to the proceedings. For all disputes not involving the Declarant, the initiation/filing fees and all other costs and fees of the proceedings shall be advanced equally by each party to the proceedings (unless otherwise agreed among the parties or ordered by the Referee). In all cases, the costs and fees (including, without limitation, the initiation/filing fees, but excluding attorneys' fees) of such judicial reference proceedings shall ultimately be borne as determined by the Referee in his discretion as the interests of justice dictate. The Referee may award litigation costs to the prevailing party.

(f) **WAIVER OF COURT AND JURY TRIAL.** AS TO ALL DISPUTES SUBJECT TO THE ALTERNATIVE DISPUTE RESOLUTION PROVISIONS SET FORTH OR REFERENCED IN THIS SECTION, THE MASTER ASSOCIATION, ANY SUB-ASSOCIATION, EACH OWNER AND THE DEVELOPER PARTIES WAIVE ANY RIGHTS TO JURY TRIAL, APPEAL AND OTHER CIVIL LITIGATION PROCEEDINGS FOR SUCH

DISPUTES, EXCEPT AS OTHERWISE EXPRESSLY SET FORTH OR REFERENCED HEREIN. IN THE EVENT ANY OF THE PROCEDURES SET FORTH OR REFERENCED HEREIN ARE DETERMINED TO BE INVALID OR UNENFORCEABLE, IN WHOLE OR IN MATERIAL PART, SUCH THAT THE RESOLUTION OF THE DISPUTE SHALL PROCEED BY WAY OF CIVIL LITIGATION PROCEEDINGS, THE MASTER ASSOCIATION, ANY SUB-ASSOCIATION, EACH OWNER AND THE DEVELOPER PARTIES NONETHELESS WAIVE THE RIGHT TO JURY TRIAL WITH RESPECT TO SUCH DISPUTE.

(g) WAIVER OF PUNITIVE DAMAGES. AS TO ALL DISPUTES SUBJECT TO THE ALTERNATIVE DISPUTE RESOLUTION PROVISIONS SET FORTH OR REFERENCED IN THIS SECTION, THE MASTER ASSOCIATION, ANY SUB-ASSOCIATION, EACH OWNER AND THE DEVELOPER PARTIES WAIVE ANY RIGHTS TO PUNITIVE OR EXEMPLARY DAMAGES.

(h) Severability. If any provision of this Section is for any reason held to be invalid, unenforceable or contrary to any public policy, law, statute and/or ordinance, then the remainder of the provisions shall not be affected thereby and shall remain valid and fully enforceable.

(i) Amendments. The provisions of this Section may not be amended without the prior express written consent of Declarant.

ARTICLE VI

ASSESSMENTS

Section 1. Creation of the Lien and Personal Obligation of Assessment.

The Declarant, for and on behalf of itself and all Merchant Builders, hereby covenants, and each Owner of a Lot or Condominium, by acceptance of a deed therefore, whether or not it shall be so expressed in such deed, is deemed to covenant and agree to pay to the Master Association the following Assessments which are levied by the Master Association against such Owner's Lot or Condominium; (a) Regular Assessments; (b) Special Assessments; (c) Compliance Assessments; (d) Damage Reimbursement Assessments; (e) Special Benefit Assessments; and (f) such other

assessments as the Master Association may periodically establish. The Regular, Special, Damage Reimbursement and Special Benefit Assessments, together with a reasonable late charge established by the Board in accordance with California law, interest, costs and reasonable attorneys' fees for the collection thereof, shall be a charge on the land and shall be a continuing lien upon the Lot or Condominium against which each such Assessment is made and shall also be the personal debt of the Owner of such property at the time when the Assessment became due. Each Compliance Assessment levied against an Owner, together with such reasonable late charge, interest, costs and reasonable attorneys' fees for the collection thereof, shall be the personal obligation of the Owner of the Lot or Condominium at the time such Assessment is levied. The personal obligation for any delinquent Assessments shall not pass to an Owner's successors in title, unless expressly assumed by them.

Section 2. Purpose of Regular Assessments: Levy and Collection. The Regular Assessments levied by the Master Association shall be used exclusively to fund the performance by the Master Association of its powers and duties as set forth in Article V so as to promote the health, safety and welfare of the Owners and other residents within the Community. In no event may the Regular Assessments (or any other Assessments) levied by the Master Association be used to abate any nuisance arising from outside the boundaries of the Community, to fund any political campaigns or ballot measures whatsoever or to otherwise fund participation in, support for or opposition to any cause or activity pertaining to matters which are not exclusively within the Community. The Master Association, by and through its Board, shall levy and collect Assessments in an amount sufficient to cover all of the Common Expenses incurred by the Master Association in connection with the performance and execution of the powers and duties set forth in the Master Association Documents. The Master Association shall not levy, impose or collect Assessments, penalties or fees that exceed the amount reasonably necessary for the purpose(s) for which they were levied. Subject to any subsidy or maintenance agreement or other procedures approved by the DRE, Regular Assessments levied by the Master Association shall be adjusted at such time as the annexation of a subsequent Phase becomes effective. Regular Assessments may be collected on a monthly installment basis.

Section 3. Regular Assessments - Basis. Except as otherwise provided in the Article herein entitled "Apartment Areas," Regular Assessments shall be levied equally against all Lots and Condominiums in the Community. Regular Assessments may be reduced

and abated in accordance with any maintenance or subsidy agreement entered into by the Master Association, or other arrangement approved by the DRE.

During the period the Community is being built out, Declarant and/or the Merchant Builders may annex one or more Phases into the Community in accordance with the provisions of this Master Declaration. Because Regular Assessments will typically change in amount each time a Phase is annexed into the Community and because the annexation of additional Phases might occur in quick succession, in order to facilitate the orderly annexation of Phases and to avoid the confusion and administrative burden which would result from multiple changes in the amount of the Regular Assessments as additional Phases are annexed into the Community, Declarant, with the DRE's approval, has established a "Level Range of Assessment" procedure.

Unless terminated earlier by Declarant with the DRE's approval, the Level Range of Assessment procedure set forth hereinbelow shall be effective during the period additional Phases may be annexed into the Community without the approval of the Master Association, as set forth in the Article hereinbelow entitled "Annexation of Additional Property."

(a) Calculation of the Range of Assessments. A "range" in the amount of the monthly installment of Regular Assessments has been established by calculating an initial "Minimum Regular Assessment" and a "Maximum Regular Assessment" based upon the respective budget for each Phase of the Community prepared by the Declarant and approved by the DRE. Except as otherwise provided below, the Minimum and Maximum Regular Assessments represent the lowest and the highest Regular Assessment that may be levied by the Master Association for certain Phases of the Community. Utilizing this range procedure, as additional Phases are annexed into the Community, the monthly installment of the Regular Assessments levied by the Master Association can automatically increase or decrease, but will remain within the range approved by the DRE and set forth in the Final Subdivision Public Reports issued by the DRE for such Phases.

The initial range approved by the DRE may be recalculated and adjusted, from time to time, with the approval of Declarant and the DRE in order to account for various changes in circumstances (including, but not limited to, construction of additional Improvements on the Master Association Property, the delegation to or assumption by the

Master Association of additional maintenance responsibilities, and the incurring of unanticipated extraordinary expenses by the Master Association).

Except as otherwise provided herein, during any given fiscal year of the Master Association, the Board shall not levy a Regular Assessment that exceeds the approved Maximum Regular Assessment for that fiscal year. Notwithstanding the foregoing, a Maximum Regular Assessment may be increased as provided in Section 5 below. Each Owner acknowledges and agrees that the provisions in Section 5 below which limit increases and decreases in Regular Assessments are not intended to and shall not be construed to limit increases or decreases in Regular Assessments within the approved range so long as such increase or decrease is the result of the annexation of a subsequent Phase into the Community.

(b) Level Regular Assessments within the Range. In order to stabilize the amount of the monthly installment of Regular Assessments within the range while additional Phases are being annexed into the Community, Declarant, with the DRE's approval, will fix (i.e., level) the amount of the monthly installment of Regular Assessments for three or more Phases regardless of the fact that additional Phases are being annexed into the Community. The "level" amount of the monthly installment of Regular Assessments will fall within the range approved by the DRE. The level Regular Assessments may either temporarily accrue a surplus or permit a previously accrued surplus to be gradually depleted. Declarant may, from time to time, adjust the amount of the level Regular Assessment within the approved range, subject to the prior approval of the DRE. Unless terminated earlier by Declarant with the DRE's approval, the Level Regular Assessment procedure set forth below shall be effective during the period additional Phases may be annexed into the Community without the approval of the Master Association, as set forth in the Article below entitled "Annexation of Additional Property." During the period the Level Regular Assessment procedure is in effect, the Master Association shall maintain a separate bank account in which to deposit the accrued surplus funds collected and shall only withdraw the accrued surplus funds from that account to fund the Common Expenses of the Master Association as contemplated by the Master Association's budget which was approved by the DRE. The Master

Association's annual audit shall include an audit of the surplus funds accrued and expended under the Level Regular Assessment procedure.

Section 4. Assessment Exemptions. Notwithstanding the commencement of Regular Assessments in accordance with the provisions of this Master Declaration, Declarant, each Merchant Builder and any Owner shall be exempted from the payment of that portion of any Assessment which is for the purpose of defraying expenses and reserves directly attributable to the existence and use of any portion of the Master Association Property and/or Maintenance Areas that are not complete at the time Assessments commence. This exemption shall only be in effect until the earlier of: (a) the recordation of a notice of completion for such portion of the Master Association Property and/or Maintenance Areas; or (b) the placement into use of such Master Association Property or Maintenance Areas.

Section 5. Limitations on Increases and Decreases in Regular Assessments. Subject to the limitations of California Civil Code Section 1366, as same may be amended from time to time, and further subject to the provisions regarding Level Regular Assessments procedure set forth in Section 3 above, from and after the first day of the fiscal year immediately following the first Close of Escrow for the sale of a Lot or Condominium to an Owner, the Board may increase the maximum Regular Assessment subject to the following limitations:

(a) Increases in Regular Assessments for any fiscal year which are less than or equal to twenty percent (20%) above the maximum Regular Assessment for the immediately preceding fiscal year may be approved by the Board, provided that the Board shall: (1) comply with the provisions set forth in Section 1365(a) of the California Civil Code with respect to the distribution of the pro forma operating budget of the Master Association for the forthcoming fiscal year; or (2) obtain the approval of Delegates constituting a quorum, and casting a majority of votes at a meeting or at an election of the Master Association conducted in accordance with California Corporations Code Sections 7510, et seq., and Sections 7613, et seq. For purposes of this Section, a quorum means Delegates representing more than fifty percent (50%) of the total voting power of the Master Association;

(b) Increases in Regular Assessments for any fiscal year which are greater than twenty percent (20%) above Regular Assessments for the immediately preceding fiscal year may be approved by the Board only after the Board obtains the

approval of Delegates constituting a quorum and casting a majority of votes at a meeting or election of the Master Association, conducted in accordance with Sections 7510, et seq., and Section 7613 of the Corporations Code; and

(c) The limitation on increases in Regular Assessments set forth in subsection (b) above does not apply to increases in Regular Assessments related to emergency situations, which shall be deemed to include the following:

(1) Extraordinary expenses required by an order of a court of competent jurisdiction;

(2) Extraordinary expenses to maintain or repair any Master Association Property (excluding Special Benefit Improvements) and/or Maintenance Areas necessary to remedy any dangerous condition that represents a threat of damage or injury to persons or property; and

(3) Extraordinary expenses necessary to repair or maintain the Master Association Property (excluding the Special Benefit Improvements) and/or Maintenance Areas that could not have been reasonably anticipated by the Board at the time the most recent Master Association budget was prepared. Notwithstanding the foregoing, if the Board increases the Regular Assessment above twenty percent (20%) pursuant to this subparagraph (3), the Board shall distribute written notice concerning such increase to all Owners, together with a copy of a resolution adopted by the Board setting forth: (i) written findings as to the necessity of the extraordinary expenses; and (ii) the justification why said expenses were or could not have been reasonably foreseeable at the time the most recent budget was prepared.

The Board may fix the Regular Assessment at an amount not in excess of the maximum Regular Assessment. So long as Declarant and/or any Merchant Builder is offering Lots and/or Condominiums for sale pursuant to a Final Subdivision Public Report, the Regular Assessment may not be decreased by ten percent (10%) or more without the prior express written consent of the Declarant and the DRE. Notwithstanding the foregoing, following the annexation of a subsequent Phase of the Community pursuant to the provisions set forth in this Master Declaration, the amount of the monthly installment of Regular Assessment may be automatically increased (or decreased) for all Lots and

Condominiums in the Community on the first day of the month following the first Close of Escrow for the sale of a Lot or Condominium in said Phase without any approval of the Members of the Master Association to the amount recommended by the DRE in connection with its review and processing of the Master Association budget.

Section 6. Special Assessments. Subject to the limitations set forth in California Civil Code Section 1366, as same may be amended from time to time, the Board may levy Special Assessments to defray the costs of any action or undertaking on behalf of the Master Association which in the aggregate exceed five percent (5%) of the budgeted gross expenses of the Master Association for that fiscal year; provided that the Board shall first obtain the approval of Delegates constituting a quorum and casting a majority of votes at a meeting or an election of the Master Association conducted in accordance with Sections 7510, et seq., and 7613 of the Corporations Code. (For purposes of this Section, a quorum means Delegates representing more than fifty percent (50%) of the total voting power of the Master Association.) The five percent (5%) limitation shall not apply to increases in Special Assessments related to an emergency situation which shall be deemed to include the following:

(a) Extraordinary expenses required by an order of a court of competent jurisdiction;

(b) Extraordinary expenses for the maintenance or repair of Master Association Property (excluding the Special Benefit Improvements) and/or Maintenance Areas that are necessary to remedy any dangerous condition in the Community that represents a threat of damage or injury to any person or property; and

(c) Extraordinary expenses necessary to repair or maintain Master Association Property and/or Maintenance Areas that could not have been reasonably anticipated by the Board at the time the most recent Master Association budget was prepared. Notwithstanding the foregoing, in the event the Board levies any Special Assessment that exceeds the five percent (5%) limitation pursuant to this Section, the Board shall distribute written notice concerning said Special Assessment to all Owners, together with a copy of a resolution adopted by the Board setting forth: (1) written findings as to the necessity of said Special Assessment; and (2) the

justification why said Special Assessment was not or could not have been reasonably foreseeable at the time the most recent budget was prepared.

Every Special Assessment shall be levied upon the same basis as that prescribed for the levying of Regular Assessments. Notwithstanding the foregoing, Special Assessments levied by the Master Association in connection with the maintenance, repair or replacement of any Special Benefit Improvements shall be levied solely against the Owners of the Lots or Condominiums within the respective Special Benefit Area in accordance with the provisions of Section 7 below. Special Assessments may be collected on a monthly installment basis or on such other basis as the Board may determine.

Section 7. Special Benefit Assessments. The Board may levy Special Benefit Assessments against an Owner and his respective Lot or Condominium to cover Special Benefit Expenses incurred by the Master Association for a Special Benefit Area. As more particularly set forth in the Article herein entitled "Powers and Duties of the Master Association," the Board shall distribute to the Owners within each Special Benefit Area, concurrently with the distribution of the overall operating budget for the Master Association, a pro forma operating budget and/or other pertinent financial statements for the respective Special Benefit Area, and shall set forth the amounts and payment schedule of the Special Benefit Assessments. Each Special Benefit Assessment shall be due thirty (30) days after such Assessment has been levied, and unless otherwise specified by the Board, shall be billed and collected monthly with the Regular Assessment levied against the respective Lot or Condominium. Increases in Special Benefit Assessments shall be subject to the same limitations set forth in the Section 5 hereinabove and the levy of Special Assessments relating to the maintenance, repair and/or replacement of Special Benefit Improvements shall be subject to the same limitations set forth in Section 6 hereinabove; provided however, the Board need only obtain approval from the Delegates constituting a quorum and casting a majority of votes at a meeting or election conducted in accordance with Section 7510 et seq. and 7613 of the Corporations Code. For purposes of this Section, a quorum means Delegate(s) representing more than fifty percent (50%) of the voting power of the Members owning Lots or Condominiums within the respective Special Benefit Area.

Section 8. Compliance Assessments. A Compliance Assessment may not be characterized or treated as an assessment which may become a lien against the Owner's Lot or Condominium enforceable by a sale in accordance with the provisions of Section 2924, 2924(b) and 2924(c) of the California Civil Code; provided, however, the foregoing shall not apply to any Compliance Assessment imposed against an Owner consisting of a reasonable late payment penalty for delinquent Assessments and/or charges to reimburse the Master Association for the loss of interest and for costs reasonably incurred (including attorneys' fees) in its efforts to collect delinquent Assessments. Compliance Assessments shall be due thirty (30) days after such Assessment is imposed.

Section 9. Damage Reimbursement Assessments. If, after Notice and Hearing, the Board determines that any maintenance or repairs to the Master Association Property or Maintenance Areas are required as the result of damage or destruction thereto caused by the negligent or intentional acts of any Owner, the members of his family or his tenants, lessees or invitees (or of a Sub-Association), the Board may levy a Damage Reimbursement Assessment against such Owner and his Lot or Condominium (or against such Sub-Association) as a means of reimbursing the Master Association for all costs to repair the damaged or destroyed Master Association Property or Maintenance Area. A Damage Reimbursement Assessment shall become a lien against the Owner's Lot or Condominium (or the Sub-Association's Sub-Association Property) which is enforceable by sale pursuant to Sections 2924, 2924 (b) and 2924 (c) of the California Civil Code, as same may be amended from time to time.

Section 10. Notice of Increase in Assessments. The Board shall provide notice by first class mail to the Owners of any increase in Regular, Special or Special Benefit Assessments not less than thirty (30) nor more than sixty (60) days prior to such increase becoming due.

Section 11. Date of Commencement of Regular Assessments: Due Dates. Subject to the terms of any maintenance and/or subsidy agreement entered into between the Master Association and Declarant (or a Merchant Builder), Regular Assessments shall commence as to all Lots and Condominiums within a Phase of the Community on the first day of the month after the happening of either of the following events, whichever occurs first: (a) the first Close of Escrow for the sale of a Lot or Condominium to a bona fide purchaser in such Phase; or (b) the conveyance of any Master Association Property in such Phase to the Master

Association; provided however, Regular Assessments shall commence as to the Apartments in an Apartment Area which has been annexed into the Community in accordance with the provisions of the Article herein entitled "Apartment Areas." The first Regular Assessments shall be adjusted according to the number of months remaining in the fiscal year as set forth in the Bylaws. The Board shall fix the amount of the Regular Assessment at least thirty (30) days in advance of each Regular Assessment period.

Section 12. Collection of Assessments. Except as otherwise provided in this Master Declaration, Regular and Special Assessments shall be levied at uniform rates for each Lot and Condominium in the Community. Special Benefit Assessments shall be levied equally against all Lots and Condominiums in the respective Special Benefit Area.

Section 13. Certification of Payment. The Master Association shall, upon demand and for a reasonable charge, furnish a certificate signed by an officer or agent of the Master Association setting forth whether the Assessments on a specified Lot or Condominium have been paid. If a certificate states that Assessments have been paid, such certificate shall be conclusive evidence of such payment.

Section 14. Delivery by Owner. Each Owner of a Lot or Condominium shall, as soon as practicable prior to the transfer of title to such Lot or Condominium or the execution of an installment sales contract, as defined in California Civil Code Section 2985, as same may be amended from time to time, give to the prospective purchaser a copy of the Master Association Documents, a copy of the most recent financial statements, a true statement, in writing, from the Master Association Board as to the amount of the Master Association's Regular, Special and Special Benefit Assessments, as well as any delinquent Assessments (including late charges, interest, costs of collection and attorney's fees) which are or may be a lien upon the Owner's Lot or Condominium, and any changes in the Master Association's Assessments which have been approved by the Board, but have not become due and payable.

Section 15. Reserves. All amounts collected by the Master Association as reserves shall be deposited by the Board in a separate bank account for the purposes for which they were collected, and are to be segregated from and not commingled with the operating or any other funds of the Master Association. As more fully set forth in Article V above, the Board shall not expend funds designated as reserves for any purposes other than as permitted by Section 1365.5 of the California Civil Code, as same may be amended from time to time.

Section 16. Offsets and Waiver Prohibited. No Owner may waive or otherwise avoid liability for the Assessments provided for herein for any reason whatsoever, including, but not limited to, non-use of the Master Association Property or abandonment of his Lot or Condominium, nor shall any Owner be entitled to any offset against any Assessment provided for herein for any reason whatsoever, including, but not limited to, any expenditure made by such Owner for or on behalf of the Master Association.

Section 17. Exempt Property. The following property subject to this Master Declaration shall be exempt from the Assessments herein:

- (a) All property dedicated to and accepted by any Public Agency;
- (b) All property owned by a charitable or nonprofit organization exempt from taxation by the laws of the State of California. However, no land or Improvements devoted to dwelling use shall be exempt from said Assessment;
- (c) All Master Association Property; and
- (d) All Sub-Association Property owned or controlled by a Sub-Association.

ARTICLE VII

NON-PAYMENT OF ASSESSMENTS:

REMEDIES OF THE MASTER ASSOCIATION

Section 1. Effect of Non-Payment of Assessments: Remedies of the Master Association. Any installment of a Regular, Special or Special Benefit Assessment, and any Damage Reimbursement or Compliance Assessment not paid within fifteen (15) days after the due date shall be deemed delinquent, and the Owner shall be obligated to pay: (a) reasonable costs of collection, including reasonable attorneys' fees; (b) a reasonable late charge not exceeding ten percent (10%) of the delinquent Assessment or Ten Dollars (\$10.00), whichever is greater, or as may, from time to time, be established by the Board in accordance with California law; and (c) interest on all sums imposed under this Section at an annual percentage rate not to exceed twelve percent (12%), commencing thirty (30) days after the Assessment was due. The Board, for and on behalf of the Master Association, may commence legal action against the Owner personally obligated to pay the same, or, in the case of a Regular, Special, Special Benefit or Damage Reimbursement Assessment, may foreclose the lien against his Lot or Condominium.

Such lien may also be foreclosed by a power of sale or other nonjudicial procedure provided for by the laws of the State of California. In furtherance thereof, each Owner hereby vests in the Master Association, its successors or assigns, the right and power to bring all actions at law or to pursue lien foreclosure against any Owner for purposes of collecting such delinquent Assessments.

Section 2. Notice of Delinquent Assessments. At least thirty (30) days prior to recording a lien against an Owner's Lot or Condominium to collect a debt that is past due, the Master Association shall notify the Owner of record in writing by certified mail of all of the notices and other information required by California Civil Code Section 1367.1, and otherwise comply with the requirements of said Section. Any payments made by the Owner toward the debt owed shall first be applied to the unpaid Assessments, and only after the unpaid Assessments have been paid in full shall such payments be applied to the fees and costs of collection, attorney's fees, any late charges and interest, if any.

The total amount of unpaid Assessments, plus any costs of collection, late charges and interest assessed in accordance with Section 1366, shall be a lien on the Owner's Lot or Condominium from and after the time the Master Association causes to be recorded with the county recorder for the County in which the Community is located, a notice of delinquent assessment, which shall state the amount of the unpaid Assessments and other sums imposed in accordance with Section 1366, the legal description of the Owner's Lot or Condominium against which the Assessments and other sums are levied, the name of the record Owner of the Lot or Condominium against which the lien is imposed, and in order for the lien to be enforced by nonjudicial foreclosure as provided herein, the name and address of the trustee authorized by the Master Association to enforce the lien by sale. The notice of delinquent assessment shall be signed by the President of the Master Association, and mailed in the manner set forth in Section 2924b, to all record Owners of the Lot or Condominium no later than ten (10) calendar days after recordation. Subject to the limitations in Section 1367.1, after the expiration of thirty (30) days, following the recording of the notice of delinquent assessment, the lien created thereby may be enforced in any manner permitted by law.

Section 3. Foreclosure Sale. Any foreclosure sale provided for above is to be conducted by the Board, its attorney or by the trustee designated in the Notice of Delinquent Assessment or by a trustee substituted by the Board pursuant to Section 2934(a) of the California

Civil Code. Any sale by the trustee shall be conducted in accordance with the provisions of Sections 2924 et seq. of the California Civil Code, as same may be amended from time to time, applicable to the exercise of powers of sale in mortgages and deeds of trust, or in any other manner permitted by law. The Master Association, through duly authorized agents, shall have the power to bid on the Lot or Condominium at a foreclosure sale, and to acquire, hold, lease, mortgage and convey the same. Any Owner, by acceptance of a deed for his Lot or Condominium, hereby expressly waives any objection to the enforcement and foreclosure of the lien in this manner.

Section 4. Curing of Default. Upon the timely curing of any default for which a Notice of Delinquent Assessments or lien was filed by the Master Association, the officers thereof are hereby authorized to file or record, as the case may be, an appropriate release of such Notice upon payment by the defaulting Owner of a reasonable fee to be determined by the Master Association to cover the costs of preparing and filing or recording such release.

Section 5. Cumulative Remedies. The Master Association's remedies for nonpayment of Assessments, including, but not limited to, an action to recover a money judgment, Assessment lien and right of foreclosure and sale, are cumulative and in addition to and not in substitution of any other rights and remedies which the Master Association and its assigns may have hereunder or at law. Nothing herein shall prohibit the Master Association from taking a deed in lieu of foreclosure.

Section 6. Mortgagee Protection. Notwithstanding any other provisions of this Master Declaration, no lien created hereunder, nor any breach of the terms and provisions of this Master Declaration, nor the enforcement of any term or provision hereof, shall defeat or render invalid the rights of any Mortgagee under any recorded first Mortgage upon a Lot or Condominium made in good faith and for value; provided that after such Mortgagee or other person or entity obtains title to such Lot or Condominium by judicial or nonjudicial foreclosure, such Lot or Condominium shall remain subject to this Master Declaration and the payment of Assessments which become due subsequent to the date of taking title.

Section 7. Priority of the Lien for Assessments Levied by the Master Association. In the event an Owner shall be in arrears in the payment of Assessments levied by the Master Association and shall also be in arrears in the payment of assessments levied by a

Sub-Association for the same period, the lien of the Assessments levied by the Master Association shall be senior to the lien of the assessments levied by such Sub-Association.

ARTICLE VIII

USE RESTRICTIONS

Save and except for Declarant (and each Merchant Builder) who shall be exempt from the use restrictions set forth herein, all real property within the Community shall be held, occupied, used and enjoyed, subject to the following use restrictions:

Section 1. Private Single Family Dwelling. Except as provided in the Article herein entitled "Introduction to Woodbury," or as otherwise provided in this Article, each Dwelling shall be used as a private residence for a single family and for no other purpose, except such temporary uses as shall be permitted by Declarant while the Community is being developed and Declarant and/or any Merchant Builder is conducting its marketing and sales program.

Section 2. Use of Master Association Property. Use of the Master Association Property shall be subject to the provisions of this Master Declaration, the Rules and Regulations and to any additional limitations imposed by any of the other Master Association Documents.

Section 3. Conduct Affecting Insurance. No Owner shall keep any materials of any kind or allow any activities to be conducted at his Lot or Condominium or on the Master Association Property or Maintenance Areas which will increase the rate of insurance on the Master Association Property or Maintenance Areas without the approval of the Board. Further, no Owner shall keep any materials of any kind or allow any activities to be conducted at his Lot or Condominium or on the Master Association Property or Maintenance Areas which will result in the cancellation of insurance on the Master Association Property or Maintenance Areas or which would be in violation of any law. If, by reason of the occupancy or use of said premises by the Owner, the rate of insurance on the Master Association Property or Maintenance Areas shall be increased, the Owner shall become personally liable for the additional insurance premiums.

Section 4. Owner's Liability for Damage. Each Owner (and any Sub-Association) shall be liable to the Master Association for any and all costs and expenses which may be incurred by the Master Association to repair any damage to the Master Association

Property and/or Maintenance Areas which may be sustained by reason of the negligence or willful misconduct of said Owner, the members of his family, his tenants, lessees, or their respective guests or invitees, whether minor or adult (or of said Sub-Association). Any such costs and expenses shall be levied by the Board as a Damage Reimbursement Assessment against such Owner (or Sub-Association) in accordance with the provisions of this Master Declaration.

Section 5. Signs. No commercial sign or billboard of any kind shall be displayed to the public view on any portion of the Community, except such signs as may be used by Declarant (or by a Merchant Builder with Declarant's consent) in connection with the development of the Community and sale or lease of Lots and/or Condominiums, or by the Owner of an Apartment Area in connection with the rental or lease of Apartments. Declarant and each Merchant Builder shall repair any damage to or complete any restoration of the Master Association Property caused or necessitated by the display of signs by Declarant or the Merchant Builders within a reasonable time after the occurrence of such damage or need for restoration. Any Owner may display on his Lot or Condominium or on real property owned by others with their consent, or both, (i) the flag of the United States displayed in accordance with Section 1353.5 of the California Civil Code; (ii) noncommercial signs, posters, flags or banners displayed in accordance with Section 1353.6 of the California Civil Code; and (ii) signs advertising the Owners Lot or Condominium for sale, lease or exchange, or to advertise directions to the property or the Owner's or agent's address and telephone number in accordance with California Civil Code Section 712. As provided in said Section 712 of the California Civil Code, a sign which conforms to an ordinance adopted in conformity with Section 713 of the California Civil Code shall be deemed to be of reasonable dimension and design. All signs must be reasonably located and of reasonable dimensions and design. No sign shall be allowed that will adversely affect public health and safety, including traffic safety. In all events, all signs permitted under this Section shall comply with applicable City ordinances as well as state and federal law.

Section 6. Maintenance of Animals Within the Community. An Owner may keep within his respective Lot or Condominium: (i) common domesticated household animals (e.g., dogs, cats, birds or fish), or (ii) subject to prior Board approval as provided herein, an "exotic animal". Any Owner desiring to keep an "exotic animal" within his Lot or Condominium shall make prior application to the Board for permission to keep an exotic animal.

As used herein, an "exotic animal" shall mean any type of snake or reptile which can grow to a length longer than two feet, any form of livestock, any type of spider, any animal which is poisonous or which would pose a risk of harm to any person or to a common domesticated household animal if such exotic animal escaped from its respective Lot or Condominium, or any other animal (other than a common domesticated household animal) which is designated by the Board, from time to time, as constituting an exotic animal. The Board shall hold a hearing on such application and shall give at least five (5) days prior written notice of such hearing to the applicant, to the applicant's adjoining Owners and to such other Owners within the Community as the Board may deem appropriate. The Board may, in its sole and absolute discretion, approve or disapprove such application, and may also impose such conditions upon the right to keep an exotic animal as the Board may deem appropriate, including, without limitation, requiring the Owner to construct a secure enclosure to prevent the animal from escaping, to give written notice to other Owners of the presence of such exotic animal, to obtain additional liability insurance, to reimburse the Master Association for any costs incurred by the Master Association as the result of the animal escaping, etc. In all cases, animals may only be kept in accordance with applicable City ordinances and codes, and may not be kept, bred or maintained for any commercial purpose or in unreasonable numbers as determined by the Board, from time to time. Each Owner shall be responsible for cleaning up any excrement or other unclean or unsanitary condition caused by his animal(s) anywhere within the Community. All animals must be kept either within an appropriate enclosure, or the yard or patio, or on a leash held by a person capable of controlling the animal. Upon the approval of a majority of a quorum of the Board, the Board shall have the right to prohibit maintenance of any animal within the Community (including any common domesticated household animal or any previously approved exotic animal) which, in the opinion of the Board, constitutes a nuisance to any other person. Every person keeping an animal within or bringing an animal into the Community shall be liable pursuant to the laws of the State of California to any and all persons for any injury to persons or damage to property caused by such animal. Notwithstanding the foregoing, nothing in this Section shall be interpreted or construed to limit the right of the Owner of an Apartment Area to adopt restrictions on the maintenance of animals within the Apartments which are more restrictive than the provisions of this Section.

Section 7. Quiet Enjoyment. No Owner shall permit or allow any activity to be performed or any material of any kind to be kept within or upon his Lot or Condominium

which will obstruct or interfere with the rights of quiet enjoyment of the other occupants in the Community, or annoy them by unreasonable noises or otherwise, nor will any Owner commit or permit any nuisance on his Lot or Condominium. Without limiting the generality of the foregoing, no noisy pets (e.g., barking dogs, squawking birds, etc.), drums or other loud musical instruments, exterior horns, whistles, bells or other sound devices (other than security devices used exclusively for security purposes), noisy or smoky vehicles, unlicensed off-road motor vehicles or electronic equipment or other items which may unreasonably interfere with the television or radio reception shall be located, used or placed on any portion of the Community, or exposed to the view of other Owners. No noxious odors shall be permitted to emanate from the Community. The Board shall have the right to determine in accordance with the provisions for Notice and Hearing set forth in the Bylaws if any noise, odor, interference or activity producing such noise, odor or interference constitutes a nuisance. Each Owner shall comply with all of the requirements of the Board of Health and of all other governmental authorities with respect to his Lot or Condominium. All clotheslines, refuse containers, woodpiles, storage boxes, tools and equipment shall be prohibited on any Lot or Condominium unless obscured from view by a fence or appropriate screen approved by the Design Review Committee provided for hereinbelow.

Section 8. Improvements. No Improvement shall be constructed, altered or removed (other than those repairs or rebuilding permitted under the Article entitled "Damage or Destruction of Improvements Maintained By the Master Association") without the approval by the Design Review Committee as set forth hereinbelow except those Improvements which are constructed by Declarant and/or a Merchant Builder during the development of the Community.

Section 9. Windows. No window in any Dwelling shall be covered in whole or in part, inside or outside, with aluminum foil, newspaper, paint, reflective tint or any other material reasonably deemed inappropriate for such use by the Board; provided, however, an Owner may use plain white sheets to cover windows for a period of time not to exceed six (6) months after the Close of Escrow or occupancy of the Dwelling, pending the installation of drapes, curtains, shutters or other appropriate interior window coverings.

Section 10. Commercial Activity. No Dwelling shall be used in any way, directly or indirectly, for any business, commercial, mercantile, manufacturing, storage or other nonresidential purposes, except for the right of Declarant (and each Merchant Builder) to use any portion of the Community for model homes, sales and leasing offices and displays and other

promotional events in accordance with the provisions of this Master Declaration. Notwithstanding the foregoing, the provisions of this Section shall not preclude any Owner of a Lot or Condominium in the Community from maintaining any business permitted by law (e.g., a family day care center) or from using his Dwelling as a home-office and conducting business activities therefrom, provided such business activities are in compliance with the following: (i) there is no external evidence of such activities; (ii) such activities are conducted in conformance with all applicable government ordinances; (iii) the patrons or clientele of such activities do not visit the Lot or Condominium or park automobiles or other vehicles within the Community; (iv) the existence or operation of such activities is not apparent or detectable by sight, sound or smell from outside of the boundaries of the Lot or Condominium; (v) no such activity increases the liability or casualty insurance obligation or premium of the Declarant, any Merchant Builder and/or the Master Association; and (vi) such activities are consistent with the residential character of the Community and conform with the provisions of this Master Declaration.

Section 11. Parking. All vehicles in the Community shall be parked in accordance with the following:

(a) Restrictions Regarding Private Streets. The streets within the Community are mostly public streets, however, certain streets within the Community (e.g., streets within a portion of the Community consisting of a Condominium Project) may be private. Curbside parking along the public streets shall be subject to the restrictions and limitations imposed by the City or other applicable Public Agency. Parking along any private street will be subject to further restrictions and limitations. In no event will parking be permitted along any portion of any street designated as a "Fire Lane" by the City or the Orange County Fire Authority. The fire lanes and other no parking areas within this first Phase and all subsequent Phases of the Community are generally depicted on an exhibit on file with the property manager for the Community. The Master Association may adopt reasonable Rules and Regulations regarding the parking of vehicles within the Community which are not in conflict with applicable law. In furtherance thereof, the Master Association, through its officers, committees and agents, may establish "parking" and "no parking" areas within the Master Association Property in accordance with Section 22658.2 of the California Vehicle Code, as same may be amended from time to time,

provided however, parking shall never be permitted in a fire lane. The Master Association shall enforce such Rules and Regulations by all lawful means, including the levying of fines, citing and towing of any violating vehicle. The Master Association shall contract with a towing company to remove vehicles that violate the no parking restrictions and shall provide all Owners with a telephone number to report violations. First time violators will receive a written warning. If a vehicle violates the parking restrictions after having received a warning, such vehicle shall be subject to towing. The owner of such vehicle shall be responsible for all costs incurred to remedy the violation, including, but not limited to, towing costs, citations and legal fees. The Master Association, any Sub-Association and any Owner may not modify any street (e.g., install speed bumps, control gates, or change the parking provisions set forth herein) without first obtaining the express written approval of the City, the Orange County Fire Authority and any other affected Public Agency.

(b) Recreational Vehicles. Unless approved by the Design Review Committee, no Owner shall park, store or keep on any portion of the Master Association Property, on his Lot or Condominium or on any private street within the Community: (1) any large commercial type vehicle; (2) any recreational vehicle (including, but not limited to, campers, motor homes, trailers, boats, aircraft, mobile homes or other similar vehicles); or (3) any oversized vehicle (i.e., a vehicle that exceeds seven feet (7') in height, seven feet (7') in width and nineteen feet (19') in length [e.g., a limousine]), except for purposes of loading, unloading, making deliveries or performing emergency repairs.

(c) Standard Passenger Vehicles. An Owner may park any standard passenger automobile (including sports utility vehicles, vans, pick up trucks and similar vehicles up to and including one [1] ton when used for everyday transportation) within his respective garage, on the side of the street if permissible, or on his driveway; provided, however, in no event shall any vehicle extend into a sidewalk or beyond the curbline, or impede access over any street.

(d) Storage of Goods in Garages. Each Owner shall keep his garage readily available for parking of permitted vehicles and shall not store any goods or materials therein, nor use any portion of the garage for a workshop or other use if

such storage or use would prevent said Owner from parking the number of vehicles therein for which said garage was originally designed and constructed by Declarant or Merchant Builder. The Master Association shall have the right to inspect an Owner's garage to verify compliance with the forgoing restrictions.

(e) Repairs. No Owner shall conduct major repairs to any vehicle of any kind whatsoever upon the Master Association Property on his Lot or Condominium, on any street or elsewhere within the Community, except for emergency repairs thereto and then only to the extent necessary to enable the vehicle to be moved to a proper repair facility.

(f) Garage Doors. All garage doors shall remain closed at all times, except as reasonably required for entry to and exit from the garage.

(g) City Approval of Parking Restrictions Along the Public Streets. Notwithstanding any other provisions of this Section 11, subject to the prior written approval of the City, the Master Association may adopt additional restrictions regarding the parking of vehicles (including, but not limited to, recreational vehicles and commercial vehicles) along the public streets in the Community.

Section 12. Vehicle Usage in the Master Association Property. Except for the private streets and any other areas expressly authorized and regulated by the Master Association for vehicular use, no vehicles of any kind shall be operated, maintained, repaired or otherwise used on, over or across the Master Association Property.

Section 13. Unrestricted Parking. Subject to the provisions of this Master Declaration and the Rules and Regulations of the Master Association, any parking spaces within the Master Association Property (e.g., parking at a park or curbside parking along a street) shall be available on a first-come, first-served basis.

Section 14. Compliance With Master Association Documents. All Owners shall comply with all of the Protective Covenants and other terms and provisions set forth in the Master Association Documents. No Owner shall transfer any membership or interest in the Master Association, except upon the transfer of the Lot or Condominium to which it is appurtenant.

Section 15. Solar Heating Systems. An Owner may install solar heating systems for his Lot or Condominium to heat swimming pools, spas and water heaters. Such

systems must comply with applicable zoning regulations, with the Uniform Building Code and all City ordinances and must be approved by the Design Review Committee based upon reasonable architectural review standards adopted by the Design Review Committee consistent with Section 714 of the California Civil Code, as same may be amended from time to time.

Section 16. Antennas. No radio station or shortwave operators of any kind shall operate from any Lot or Condominium or any other portion of the Community, and no exterior radio antenna, "Citizens Band" ("C.B.") antenna, ham radio or other similar radio receiving or broadcasting device of any type shall be erected or maintained in the Community. Additionally, no video or television antenna including a satellite dish, that has a diameter or diagonal measurement of more than one (1) meter shall be installed or maintained in the Community. Any Owner who desires to install a video or television antenna having a diameter or diagonal measurement of one (1) meter or less shall comply with the following reasonable restrictions: (1) apply to and obtain approval for the installation of such antenna from the Design Review Committee; (2) agree to maintain, repair or replace any roof or other Improvements affected by the installation, maintenance or use of such antenna, if required by the Design Review Committee; and (3) agree to indemnify and/or reimburse the Master Association (or any Sub-Association) for any loss or damage caused by the installation, maintenance or use of such antenna. To the extent permitted by law, the Design Review Committee may require a video or television antenna having a diameter or diagonal measurement of one (1) meter or less to be reasonably screened from view of any street and the Master Association Property (or Sub-Association Property), as the case may be, provided such requirement does not significantly increase the cost of the video or television antenna system (including all related equipment), and does not significantly decrease its efficiency or performance. Notwithstanding the foregoing, all restrictions on video or television antennas (including satellite dishes) shall be subject to all applicable federal, state and local laws, including, but not limited to, the Federal Telecommunications Act of 1996.

Section 17. Hazardous Materials. No hazardous waste, substance or material (as defined in any federal, state or local law, ordinance or regulation) shall be stored or permitted upon any portion of the Community, except in compliance with all applicable laws, ordinances and regulations of all applicable Public Agencies. Without limiting the generality of the foregoing, the Community is subject to all federal, state and local requirements of the National

Pollutant Discharge Elimination System ("NPDES") adopted pursuant to the Federal Clean Water Act. In accordance therewith, the Master Association, any Sub-Association, all Owners and any other residents within the Community may not dispose of any hazardous waste, substance or material into any storm drain or other drainage device located anywhere within the Community in violation of NPDES, the WQMP or any applicable laws, ordinances or regulations.

Section 18. Leasing. Except as otherwise provided in the Article herein entitled "Apartment Areas," no Owner may rent or lease less than his entire Lot or Condominium. Further, no Owner shall be permitted to rent or lease his Lot or Condominium for transient or hotel purposes or for a period of less than thirty (30) days. All rental and lease agreements shall be in writing and shall provide that the terms of such agreement shall be subject in all respects to the provisions of the Master Association Documents, and that any failure by the tenant or lessee to comply with the terms of the Master Association Documents shall constitute a default under such agreement.

Section 19. Drilling. No oil drilling, oil development operations, oil refining, quarrying or mining operations of any kind shall be permitted within the Community, nor shall oil wells, tanks, tunnels or mineral excavations be permitted upon or within the Community. No derrick or other structure designed for use in boring for oil, water or natural gas shall be erected, maintained or permitted upon the surface of any portion of the Community.

Section 20. Trash. No rubbish, trash, garbage, waste or recyclable matter shall be kept or permitted upon any portion of the Community, except in sanitary containers located in appropriate areas screened and concealed from view. Each Owner shall place all rubbish, trash, garbage, waste and recyclable material in closed containers approved by the applicable Public Agency. No Owner shall permit any odor to arise therefrom so as to render any Lot or Condominium unsanitary, unsightly, offensive or detrimental to any other Lot or Condominium in the vicinity thereof or to its occupants. Such containers shall be exposed to the view of neighboring Lots or Condominiums only when set out for a reasonable period of time (not to exceed twelve [12] hours before and after scheduled trash collection hours). If trash bins are located in the trash areas in the Master Association Property, all Owners shall utilize such trash bins for the disposal of their trash. Outdoor fires are expressly prohibited, except in appropriate barbecues or in fire rings approved by the City and the Design Review Committee.

Section 21. Water Softeners. No water softener system of any kind shall be permitted on any Lot or Condominium, unless such system is designed, located, constructed and equipped in accordance with the requirements, standards and recommendations of all Public Agencies and the Design Review Committee.

Section 22. Sub-Association Use Restrictions. Nothing herein shall prevent any Sub-Association from adopting use restrictions for those portions of the Community within its jurisdiction which are more restrictive than those use restrictions set forth herein; provided however, such restrictions shall in no way modify the provisions of this Article. In the event of a conflict between any use restrictions set forth in a Supplemental Declaration and the use restrictions set forth herein, the use restrictions set forth herein shall control.

Section 23. Mandatory Landscaping. Unless installed by Declarant or a Merchant Builder, within two hundred seventy (270) days from the Close of Escrow for the purchase of a Lot or Condominium in the Community, the Owner of such Lot or Condominium shall, at such Owner's own cost and expense, cause his front yard (including the exposed side yard in the case of a corner Lot or Condominium) and the rear yard to be fully landscaped in accordance with the plans and specifications approved by the Design Review Committee. All landscaping and other Improvements shall comply with the provisions of the Design Guidelines. Except for any landscaping to be maintained by the Master Association or a Sub-Association, the Owner of such Lot or Condominium shall maintain such landscaping in a neat, clean, safe, sanitary, healthy and attractive condition at all times in accordance with the provisions of the Article herein entitled "Repair and Maintenance."

Section 24. Compliance with the Best Management Practices. The Master Association, any Sub-Association and each Owner, as the case may be, shall maintain its respective structural Best Management Practices and shall perform its respective non-structural Best Management Practices to the extent applicable to their respective property (e.g., Master Association Property, Maintenance Area, Sub-Association Property and/or Lot or Condominium).

ARTICLE IX
DESIGN REVIEW

Section 1. Exemptions From Design Review. Declarant and each Merchant Builder shall be exempt from and shall not be obligated to comply with: (i) any of the design review provisions set forth herein; and (ii) any design review provisions of any kind whatsoever which may be adopted by the Board, or by the Delegates of the Master Association. The provisions of this Article may not be amended without the prior express written consent of Declarant so long as Declarant or any Merchant Builder is offering any Lots or Condominiums for sale or lease, or so long as Declarant or any Merchant Builder owns any portion of the Annexable Property and such property may be annexed into the Community in accordance with the Article herein entitled "Annexation of Additional Property."

Section 2. Design Review by the Sub-Associations. Except for purposes of proper maintenance and repair, and except as otherwise permitted hereunder, any Owner whose Lot or Condominium is subject to a Sub-Association may not build, construct, erect, plant or otherwise install any Improvements of any kind without first: (i) submitting plans and specifications for the proposed Improvements to the Sub-Association's design review committee for review and approval; (ii) obtaining the express written approval of such plans and specifications by the Sub-Association's design review committee; (iii) submitting the plans and specifications approved by the Sub-Association's design review committee to the City and all other affected Public Agencies to obtain all necessary approvals and permits; and (iv) thereafter complying with the provisions of this Article and with any requirements imposed by the City and any other affected Public Agency. In furtherance of the foregoing, no grading, excavation, demolition, construction, installation, alteration, addition, modification, or reconstruction of any Improvement shall be commenced or otherwise maintained by the Owner until the plans and specifications showing the nature, kind, shape, height, width, color, materials and location of the proposed Improvements, and any other information required by the committee, have been submitted to the Sub-Association's design review committee and approved in writing by such committee. Until receipt by the Sub-Association's design review committee of the required plans and specifications, and such other information as may be required by the committee, the committee may postpone review of any plans submitted for approval. The review and approval of the plans and specifications for the proposed Improvements shall be conducted solely by the

Sub-Association's design review committee as provided herein, and the committee shall base its decision upon the consistency of the proposed Improvements with the requirements of the Master Association's Design Guidelines. In the event the Design Guidelines do not specifically address the proposed Improvements, the Sub-Association's design review committee shall apply the Design Guidelines in the manner which is most consistent with the original architectural and landscaping character established by the Merchant Builder so as to preserve aesthetic harmony between the proposed Improvements and the existing Improvements within the Sub-Association. In no event may the Sub-Association's design review committee modify, amend, deviate from or otherwise fail to implement the provisions of the Design Guidelines. A Sub-Association's design review committee may obtain a clarification of the Design Guidelines from the Master Association's Board of Directors. The decisions of the Sub-Association's design review committee may be appealed to the board of directors of the Sub-Association in accordance with the provisions of the Sub-Association Documents.

Section 3. Design Review by the Design Review Committee. Except for purposes of proper maintenance and repair, and except as otherwise provided in this Master Declaration, an Owner whose Lot or Condominium is not subject to a Sub-Association may not build, construct, erect, plant or otherwise install any Improvements of any kind without first: (i) submitting plans and specifications for the proposed Improvements to the Design Review Committee for review and approval; (ii) obtaining the express written approval of such plans and specifications by the Design Review Committee; (iii) submitting the plans and specifications approved by the Design Review Committee to the City and all other affected Public Agencies to obtain all necessary approvals and permits; and (iv) thereafter complying with the provisions of this Article and with any requirements imposed by the City and any other affected Public Agency. In furtherance of the foregoing, no grading, excavation, demolition, construction, installation, alteration, addition, modification, or reconstruction of any Improvement shall be commenced or otherwise maintained by the Owner until the plans and specifications showing the nature, kind, shape, height, width, color, materials and location of the proposed Improvements, and any other information required by the Design Review Committee, have been submitted to the Design Review Committee and approved in writing by the Committee. Until receipt by the Design Review Committee of the required plans and specifications, and such other information as may be required by the Committee, the Committee may postpone review of any plans

submitted for approval. The review and approval of proposed Improvements shall be conducted solely by the Design Review Committee as provided herein. The Design Review Committee shall base its decision upon the consistency of the proposed Improvements with the requirements of the Design Guidelines. In the event the Design Guidelines do not specifically address the proposed Improvements, the Design Review Committee shall apply the Design Guidelines in the manner which is most consistent with the original architectural and landscaping character established by the Merchant Builder so as to preserve aesthetic harmony between the proposed Improvements and the existing Improvements. The Design Review Committee may not deviate from or otherwise fail to implement the provisions of the Design Guidelines. The Design Guidelines may only be amended as provided herein.

Section 4. Design Review Committee. The Design Review Committee is hereby authorized with the rights and powers set forth in this Article. Said Committee shall consist of not less than three (3) members, nor more than five (5) members, and each initial member shall serve until the first election of the Board. In the event of the failure or inability of any member of the Design Review Committee to act, the remaining members shall designate a successor who shall serve for the remainder of the term of the member he replaces. The Declarant shall appoint all of the original members of the Design Review Committee, and replacements thereto. Further, Declarant reserves the right to appoint a majority of the members of the Design Review Committee until the first to occur of the following: (i) ninety percent (90%) of the estimated total number of Dwellings proposed for the overall Community (excluding Apartments) (i.e., approximately two thousand two hundred twenty five [2,225] Dwellings x 90% equals approximately two thousand two [2,002] Dwellings) have been conveyed to an Owner; or (ii) the fifth anniversary of the first Close of Escrow for the sale of a Lot or Condominium pursuant to the original issuance by the DRE of the most recently issued Final Subdivision Public Report for a Phase of the Community (hereinafter referred to as the "Turnover Date"). After one (1) year from the date of the first Close of Escrow for the sale of a Lot or Condominium in the first Phase of the Community, the Member(s) of the Board who were elected by Delegates representing Members other than the Declarant and the Merchant Builders shall have the power to appoint one (1) member to the Design Review Committee until the Turnover Date. From and after the Turnover Date, the Board shall have the power to appoint all but one of the members of the Design Review Committee, and the Declarant reserves the right to

appoint the remaining member of the Committee until such time as development of the Community has been completed. All members appointed to the Design Review Committee by the Board shall be from the membership of the Master Association. Members appointed to the Design Review Committee by the Declarant, however, need not be members of the Master Association. No member of the Design Review Committee shall be liable to any person for his decisions or failure to act in making decisions as a member of the Design Review Committee. Declarant may, in its discretion and at any time, assign to the Master Association by written assignment its powers of removal and appointment with respect to the Design Review Committee, subject to such terms and conditions regarding the exercise thereof as Declarant may impose.

Section 5. Meetings of the Design Review Committee. The Design Review Committee shall meet, from time to time, as necessary to perform its duties hereunder. The Design Review Committee may, by a majority vote of the members thereof, delegate any of its rights and responsibilities hereunder to one (1) or more qualified professionals (e.g., a planner or architect) who shall have full authority to act on behalf of the Design Review Committee on all matters so delegated.

Section 6. Design Guidelines. The Design Review Committee and each Sub-Association's design review committee shall use the Design Guidelines as the basis for reviewing plans and specifications for proposed Improvements to an Owner's Lot or Condominium. The Design Guidelines may be amended, from time to time, by a majority of a quorum of the Board. Additionally, a majority of a quorum of the Board may, from time to time, adopt Rules and Regulations to supplement the Design Guidelines. The Design Guidelines may include, without limitation, procedures, policies, limitations and restrictions regarding the following:

(a) The reconstruction, addition, change or alteration of any Improvement to a Lot or Condominium, including the nature, kind, shape, size, materials, exterior color, location and height of any Improvement;

(b) A description of any type of construction, addition, change or alteration which, if completed in conformity with the Design Guidelines does not require approval of the Design Review Committee or of the Sub-Association's design review committee;

(c) Conformity of completed Improvements with the plans and specifications approved by the Design Review Committee or by the Sub-Association's design review committee;

(d) Time limitations for the completion of the Improvements;

(e) Procedures for submission of plans and specifications, including, without limitation, floor plans, site plans, drainage plans, elevation drawings, landscape plans and a description or samples of exterior colors and materials;

(f) Approved landscape palettes;

(g) Restrictions controlling the species and placement of any trees, plants, shrubbery, ground cover, etc., to be placed, planted, irrigated and maintained in the Community (including requirements regarding the use of root barriers and/or other similar devices to prevent damage to hardscape and other Improvements constructed or installed on a Lot or Condominium or other portion of the Community);

(h) Applicable setbacks, height and coverage limitations for accessory structures, including, but not limited to, patio covers, gazebos, pools, spas, decks, guest houses, etc.);

(i) A reasonable schedule of fees for submission of plans and specifications and bonds (or cash deposits) to ensure proper completion of the anticipated work, clean-up and compliance with the approved plans; and

(j) Any special design requirements and/or standards established by Declarant or a Merchant Builder that shall be applicable solely to a specific Sub-Association within the Community.

The Design Review Committee and each Sub-Association's design review committee shall maintain a copy of the then current Design Guidelines on file at all times, and shall provide each Owner with a copy of the Design Guidelines upon written request. The Board shall establish a reasonable fee for copies of the Design Guidelines, and other related materials, to cover costs of reproduction, administration and handling.

Section 7. Review of Plans and Specifications.

(a) Review of Plans and Specifications by a Sub-Association's Design Review Committee. The plans and specifications for proposed Improvements

to a Lot or Condominium which is subject to a Sub-Association shall be reviewed by the Sub-Association's design review committee in accordance with the procedures set forth in the Supplemental Declaration recorded for such Sub-Association. A Sub-Association's design review committee shall approve the plans and specifications submitted for its review and approval only if it determines that: (a) the proposed Improvements are in substantial compliance with the Design Guidelines; (b) the construction, alterations or additions contemplated thereby and the locations indicated will not be detrimental to the appearance of the surrounding area of the Community as a whole; (c) the appearance of any structure affected thereby will be in harmony with surrounding structures; (d) the construction thereof will not detract from the enjoyment of any Sub-Association Property; and (e) the upkeep and maintenance thereof will not become a burden on the Sub-Association. In addition to the foregoing, approval of the plans and specifications may be based upon, among other things, scale of site dimensions; conformity and harmony of external design with neighboring Improvements; affect of location and use of Improvements (including landscaping) on neighboring Lots and/or Condominiums; relation of topography, grade and finish grade elevation of the Lot or Condominium being improved to that of the neighboring Lots or Condominiums; proper facing of all elevations; consideration of aesthetic beauty; and conformity of the plans and specifications to the purpose and general plan and intent of the Protective Covenants of this Master Declaration. The approval of plans and specifications for any proposed Improvements may be withheld because of noncompliance with any of the specific Protective Covenants set forth in this Master Declaration; because of the dissatisfaction of the Sub-Association's design review committee with the proposed nature, kind, plan, design, shape, height, dimensions, proportions, architectural style, color, finish or materials to be used therein, the pitch or type of any proposed roof, or the size, type or location of any proposed trees or the landscaping to be planted on a Lot or Condominium; or because of the dissatisfaction with any other aspect of the proposed Improvement which could cause the proposed Improvement to be inappropriate, inharmonious or out of keeping with the general plan of improvement for the Community, or with the Improvements on or topography of the surrounding

property. The approval of plans and specifications may be conditioned upon: (a) appropriate changes in the plans and specifications as the Sub-Association's design review committee deems appropriate; or (b) such other matters as the committee deems appropriate.

(b) Review of Plans and Specifications by the Design Review Committee. The plans and specifications for proposed Improvements to a Lot which is not subject to a Sub-Association shall be reviewed by the Design Review Committee in accordance with the procedures set forth herein. The Design Review Committee shall consider and act upon plans and specifications submitted for its approval pursuant to this Master Declaration, and shall perform such other duties as may, from time to time, be assigned to it by the Board, including the inspection of construction and progress to ensure its conformance with the plans approved by the Design Review Committee. The initial address for submission of such plans and specifications to the Design Review Committee, until changed by the Design Review Committee, shall be:

Woodbury Community Association
c/o Professional Community Management
23726 Birtcher Drive
Lake Forest, CA 92630

The Design Review Committee shall approve the plans and specifications submitted for its review and approval only if it determines that: (a) the proposed Improvements are in substantial compliance with the Design Guidelines; (b) the construction, alterations or additions contemplated thereby and the locations indicated will not be detrimental to the appearance of the surrounding area of the Community as a whole; (c) the appearance of any structure affected thereby will be in harmony with surrounding structures; (d) the construction thereof will not detract from the enjoyment of the Master Association Property; and (e) the upkeep and maintenance thereof will not become a burden on the Master Association. In addition to the foregoing, approval of the plans and specifications may be based upon, among other things, scale of site dimensions; conformity and harmony of external design with

neighboring Improvements; affect of location and use of Improvements (including landscaping) on neighboring Lots and/or Condominiums; relation of topography, grade and finish grade elevation of the Lot or Condominium being improved to that of the neighboring Lots or Condominiums; proper facing of all elevations; consideration of aesthetic beauty; and conformity of the plans and specifications to the purpose and general plan and intent of the Protective Covenants of this Master Declaration. The approval of plans and specifications for any proposed Improvements may be withheld because of noncompliance with any of the specific Protective Covenants set forth in this Master Declaration; because of the dissatisfaction of the Design Review Committee with the proposed nature, kind, plan, design, shape, height, dimensions, proportions, architectural style, color, finish or materials to be used therein, the pitch or type of any proposed roof, or the size, type or location of any proposed trees or the landscaping to be planted on a Lot or Condominium; or because of the dissatisfaction with any other aspect of the proposed Improvement which could cause the proposed Improvement to be inappropriate, inharmonious or out of keeping with the general plan of improvement for the Community, or with the Improvements on or topography of the surrounding property. The approval of plans and specifications may be conditioned upon: (a) appropriate changes in the plans and specifications as the Design Review Committee deems appropriate; or (b) such other matters as the Design Review Committee deems appropriate.

Section 8. Decisions of the Design Review Committee. Decisions of the Design Review Committee and the reasons therefore should be transmitted by the Design Review Committee to the applicant, at the address set forth in the application for approval within forty five (45) days after receipt by the Design Review Committee of all plans, specifications and materials required. Any application submitted to the Design Review Committee pursuant to the provisions of this Article shall be deemed approved, unless written disapproval or a request for additional information or materials by the Design Review Committee is transmitted by the Committee to the applicant within forty five (45) days after the receipt by the Committee of the application.

Section 9. Submittal to City - Right of Design Review Committee to

Review. Upon obtaining the written approval of the Design Review Committee, the Owner shall thereafter submit the approved plans and specifications to the City and any other affected Public Agency. In the event that all necessary approvals of the City for the issuance of a building permit or other permits required to commence the work contemplated in the plans and specifications are not obtained within six (6) months from the date of approval by the Design Review Committee, the Design Review Committee shall have the right, but not the obligation, to re-review all previously approved plans and specifications. In addition, in the event that the City requires modifications to the plans and specifications previously approved by the Design Review Committee, the Owner shall submit to the Design Review Committee all modifications to the plans and specifications previously approved by the Design Review Committee. In the event the Owner is obligated to resubmit plans and specifications to the Design Review Committee to reflect the modifications required by the City, said Committee shall have the right to review and to impose further conditions on any such modifications which are not inconsistent with the requirements imposed by the City.

Section 10. Approval of City.

Approval of any proposed or completed Improvement by the Design Review Committee (or the Board upon appeal thereto) shall not be construed to warrant or represent in any way that the Improvement was approved by or complies with the ordinances, regulations, codes and policies of the City. Similarly, approval of any proposed or completed Improvement by the City shall not be construed to constitute approval of such Improvement by the Design Review Committee or the Board.

Section 11. Conflicts Between the City and Design Review Committee.

In the event of a conflict between the conditions of approval for any proposed Improvement imposed by the City and the Design Review Committee, the more restrictive of such conditions shall be controlling. Nothing herein shall limit the Design Review Committee from imposing conditions of approval for any proposed Improvement which are more restrictive than the conditions imposed by the City.

Section 12. No Waiver of Future Approvals.

The approval by the Design Review Committee of any submissions for any work done, or proposed to be done, or in connection with any other matter requiring the approval or consent of the Design Review Committee, shall not be deemed to constitute a waiver of any right to withhold approval or

consent to any similar proposals, plans and specifications, drawings or other matters subsequently or additionally submitted for approval.

Section 13. Compensation of Members. The members of the Design Review Committee shall receive no compensation for services rendered, other than reimbursement by the Master Association for expenses incurred in the performance of such members' duties hereunder. This Section shall not be interpreted or construed to prohibit the Master Association from compensating any qualified professional who has been delegated rights and duties as provided in this Article.

Section 14. Variances. Where circumstances such as topography, location of buildings, location of landscaping or other matters require, the Design Review Committee, by the vote or written assent of a majority of the members thereof, may grant reasonable variances as to any of the Protective Covenants contained in this Master Declaration or as to any of the provisions of the Design Guidelines on such terms and conditions as it shall require. The granting of such a variance shall not operate to waive any of the Protective Covenants of this Master Declaration for any purpose, except as to the particular Lot or Condominium and particular provision hereof covered by the variance, nor shall it affect in any way the Owner's obligation to comply with all governmental laws, codes and regulations affecting the Owner's use of his Lot or Condominium, including, but not limited to, zoning ordinances, setbacks and other requirements imposed by the City or other Public Agency. A Sub-Association's design review committee may not grant any variances as to any of the Protective Covenants contained in this Master Declaration nor as to any of the provisions of the Design Guidelines.

Section 15. Inspection of Work. Upon consent of the Owner, which consent shall not be unreasonably withheld, any member or authorized representative of the Design Review Committee may, at any reasonable hour and upon reasonable notice, enter and inspect any Improvement which has been the subject matter of an approval by the Design Review Committee. Upon completion of an Improvement, the Owner shall submit a written Notice of Completion to the Committee. The Committee's right to inspect the completed Improvement shall terminate sixty (60) days after receipt of such Notice. If the Design Review Committee finds that such work was not completed in substantial compliance with the approved plans and specifications, it shall notify the Owner in writing of such noncompliance, specifying the particulars of noncompliance and shall require the Owner to remedy the same within thirty (30)

days from the date of notification of such noncompliance. If the noncompliance is not cured within such thirty (30) day period, the Board, after Notice and Hearing, may levy a Compliance Assessment against such Owner for the costs of removing or remedying such noncompliance.

Section 16. Non-Liability of Design Review Committee Members. The Declarant, the Merchant Builders, the Master Association, the Board and the Design Review Committee, and their respective directors, officers, employees, members and agents shall not be liable for damages to any Owner submitting plans and specifications for approval, or to any Owner in the Community by reason of mistake in judgment, negligence or nonfeasance, unless due to willful misconduct or bad faith of the Design Review Committee. The Design Review Committee's approval or disapproval of a submission shall be based solely on the considerations set forth in this Article, and in such Rules and Regulations as may be promulgated by the Design Review Committee, and the Design Review Committee shall not be responsible for reviewing nor shall its approval of any plan or design be deemed approval of any plans or design from the standpoint of structural safety and conformance with building or other codes.

Section 17. Appeal. In the event plans and specifications submitted to the Design Review Committee are disapproved, the party making such submission may appeal in writing to the Board. The written request must be received by the Board not more than thirty (30) days following the date the Design Review Committee rendered its final decision disapproving such plans and specifications. The Board shall submit such request to the Design Review Committee for review, and the written recommendations of the Design Review Committee will be submitted to the Board. Within forty five (45) days following receipt of the request for appeal, the Board shall render its written decision. The failure by the Board to render a decision within said forty five (45) day period shall be deemed a decision in favor of the party making such submission.

Section 18. Prohibited Improvements and Activities.

(a) Master Association Walls. No Owner or Sub-Association shall modify or otherwise alter any Master Association Walls originally constructed by Declarant or a Merchant Builder. Similarly, no Owner or Sub-Association shall modify or otherwise alter any Sub-Association Walls originally constructed by Declarant or a Merchant Builder as generally shown and depicted on an exhibit attached to a Supplemental Declaration or to a Declaration of Annexation recorded on

a Phase of the Community. Notwithstanding the foregoing, in the event the Design Review Committee (or a Sub-Association's design review committee) determines that it is reasonably necessary for an Owner to temporarily remove a Master Association Wall (or a Sub-Association Wall) in order to install a pool, spa or other similar Improvement in his rear yard, the Design Review Committee (or Sub-Association design review committee) may approve such temporary removal subject to the following conditions: (i) the Owner, at his sole cost, shall reconstruct such Wall with the same types of materials as originally used by Declarant or the Merchant Builder and restore any damaged Master Association Property (or Sub-Association Property) to substantially the same condition as existed prior to such work; (ii) if applicable, the Owner shall re-stucco and/or repaint extended portions of the Wall as reasonably necessary to avoid a patched appearance; and (iii) the Owner obtains all other approvals and permits as provided in this Article.

(b) Street Modifications. No Owner or Sub-Association shall build, construct, erect or install any Improvement of any kind whatsoever (including, but not limited to, speed bumps, entry gates, etc.) which may obstruct access over any street within the Community without the prior express written consent of the City and the Orange County Fire Authority.

(c) Setbacks for Accessory Structures. No Owner shall build, construct or install any accessory structure (including, but not limited to, patio cover, gazebo, pool, spa, deck, guest house, etc.) on his Lot or Condominium which does not comply with the setback, height, coverage and other restrictions set forth in the Design Guidelines.

(d) Prevention of Erosion of Slopes. No Owner or Sub-Association shall permit any act to be performed within the Community which would result in erosion of any slope, including, but not limited to, failing to maintain proper drainage on a Lot or Condominium (including, without limitation, failing to maintain any yard drain or other drainage device in proper operating condition at all times), over irrigating the slope or otherwise discharging excess water over the slope. If an Owner or Sub-Association permits any act to be performed which results in the erosion of or other damage to such slope, said Owner or Sub-Association shall be liable for all

damages resulting therefrom, and if such slope is part of the Master Association Property, said Owner or Sub-Association shall be liable to the Master Association for such damage and a Damage Reimbursement Assessment shall be levied against such Owner or Sub-Association to recover all costs and expenses incurred to repair or reconstruct such slope.

(e) Fire Sprinklers. No Owner shall remove, disable, alter or otherwise modify any fire sprinkler system installed in such Owner's Dwelling or appurtenant structures.

(f) Restrictions on Improvements to Lots Subject to Storm Drain Easements. Various Lots in the Community are subject to certain easements in favor of the Master Association for the installation, maintenance, repair and reconstruction of storm drains and related facilities ("Storm Drain Easement"). The easement may range in width from approximately ten feet (10') to approximately twenty feet (20'). Each Storm Drain Easement is shown and described on a recorded Tract map for a portion of the Community or other instrument of record, and is reserved for conveyance to the Master Association, but may also be used by the City and/or other Public Agencies. Any Owner desiring to build, construct, erect, plant or otherwise install any Improvements in the portion of his Lot subject to a Storm Drain Easement shall strictly comply with restrictions set forth herein. No Owner shall build, construct, erect or otherwise install any structural Improvements (including, but not limited to, retaining walls, swimming pools, spas, room additions, etc.), nor place any fill, upon a Storm Drain Easement. All Improvements within such Easement are subject to approval by the Master Association's Design Review Committee as provided herein and may be limited to turf, ground cover, irrigation systems, fences, sidewalks and other similar non-structural Improvements (collectively the "Permitted Improvements"). No trees of any size shall be permitted within any Storm Drain Easement nor within eight feet (8') of the centerline of the actual in-place storm drain lines. Each Owner acknowledges that the Master Association may enter in and upon a Storm Drain Easement and perform any work it deems necessary or appropriate. Subject to the limitation set forth hereinbelow, the Master Association shall, at its cost, repair or replace all Permitted Improvements located within the Storm Drain

Easement that were removed or damaged in connection with work performed by the Master Association. The Master Association's duty to repair or replace Permitted Improvements shall be limited to turf and ground cover and related irrigation systems and standard finish concrete surfaces. In no event shall the Master Association's duty be interpreted or construed to include the repair or replacement of exotic or extraordinary landscaping, or enhanced hardscape Improvements (e.g., bricks, rock work, etc.). The Owner shall, at his sole cost and expense, repair, replace and/or restore all other Improvements located within the Storm Drain Easement that were removed or damaged in connection with the work performed by the Master Association.

Section 19. Government Regulations. All of the provisions of this Article regulating the construction of Improvements within the Community are in addition to and shall not limit the effect of any applicable laws, regulations, codes or other governmental or public utility requirements. The Declarant, the Merchant Builders, the Master Association, the Design Review Committee, and their respective directors, officers, Members, employees, consultants and agents do not make any representations whatsoever that said laws, regulations, codes or other requirements permit construction of any Improvements to the same degree as permitted by this Master Declaration or the Design Guidelines. It shall be the responsibility of each Owner to ascertain the applicability of all laws, regulations, codes and other governmental and public utility requirements to any proposed Improvements to his Lot or Condominium. Notwithstanding any other provision in this Master Declaration to the contrary, all Improvements to any Lot or Condominium must be designed, constructed, installed and maintained in accordance with all applicable laws, regulations, codes and other governmental and public utility requirements; provided however, if any such laws, regulations, codes or other requirements are less restrictive than the provisions of this Master Declaration or the Design Guidelines, the provisions of this Master Declaration and the Design Guidelines shall nonetheless apply.

Section 20. Rights of the Disabled. The Design Review Committee shall neither construe nor apply the provisions of this Article so as to unreasonably restrict the right of any Owner who is blind, deaf or otherwise physically disabled or handicapped to modify his Lot or Condominium, at such Owner's sole cost and expense, to accommodate such Owner's disability.

ARTICLE X
REPAIR AND MAINTENANCE

Section 1. Repair and Maintenance by the Master Association. Except as otherwise provided in this Master Declaration and subject to any Landscape Maintenance Agreement, the Master Association shall maintain all of the Master Association Property and Maintenance Areas in accordance with the Maintenance Guidelines and the maintenance standards set forth in Section 4 hereinbelow so as to keep the Master Association Property and Maintenance Areas in a neat, clean, safe and attractive condition at all times. Such maintenance shall include inspecting, maintaining, repairing, painting, restoring, replacing and making necessary improvements to the Master Association Property and/or Maintenance Areas, which include, without limitation, the following:

(a) All common recreational facilities (including, without limitations, all private parks and the recreational amenities constructed thereon), all green belts and landscaped open space areas (and related irrigation systems);

(b) Any private streets owned in fee by the Master Association or over which the Master Association owns an easement for maintenance purposes (including, without limitation, the curbs, gutters, street lights, directional signs and private storm drain systems), landscaped parkways, medians and streetscapes (and related irrigation systems);

(c) Those certain eucalyptus wind rows located within Long Meadow and Regal streets and/or otherwise indicated on the Woodbury Master Maintenance Exhibit;

(d) All Street Trees; (The Master Association shall annually trim and prune the Street Trees, shall root prune any of the Street Trees as needed, and shall replace any seriously diseased or dying Street Tree as needed. Additionally, the Master Association shall irrigate each Street Tree, unless such Street Tree is located on a portion of the Master Association Property over which a Sub-Association has an easement for landscape maintenance pursuant to a Landscape Maintenance Agreement);

(e) All structural Best Management Practices located on the Master Association Property in accordance with the Water Quality Management Plans;

(f) All common storm drain facilities; (The Master Association shall also paint and maintain all signs and warnings [e.g. Drains to Ocean] installed by Declarant or a Merchant Builder on any catch basin or other drainage device regarding the disposal of hazardous materials or other pollutants therein);

(g) All private utility lines, connections and related facilities;

(h) The exterior surface(s) (i.e., the surface[s] facing a public or private street so as to be generally visible to the public and/or the residents within the Community [excluding all surfaces of any decorative metal which encloses in whole or in part an Owner's Lot or Condominium]), the top and the structural integrity of all Master Association Walls;

(i) All Community entry monuments;

(j) All common furnishings, equipment and other personal property owned by the Master Association; and

(k) All other areas, facilities, equipment, and other Improvements as may from time to time be approved by the vote or written consent of Delegates representing a majority of the voting power of Members, other than Declarant and the Merchant Builders.

Without limiting the generality of the foregoing, the Master Association shall maintain all Special Benefit Improvements, and shall keep same in a neat, clean, safe and attractive condition at all times in accordance with the Maintenance Guidelines and with the Maintenance Standards set forth in Section 4 hereinbelow.

Section 2. Repair and Maintenance by a Sub-Association. Each Sub-Association shall be responsible for maintaining and repairing its Sub-Association Property and any other Improvements (including, but not limited to, the Sub-Association Walls, the interior surface of any Master Association Wall which borders the Sub-Association Property, and any portion of the Master Association Property over which the Sub-Association has an easement for landscape maintenance pursuant to a Landscape Maintenance Agreement) in accordance with the Maintenance Guidelines and the maintenance standards set forth in Section 4 below so as to keep same in a neat, clean, safe and attractive condition at all times. Without limiting the foregoing, each Sub-Association shall, to the maximum extent reasonably feasible, coordinate the contracting of maintenance work (e.g., maintenance of landscape areas, etc.) and other goods and

services required by the Sub-Association (e.g., insurance and property management, etc.) with the contracting of similar maintenance work and goods and services required by the Master Association in order to maximize cost efficiencies to both the Sub-Association and the Master Association, and to minimize the inconvenience to the Owners and other residents in the Community while such maintenance work is being performed. The members of a Sub-Association may not amend a Supplemental Declaration to terminate or modify any of the maintenance responsibilities of such Sub-Association without the prior written approval of the Board of the Master Association and the City. In the event that any Sub-Association shall permit any Sub-Association Property, or other area or Improvement which it is responsible to maintain, to fall into disrepair so as to create a dangerous, unsafe, unsightly or unattractive condition, the Board, after affording the board of directors of such Sub-Association Notice and Hearing, shall have the right, but not the obligation, acting through its agents and employees to correct such condition, and to enter upon such Sub-Association Property for the purpose of performing the necessary maintenance and repairs. The Sub-Association shall reimburse the Master Association for the cost thereof within thirty (30) days of receipt of demand for reimbursement. Such cost may be levied by the Master Association as a Compliance Assessment enforceable in the manner as set forth in this Master Declaration.

Section 3. Repair and Maintenance by Owners. Subject to the Master Association's maintenance obligations and a Sub-Association's maintenance obligations as referenced above, every Owner shall maintain his respective Lot or Condominium in accordance with the maintenance standards set forth in Section 4 hereinbelow so as to keep same in a neat, clean, safe and attractive condition at all times. Such maintenance shall include, but not be limited to, inspecting, maintaining, repairing, painting, restoring, replacing and making necessary improvements to his Lot or Condominium, including, without limitation, the following:

(a) the Dwelling and all related Improvements located on the Owner's Lot or within his Condominium Unit (including, but not limited to, swimming pools, spas and related equipment, patios, patio covers, decks, deck covers, windows, awnings, screens, doors, screendoors, fences, gates and landscaping);

(b) the interior surface of any Master Association Wall (and/or Sub-Association Wall) which encloses in whole or in part the Owner's private yard area or is otherwise located on the Owner's Lot or Condominium (including all surfaces of

any decorative metal included as part of a Master Association Wall or Sub-Association Wall);

(c) the interior surface of a "Party Wall" which encloses in whole or in part the Owner's private yard area and which such Owner shares with one or more Owners (together with a pro rata share of all costs of structural repairs to such "Party Wall") as more particularly set forth in below;

(d) any drainage facilities (including downspouts and rain gutters, yard drains and drain lines, swales and other drainage devices), whether surface or subsurface located on the Owner's Lot or Condominium;

(e) all hardscape (including, but not limited to, patios, entry walkways, planters and driveways) located on the Owner's Lot or within his Condominium Unit; and

(f) all landscaping, (including, but not limited to trees, shrubs, bushes, lawn and all other plantings) and the related irrigation systems located on the Owner's Lot or within his Condominium Unit.

Section 4. Maintenance Standards. The Master Association shall maintain all Master Association Property and the Maintenance Areas, a Sub-Association shall maintain its Sub-Association Property and any other Improvements as required herein and in the Supplemental Declaration, and each Owner shall maintain his respective Lot or Condominium in accordance with the provisions of the Master Association Documents, all applicable ordinances and regulations of the Public Agencies having jurisdiction over the Community and the following general maintenance standards:

(a) All lawn areas which are visible from a street shall be evenly cut, evenly edged, free of bare or brown spots and free of debris and weeds above the level of the lawn. All landscaped areas, other than such lawns which are visible from a street, shall be free of weeds, dead vegetation and debris.

(b) All trees (including the Street Trees) and all shrubs shall be trimmed so they do not impede pedestrian traffic along the streets and sidewalks. Trees shall be pruned so they do not contact Improvements constructed on an adjoining Lot or Condominium and shall be maintained so they do not have droppings or create other nuisances to adjoining Lots or Condominiums or the Master

Association Property. All trees shall also be root pruned to eliminate exposed surface roots and damage to Dwellings, Master Association Walls, Sub-Association Walls, streets, sidewalks, driveways or other Improvements. All private streets, walkways and sidewalks shall be maintained so that they are safe for users. Significant pavement cracks, pavement distress, excessive slab settlement, abrupt vertical variations and debris shall be removed or repaired promptly.

(c) All Master Association Property, Maintenance Areas, Sub-Association Property, if any, and all Lots and Condominiums shall be maintained in such a manner as to avoid the reasonable determination that a public nuisance has been created by the absence of adequate maintenance such as to be detrimental to public health, safety or general welfare, or that such a condition of deterioration or disrepair cause harm or is materially detrimental to property values or Improvements within the boundaries of the Community.

(d) All surfaces of any decorative metal included as part of a Master Association Wall (or a Sub-Association Wall) which is to be maintained by the Master Association (or a Sub-Association) or by an Owner shall be painted as needed to eliminate cracking, chipping, and oxidation, but in no event less frequent than every two (2) years. The brands of paint and colors which may be used are set forth in the Design Guidelines.

(e) In all events, the landscaping of Lot A of Tract 16495 which is located adjacent to the Jeffrey Open Space Spine (as designated on the Woodbury Master Maintenance Exhibit) shall be complementary with the character of the landscaping of the Jeffrey Open Space Spine at all times, and such landscaping on said Lot A may not be removed, altered or otherwise modified without the prior express written approval of the City Director of Community Services.

Section 5. Maintenance by the City. The City of Irvine, by means of a Landscape, Lighting and Park Maintenance Assessment District shall maintain certain parkways and streetscapes within and/or adjacent to the Community in accordance with the standards adopted by the District in its sole discretion. The parkways and streetscapes to be maintained by the City are shown on the Woodbury Master Maintenance Exhibit. Additionally, the City shall

maintain all of the public sidewalks in the Community in accordance with the City's maintenance standards.

Section 6. Preservation of Proper Drainage. The Master Association Property and each Lot and Condominium in the Community was carefully graded to provide positive drainage away from the entire foundation line of the Dwellings and other structures. Positive drainage is achieved by shaping and cutting drainage swales or channels in the ground. These swales are engineered progressively lower than the adjoining surface ground areas and provide a conduit to drain water away from foundations and into the streets or Community storm drain system. The Master Association (as to the Master Association Property and Maintenance Areas) and each Sub-Association (as to its Sub-Association Property) and each Owner (as to his respective Lot or Condominium) shall maintain any graded drainage swale and/or any other drainage device located thereon in a neat, clean, safe and proper operating condition at all times so as to assure proper drainage of surface waters in, on, over, across and through such drainage swales and/or other applicable drainage devices. The Master Association, each Sub-Association and each Owner shall not perform any grading or build, construct, install or plant any Improvements which would obstruct the structural integrity or proper operation of any drainage swale or other drainage device, trap or otherwise cause water to pond adjacent to a Dwelling or other structure or result in creating an excessive amount of surface water runoff.

Section 7. Annual Inspection by the Master Association. In addition to the inspection conducted as part of the reserve study pursuant to Section 1365.5(e) of the California Civil Code, as same may be amended from time to time, it shall be the duty of the Board to inspect the Master Association Property and Maintenance Areas at least once each calendar year and cause a report to the Members to be prepared in accordance with the following:

- (a) Purpose of Inspection. The purpose of the inspection shall be to (i) determine whether the Master Association Property and Maintenance Areas are being maintained adequately in accordance with the standards set forth in Section 4 hereinabove, (ii) identify the condition of such Master Association Property and Maintenance Areas, including the existence of any hazards or defects, and the need for performing additional maintenance, refurbishment, replacement or repair, and (iii) recommend preventive actions which may be taken to reduce potential maintenance costs to be incurred in the future.

(b) Scope of Inspection. All of the Master Association Property and Maintenance Areas shall be thoroughly inspected and tested, as applicable.

(c) Experts and Consultants. The Board may employ such experts and consultants as are necessary to perform the inspection and prepare the report required herein.

(d) Report to Owners. The Board shall cause a report of the results of the inspection to be prepared. The report shall be furnished to Owners within the time set forth for furnishing Owners with the budget. The report shall include at least the following:

(1) a description of the condition of the Master Association Property and Maintenance Areas, including a list of items inspected, and the status of maintenance, repair and need for replacement of any Improvements thereon;

(2) a description of all maintenance, repair and replacement planned for the ensuing fiscal year and included in the Master Association's budget (or budget for the respective Special Benefit Area);

(3) if any maintenance, repair or replacement is to be deferred, the reason for such deferral;

(4) a summary of all reports of inspection performed by any expert or consultant employed by the Board to perform inspections;

(5) a report of the status of compliance with the maintenance, replacement and repair needs set forth in the inspection report for the immediately preceding year; and

(6) such other matters as the Board deems appropriate.

Section 8. Compliance. If after prior Notice and Hearing, the Board determines that a Sub-Association or an Owner has failed to perform its respective maintenance obligations, the Board shall have the right, but not the obligation, acting through its agents and employees, to enter in and/or upon any Sub-Association Property or Lot or Condominium to perform such maintenance and repairs as may be reasonably required to bring same into compliance with the Protective Covenants set forth in this Master Declaration. The cost of such

maintenance and repairs shall be levied by the Board as a Compliance Assessment against the respective Sub-Association or Owner as provided in this Master Declaration.

Section 9. Damage and Destruction Affecting a Lot or Condominium - Duty to Rebuild. In the event any Dwelling or other structure is damaged or destroyed by fire or other casualty, it shall be the duty of the affected Sub-Association (if applicable) or the duty of the Owner of the affected Lot or Condominium to repair or reconstruct any affected Dwelling in a manner which will restore it to its condition and appearance immediately prior in time to such damage or destruction, or as otherwise approved by the Design Review Committee. The affected Sub-Association or Owner shall be obligated to proceed with all due diligence hereunder, and shall promptly commence reconstruction within a reasonable time after the damage occurs, and shall complete such reconstruction as soon as reasonably possible thereafter.

Section 10. Party Walls.

(a) General Rules of Law to Apply. Each wall and fence (save and except any structural wall of a Dwelling and any Community Wall) which is built as a part of the original construction by Declarant or a Merchant Builder and which is located on the property line or which serves as the effective boundary between two (2) or more Lots or Condominiums shall be deemed to be and treated in the same manner as a "Party Wall". To the extent not inconsistent with the provisions of this Article, the general rules of law regarding party walls and liability for property damage due to negligence or willful acts or omissions shall apply thereto.

(b) Sharing of Repair and Maintenance. Unless covered by insurance maintained by the Master Association, the cost of reasonable structural repair and maintenance of a Party Wall shall be shared equally by the Owners of the Lots or Condominiums which share such common wall or fence. However, each Owner shall be solely responsible for maintaining and painting the side of any Party Wall facing his Lot or Condominium.

(c) Destruction by Fire or Other Casualty. Unless covered by insurance maintained by the Master Association, if a Party Wall is destroyed or damaged by fire or other casualty, any Owner whose Lot or Condominium is affected thereby may restore it, and the Owner(s) of any other Lot(s) or Condominium(s) which is/are affected thereby shall contribute equally to the cost of restoration

thereof, without prejudice, however, to the right of any such Owner to call for a larger contribution from the other under any rule of law regarding liability for negligent or willful acts or omissions.

(d) Right of Contribution. The right of any Owner to contribution from any other Owner for work performed pursuant to this Master Declaration shall be appurtenant to and shall run with the land and shall be binding upon the Owners and their successors, assigns and grantees. Notwithstanding the foregoing, the duty and obligation to pay contribution for work already performed pursuant to the provisions of this Master Declaration shall not run with the land or be binding upon (i) any first Mortgagee who obtains title pursuant to either a foreclosure under its Deed of Trust or by a deed in lieu of foreclosure, or (ii) any purchaser at a foreclosure sale.

Section 11. Reservation of Access Easement for Inspection and Repairs.

Declarant hereby reserves unto itself and each Merchant Builder, and their respective successors and assigns, and unto the Master Association, a nonexclusive easement for ingress, egress and access on, over and across those portions of the Community (including the Lots and Condominiums) as are reasonably necessary to conduct inspections and tests, and to perform repairs and any other activities as Declarant, a Merchant Builder and/or the Master Association may deem appropriate. Such access easement may be exercised by the Declarant, a Merchant Builder, the Master Association and/or their authorized agents and employees upon reasonable prior notice to the Master Association, a Sub-Association and/or an affected Owner, as the case may be and shall only be exercised during normal business hours. Such access easement shall be exercised with as little inconvenience as is practicable under the circumstances, and in the event that any damage is caused thereby, the Declarant, the Merchant Builder or the Master Association, as the case may be, shall repair the same at its sole cost and expense. Notwithstanding the foregoing, in the event of any emergency, such right of access shall be immediate.

ARTICLE XI
DAMAGE OR DESTRUCTION OF IMPROVEMENTS
MAINTAINED BY THE MASTER ASSOCIATION

Section 1. Restoration of Damaged Master Association Property and/or Maintenance Areas. Except as otherwise provided in Section 2 hereinbelow, damage to or destruction of all or any portion of the Master Association Property and/or Maintenance Areas shall be handled in the following manner:

(a) Damage to the Master Association Property and/or Maintenance Areas - Sufficient Insurance Proceeds. In the event of damage to or destruction on the Master Association Property (excluding the Special Benefit Improvements) and/or Maintenance Areas and the insurance proceeds are sufficient to effect total restoration, the Master Association shall, as promptly as is practical, cause the same to be repaired and reconstructed in a good workmanlike manner to its condition prior to such damage or destruction.

(b) Damage to the Master Association Property and/or Maintenance Areas - Insufficient Insurance Proceeds. Subject to the provisions of Section 2 below, in the event of damage to or destruction of any of the Master Association Property (excluding the Special Benefit Improvements) and/or Maintenance Areas and the Master Association's insurance proceeds are insufficient to effect total restoration, the Master Association shall, as promptly as practical, cause such Master Association Property and/or Maintenance Areas to be repaired and reconstructed in a good workmanlike manner to its condition prior to the damage or destruction, and the difference between the Master Association's insurance proceeds and the actual costs shall be levied by the Master Association as a Special Assessment against each Lot and Condominium in the Community on the same basis as Regular Assessments are levied against the Lots and Condominiums.

(c) Damage to the Special Benefit Improvements. In the event of damage to or destruction of the Special Benefit Improvements for a Special Benefit Area and the Master Association's insurance proceeds are sufficient to effect total restoration, the Master Association shall, as promptly as is practical, cause the same to be repaired and reconstructed in a good workmanlike manner to their condition

prior to such damage or destruction. If the Master Association's insurance proceeds are insufficient to effect total restoration, the Master Association shall, as promptly as practical, cause such Special Benefit Improvements to be repaired and reconstructed in a good workmanlike manner to their condition prior to the damage or destruction, and the difference between the insurance proceeds and the actual cost shall be levied by the Master Association as a Special Assessment against all of the Owners of the Lot(s) and/or Condominium(s) within the affected Special Benefit Area.

Section 2. Election Not to Restore Damaged Master Association Property and/or Maintenance Areas. Notwithstanding the provisions set forth in Section 1(b) hereinabove, in the event that Delegates constituting a quorum have cast affirmative votes on behalf of the Owners (other than Declarant and the Merchant Builders) of at least sixty-seven percent (67%) of all Lots and Condominiums in the Community, and sixty-seven percent (67%) of the first Mortgagees (based upon one [1] vote for each first Mortgage owned) have given their prior written approval, the Master Association may elect not to rebuild or restore the Master Association Property and/or Maintenance Areas, and to disburse the available insurance proceeds to the general fund of the Master Association. The affected areas shall be cleared of all debris and shall be landscaped and irrigated so as to keep such areas in a neat, clean, safe and attractive condition at all times. The cost thereof shall be paid for out of the available insurance proceeds prior to their distribution to the general fund of the Master Association.

Section 3. Election Not to Restore Special Benefit Improvements. In the event that Delegates constituting a quorum (i.e., Delegates representing more than fifty percent [50%] of the voting power of the Owners owning Lots or Condominiums within the affected Special Benefit Area) have cast affirmative votes on behalf of at least sixty-seven percent (67%) of the Owners (other than Declarant and the Merchant Builders) of the Lots or Condominiums within such Special Benefit Area, and sixty-seven percent of the first Mortgagees (based upon one [1] vote for each first Mortgage owned) have given their prior approval, the Master Association may elect not to rebuild and restore the damaged or destroyed Special Benefit Improvements.

Section 4. Retention of Excess Insurance Proceeds in General Fund. In the event any excess insurance proceeds remain after restoring the destroyed Master Association Property (excluding the Special Benefit Improvements) and/or Maintenance Areas pursuant to

this Article, the Board shall retain such sums in the general fund of the Master Association. In the event any excess insurance proceeds remain after restoring the Special Benefit Improvements, the Board shall retain such funds in a special fund for the benefit of the affected Special Benefit Area.

Section 5. Notice to Owners and Mortgagees. The Board shall, as soon as reasonably possible following any damage or destruction of Improvements in the Master Association Property and/or Maintenance Areas notify all Owners and holders, insurers and guarantors of first Mortgages on Lots and/or Condominiums in accordance with the provisions of the Article herein entitled "Mortgagee Protection."

Section 6. Damage by Owners. To the extent permitted by law, each Owner shall be liable to the Master Association for any damage to any of the Master Association Property and/or Maintenance Areas not fully reimbursed to the Master Association by insurance if the damage is sustained due to the negligence, willful misconduct, improper installation or maintenance of an Improvement by an Owner, the members of his family, his tenants, lessees and their respective guests or invitees. The Board shall have the right, after Notice and Hearing, as provided in the Bylaws, to levy a Damage Reimbursement Assessment for any damages so caused by or attributable to such Owner, including, without limitation, the costs of any increased insurance premiums resulting from such damage.

Section 7. Use of Special Assessments. All amounts collected pursuant to Special Assessments as provided for in this Article shall only be used for the purposes set forth herein, and shall be deposited by the Board into a separate bank account to be held in trust for such purposes.

ARTICLE XII

CONDEMNATION

Section 1. Distribution of Awards. Subject to the limitations set forth in the Article herein entitled "Mortgagee Protection," a condemnation award affecting any portion of the Community that is not apportioned among the Owners by court judgment, or by agreement between the condemning authority and each of the affected Owners in the Community, shall be distributed among the affected Owners (and their respective Mortgagees) based upon the affected

Owners' ownership or other rights in the condemned portion of the Community. All first Mortgagees shall have the right to participate in any condemnation proceedings.

Section 2. Distribution of Awards - Master Association Property. A condemnation award affecting all or any portion of the Master Association Property shall be remitted to the general fund of the Master Association; however a condemnation award affecting any Special Benefit Improvements shall be remitted to a special fund for the benefit of the affected Special Benefit Area.

Section 3. Board of Directors as Attorney-in-Fact. All Owners hereby appoint the Board as their special attorney-in-fact to handle the negotiations, settlements and agreements pertaining to any condemnation affecting only the Master Association Property.

ARTICLE XIII

COVENANT AGAINST PARTITION

Section 1. Covenant Against Partition. By acceptance of his deed, each Owner shall be deemed to covenant for himself, and for his heirs, representatives, successors and assigns, that he will not institute legal proceedings to effect judicial partition of his interest in the Community, unless the Community: (a) has been in existence in excess of fifty (50) years, (b) is obsolete and uneconomical, and (c) the Delegates representing the Owners of at least sixty-seven percent (67%) of all Lots and Condominiums in the Community and sixty-seven percent (67%) of the first Mortgagees (based upon one [1] vote for each Mortgage owned) consent to or join in such action for partition.

Section 2. Covenant Against Partition of a Condominium Project. The Owner of a Condominium in the Community may maintain a partition action for such Condominium Project from the overall Community as provided herein. The court shall order partition of the Condominium Project from the overall Community under this Article by sale of the Condominium Project, but only upon a showing of at least one (1) of the following:

(a) More than three (3) years before the filing of the action, the Condominium Project was damaged or destroyed so that a material number of the Condominiums were rendered unfit for their prior use, and the Condominium Project has not been rebuilt or repaired substantially to its state prior to the damage or destruction;

(b) Three-fourths (3/4) or more of the Condominiums in the Condominium Project were destroyed or substantially damaged, and Delegates representing at least sixty-seven percent (67%) of the voting power of the Master Association and sixty-seven percent (67%) of the first Mortgagees (based upon one [1] vote for each first Mortgage owned) oppose repair or restoration of the Condominium Project; or

(c) The Condominium Project has been in existence more than fifty (50) years, is obsolete and uneconomical, and Delegates representing the Owners of at least sixty-seven percent (67%) of the Condominiums and sixty-seven percent (67%) of the first Mortgagees (based upon [1] vote for each first Mortgage owned) oppose repair or restoration of the Condominium Project.

ARTICLE XIV

INSURANCE

Section 1. Required Insurance Coverage. The Master Association, acting by and through the Board, shall obtain and maintain at all times for the Master Association the insurance coverage set forth herein. Except as otherwise provided herein, the premiums for such coverage shall be a Common Expense.

(a) **Casualty and Fire Insurance.** A policy or policies of casualty and fire insurance with extended coverage endorsement in an amount equal to one hundred percent (100%) of the then current replacement cost (without deduction for depreciation or co-insurance) of the Master Association Property and Maintenance Areas. Such policy or policies must be written by an insurance carrier that has an acceptable rating from A.M. Best Company, DemoTech, Inc., or Standard and Poor's Inc. in accordance with FNMA's requirements. Said policies shall be primary and shall be maintained for the benefit of the Master Association, the Owners and the Mortgagees, as their interests shall appear and shall waive the right of subrogation against Owners, if obtainable. The deductible shall be the lesser of Ten Thousand Dollars (\$10,000) or one percent (1%) of the policy face amount, if obtainable. The coverage does not need to include land, foundations, excavations, or other items

normally excluded from such coverage. Such policy or policies must contain, if required and if obtainable:

- (1) An Agreed Amount and Inflation Guard Endorsement;
- (2) Construction Code Endorsements (such as Demolition Cost Endorsement);
- (3) Contingent Liability From Operation of Building Laws Endorsement; and
- (4) Increased Construction Endorsement if there is a construction code provision which would become operative and require changes to undamaged portions of the buildings within the Master Association Property.

(b) Public Liability Insurance. A policy or policies of comprehensive public liability insurance (with cross-liability endorsement, if obtainable) insuring the Master Association, the Board, the Owners, the Declarant and the Merchant Builders and their respective officers, directors, shareholders, employees and agents against any liability to the public or to any Owner, the members of his family, his tenants and lessees and their respective guests and invitees, arising from or incident to the ownership, occupation, use, maintenance and/or repair of the Master Association Property and/or Maintenance Areas. The limits of liability under this Section shall be set by the Board and shall be revised at least annually by the Board, and increased or decreased at the discretion of the Board; provided, however, that said limits shall not be less than Three Million Dollars (\$3,000,000.00) for bodily injury, including deaths of persons and property damage arising out of a single occurrence; and, provided further, that if the FHLMC and/or the FNMA participate in the financing of Lots and/or Condominiums in the Community, said limits shall not be less than the minimum limits required under the then current FHLMC and/or FNMA regulations.

(c) Fidelity Bonds. Fidelity bonds naming all persons signing checks or otherwise possessing fiscal responsibilities on behalf of the Master Association, including, but not limited to, members of the Board, officers and employees of the Master Association, and officers, employees and agents of any management company employed by the Master Association who handle or are responsible for the administration of Master Association funds, if obtainable. Such coverage shall be in

an amount deemed reasonably appropriate by the Master Association, but shall not be less than the estimated maximum funds in the custody of the Master Association, or twenty-five percent (25%) of the estimated annual operating expenses of the Community, plus reserves, whichever is greater. In addition, if the Master Association enters into an agreement for professional management of the Community, the Master Association shall require such firm to submit evidence of such firm's fidelity bond coverage to the same extent as the Master Association's coverage, and the Master Association shall be named as an additional insured under such coverage, if obtainable.

(d) Worker's Compensation. A policy or policies for all employees of the Master Association in such amounts as may be required by law.

With respect to each Special Benefit Area, the Board shall obtain and maintain at all times a policy or policies of casualty and fire insurance with extended coverage, public liability insurance and such other insurance as the Board may deem necessary and appropriate. The coverage under such policies, including without limitation, the limits of liability, shall be set by the Board and shall be reviewed at least annually. The premiums (and any deductibles) for such insurance shall be a Special Benefit Expense assessable only to the Owners of Lots and/or Condominiums within the respective Special Benefit Area.

Section 2. Optional Insurance Coverage. The Master Association, acting at its option and by and through the Board, may purchase such other insurance as it may deem necessary or appropriate, including, but not limited to, officers and directors errors and omissions insurance, earthquake insurance and flood insurance.

Section 3. Notice of Cancellation of Insurance. All policies of insurance maintained by the Master Association pursuant to this Article shall contain a provision that coverage under said policies may not be canceled, terminated, allowed to expire by their own terms, or be substantially modified by any party without at least thirty (30) days' prior written notice to the Board, to each Owner, and to such first Mortgagees who have filed written request with the Master Association for such notice. A list of the Owners and such first Mortgagees shall be made available by the Master Association to the insurance carrier upon request.

Section 4. Annual Review of Coverage. The Board shall annually determine whether the amounts and types of insurance coverage that it has obtained pursuant to

this Article shall provide adequate coverage for the Community, based upon the then current construction costs, insurance practices in the area in which the Community is located, and all other factors which may indicate that either additional insurance coverage or increased coverage under the existing policies is necessary or desirable to protect the interests of the Master Association, the Owners and their respective Mortgagees. If the Board determines that increased coverage or additional insurance is appropriate, it shall obtain same.

Section 5. Waiver by Owners. As to all policies of insurance maintained by the Master Association which will not be voided or impaired thereby, each Owner hereby waives and releases all claims against the Master Association, the Board, the Declarant, the Merchant Builders and the officers, employees and agents of each of the foregoing, and all other Owners with respect to any loss covered by such insurance, whether or not caused by the negligence of, or breach of, any agreement by said persons, but only to the extent of the insurance proceeds received in compensation for such loss.

Section 6. Premiums, Proceeds and Settlement. Insurance premiums for all blanket insurance coverage and any other insurance coverage which the Board has determined is necessary to protect the interests of the Master Association, the Owners and their respective Mortgagees, shall be a Common Expense to be included in the Regular Assessments levied by the Master Association. Funds sufficient to cover the applicable deductibles should be maintained by the Master Association in its reserve accounts. Deductibles may also be funded as a Common Expense included in Regular Assessments (or as a Special Benefit Expense in the case of a Special Benefit Area) or may be funded as a Special Assessment. All insurance proceeds paid to the Master Association shall be disbursed as follows: (a) in the event of any damage or destruction to the Master Association Property and/or Maintenance Areas, such proceeds shall be disbursed in accordance with the provisions of the Article herein entitled "Damage or Destruction of Improvements Maintained by the Master Association;" and (b) in the event of any other loss, the proceeds shall be disbursed as the Board shall deem appropriate subject to the limitations set forth in the Article herein entitled "Mortgagee Protection." The Master Association is hereby granted the authority to negotiate loss settlements with the appropriate insurance carriers. Any two (2) Directors of the Master Association may sign a loss claim form and release form in connection with the settlement of a loss claim, and such signatures shall be binding on the Master Association and its Members.

Section 7. Rights and Duties of Owners to Insure. Each Owner may obtain insurance on his personal property, his Lot or Condominium and all other Improvements thereto. Nothing herein shall preclude any Owner from carrying any public liability insurance as he may deem desirable to cover his individual liability for damage to persons or property occurring on or within his individual Lot or Condominium or elsewhere within the Community. If obtainable, such liability insurance coverage carried by an Owner shall contain a waiver of subrogation of claims against the Declarant, the Merchant Builders, the Master Association and the Board, and their officers, employees, agents and all other Owners. Such other policies shall not adversely affect or diminish any liability under insurance obtained by the Master Association. If any loss intended to be covered by insurance carried by the Master Association shall occur and the proceeds payable thereunder shall be reduced by reason of insurance carried by any Owner, such Owner shall assign the proceeds of such insurance carried by him to the Master Association, to the extent of such reduction, for application by the Board to the same purposes as the reduced proceeds are to be applied. Each Sub-Association shall maintain insurance coverage in accordance with the provisions of its Supplemental Declaration.

Section 8. Trustee for Policies. The Board is hereby appointed and shall be deemed trustee for the interests of all insureds under the policies of insurance maintained by the Master Association. All insurance proceeds under such policies shall be paid to the Board, as trustee, and the Board shall have full power to receive such funds on behalf of the Master Association, the Owners and their respective Mortgagees, and to deal therewith as provided for in this Master Declaration.

Section 9. Mortgage Clause. All insurance policies should have the "standard mortgage clause," or equivalent endorsement, providing that coverage of a Mortgagee under the insurance policy will not be adversely affected or diminished by an act or neglect of the Mortgagor, which is commonly accepted by private institutional mortgage investors in the area in which the Community is located, unless such coverage is prohibited by applicable law.

Section 10. Compliance With Requirements of FHLMC and FNMA. Notwithstanding the provisions of this Article, the Master Association shall obtain and maintain in effect such policies of insurance meeting all requirements of FHLMC and FNMA established by those entities for planned developments for so long as any of such agencies continue to be a

Mortgagee, Owner, insurer or guarantor of a Mortgage in the Community, except to the extent such coverage is not available or has been waived, in writing, by such agencies.

ARTICLE XV

MORTGAGEE PROTECTION

Section 1. Mortgage Protection Provisions. Notwithstanding any other provisions in this Master Declaration to the contrary, in order to induce the FHLMC, FNMA, GNMA and other lenders and investors to participate in the financing of the sale of Lots and Condominiums in the Community, the following provisions contained within this Article are added hereto, and, to the extent these added provisions conflict with any other provisions in this Master Declaration, these added provisions shall control. As used herein, an "Eligible Mortgage Holder" shall mean and refer to the holder, insurer or guarantor of a first Mortgage on a Lot or Condominium who has filed with the Master Association a written request for notice of certain information as provided herein. An Eligible Mortgage Holder must send a written request for such information to the Master Association, stating its name and address and the address of the Lot or Condominium on which it holds (or insures or guarantees) the Mortgage.

(a) The right of an Owner to sell, transfer or otherwise convey his Lot or Condominium shall not be subject to any right of first refusal or any similar restriction in favor of the Master Association.

(b) The lien of the Assessments provided for herein shall be subordinate to the lien of any first Mortgage now or hereafter recorded upon any Lot or Condominium. The sale or transfer of any Lot or Condominium shall not affect the Assessment lien; however, the sale or transfer of any Lot or Condominium pursuant to judicial or nonjudicial foreclosure of a first Mortgage, or pursuant to any remedies provided for in the Mortgage, shall extinguish the lien of such Assessments as to payments which became due prior thereto. No sale or transfer shall relieve such Lot or Condominium from liability for Assessments due thereafter. Any first Mortgagee who obtains title to a Lot or Condominium pursuant to the remedies provided in the Mortgage, or foreclosure of the Mortgage, or any purchaser at a foreclosure sale of a first Mortgage, will not be liable for unpaid Assessments or charges which accrue prior to the acquisition of title to such Lot or Condominium by the Mortgagee (except

for claims for a share of such Assessments or charges resulting from a reallocation of such Assessments or charges to all Lots and Condominiums, including the mortgaged Lot or Condominium).

(c) Except as provided by statute in case of condemnation or substantial loss to the Lots and/or Condominiums and/or the Master Association Property, unless the Delegates have cast affirmative votes on behalf of the Owners (other than Declarant and the Merchant Builders) of at least sixty-seven percent (67%) of the Lots and Condominiums in the Community, and sixty-seven percent (67%) of the first Mortgagees (based upon one [1] vote for each first Mortgage owned) have given their prior written approval, neither the Master Association nor the Owners shall be entitled to:

(1) By act or omission, seek to abandon or terminate the Master Association, except for abandonment, partition or termination as may be provided by law;

(2) Record or file any amendment which would change the pro rata interest or obligations of any Lot or Condominium for purpose of levying Assessments or charges, or allocating distributions of hazard insurance proceeds or condemnation awards;

(3) Partition or subdivide any Lot or Condominium, except as provided in this Master Declaration; provided, however, that no Lot or Condominium may be partitioned or subdivided without the prior written approval of the first Mortgagee for such Lot or Condominium;

(4) By act or omission, seek to abandon, partition, subdivide, encumber, sell or transfer all or any portion of the Master Association Property. The conveyance of title to and/or easements over portions of the Master Association Property in accordance with the provisions of Section 2 in Article III for the purposes set forth therein, for public utilities or for other public purposes consistent with the intended uses of the Master Association Property shall not be deemed a transfer within the meaning of this clause;

(5) Use hazard insurance proceeds for any losses for other than repair, replacement or reconstruction of the applicable Improvements;

(6) Implement any decision of the Master Association to terminate professional management and assume self-management of the Community, where such professional management was previously a requirement by a holder, insurer or guarantor of any first Mortgage;

(7) By act or omission, change, waive or abandon any provisions of this Master Declaration, or enforcement thereof, pertaining to architectural design of the Lots and Condominiums, or the maintenance and operation of the Master Association Property and Maintenance Areas, including, without limitation, Master Association Walls, common sidewalks, fences, driveways, private streets, storm drains, water and sewer facilities and landscaping within the Community; and

(8) Fail to maintain fire and extended coverage insurance on the Master Association Property on a current replacement cost basis in an amount not less than one hundred percent (100%) of the insurable value thereof.

(d) All taxes, assessments and charges which may become liens prior to the first Mortgage under local law shall relate only to individual Lot or Condominium and not to the Community as a whole.

(e) No provision of the Master Association Documents shall be interpreted to give any Owner or any other party priority over any rights of the first Mortgagee in the case of a distribution to such Owner of insurance proceeds or condemnation awards for losses to or a taking of all or any portion of the Master Association Property or such Owner's Lot or Condominium. All applicable fire and casualty insurance policies shall contain loss payable clauses acceptable to each first Mortgagee, naming the Mortgagees, as their interests appear, as additional insureds.

(f) The Assessments provided for in the Master Association Documents shall include adequate reserves for maintenance, repairs and replacement of those elements of the Master Association Property (and the Special Benefit Improvements) that must be replaced on a periodic basis, and shall be payable in regular installments rather than by Special Assessments.

(g) Each Eligible Mortgage Holder shall be entitled to timely written notice of:

(1) Any condemnation or eminent domain proceeding, and any loss or taking resulting from such proceeding which affects the Community, or any portion thereof;

(2) Any substantial damage or destruction to the Community, or any portion thereof, when such loss exceeds Ten Thousand dollars (\$10,000.00);

(3) Any default in the performance by an individual Owner of any obligation under the Master Association Documents, including, without limitation, the nonpayment of Assessments, which is not cured within sixty (60) days after the Master Association learns of such default, which notice shall state the length of time such Owner has been delinquent;

(4) Any lapse, cancellation or material modification of any insurance policy or fidelity bond maintained by the Master Association;

(5) Any abandonment or termination of the Community; and

(6) Any proposed action that requires the consent of a specific percentage of Eligible Mortgage Holders.

(h) Any agreement for professional management of the Community, or any contract providing for services of the Declarant or a Merchant Builder may not exceed one (1) year, renewable by agreement of the parties for successive one (1) year periods. Any such agreement must provide for termination by either party without cause and without payment of a termination fee on a maximum of ninety (90) days' prior written notice.

(i) First Mortgagees may, jointly or singly, pay taxes or other charges which are in default and which may or have become a lien on the Master Association Property, and may pay overdue premiums on hazard insurance policies or secure new hazard insurance coverage on the lapse of a policy for the Master Association Property, and first Mortgagees making such payments shall be owed immediate reimbursement therefor from the Master Association. Upon demand by any first Mortgagee, the Board shall execute, on behalf of the Master Association, an agreement establishing the right of all first Mortgagees to such reimbursement.

(j) Each Eligible Mortgage Holder shall be entitled to:

(1) Examine current copies of the Master Association Documents and the Master Association's books, records and financial statements during normal business hours;

(2) Obtain from the Master Association a copy of an audited financial statement of the Community for the previous fiscal year (without expense to the holder, insurer, or guarantor requesting said statement). As set forth in the Article herein entitled "Powers and Duties of the Master Association," an annual report shall be available within one hundred twenty (120) days after the close of the fiscal year. If for any reason the report is not audited, it shall be accompanied by a certificate from an authorized officer of the Master Association that the report was prepared without audit from the books and records of the Master Association, and the Eligible Mortgage Holder may have an audited financial statement prepared at its own expense; and,

(3) Receive written notice of all meetings of the Master Association and be permitted to designate a representative to attend all such meetings.

(k) Each Owner shall notify the Master Association in writing within ten (10) days after the Close of Escrow for the purchase of his Lot or Condominium of the name and address of his first Mortgagee, and, thereafter, each Owner shall promptly notify the Master Association of any change of name or address for his first Mortgagee.

(l) Each Owner hereby authorizes a first Mortgagee on a Lot or Condominium to furnish information to the Board concerning the status of any such first Mortgage.

(m) In the event any portion of the Master Association Property encroaches upon any Lot or Condominium, or any Lot or Condominium encroaches upon the Master Association Property as a result of the construction, reconstruction, repair, shifting, settlement or movement of any Improvement, a valid easement for the encroachment and for the maintenance of the same shall exist so long as the encroachment exists.

(n) Subject to the provisions of Section 7 of the Article herein entitled "General Provisions," after the first Close of Escrow for the sale of a Lot or Condominium in the Community, neither the Master Association, nor the Members may revoke or "materially amend" (as defined below) the Master Association Documents unless Delegates have cast affirmative votes representing at least sixty-seven percent (67%) of the total voting power of the Master Association, and at least fifty-one percent (51%) of the first Mortgagees (based upon one vote for each first Mortgage owned) of the Lots and Condominiums in the Community have approved such revocation or material amendment. An amendment or revocation regarding any of the following shall be considered material:

- (1) The legal status of the Community;
- (2) Voting rights;
- (3) Increases in Assessments that raise the previously assessed amount by more than twenty five percent (25%), assessment liens or the priority of assessment liens;
- (4) Reductions in reserves for maintenance, repair and replacement of the Master Association Property and Maintenance Areas;
- (5) Responsibility for the maintenance and repair of the Master Association Property and Maintenance Areas;
- (6) Reallocation of interests in the Master Association Property or rights to use the Master Association Property;
- (7) Insurance or fidelity bonds, and the entitlement to proceeds thereof;
- (8) Boundaries of any Lot or Condominium;
- (9) Ownership of the Master Association Property;
- (10) Encroachment by Improvements on a Lot or Condominium into the Master Association Property or by Improvements on the Master Association Property into a Lot or Condominiums;
- (11) Expansion or contraction of the Community, or addition, annexation or de-annexation of additional property to or from the Community;

(12) Conversion of any Lot or Condominium into Master Association Property and vice versa;

(13) Imposition of restrictions on the leasing of the Lots or Condominiums;

(14) Imposition of restrictions on alienation, including, but not limited to, rights of first refusal;

(15) Mortgagee protection provisions as set forth in this Master Declaration, and such other provisions herein for which the consent of Mortgagees shall be required or which are expressly for the benefit of Mortgagees, insurers or guarantors of Mortgages;

(16) Any action to terminate the legal status of the Community after substantial destruction or condemnation occurs;

(17) Any decision by the Master Association to establish self-management, if professional management had previously been required by an Eligible Mortgage Holder; and

(18) Restoration or repair of the Community in a manner other than as specified in this Master Declaration.

Any amendment to the Master Association Documents for the purpose of correcting technical errors or for clarification only shall not be deemed material.

Section 2. Violation of Mortgagee Protection Provisions. No breach of any of the foregoing Protective Covenants shall cause any forfeiture of title or reversion or bestow any right of reentry whatsoever, but in the event that any one or more of these Protective Covenants shall be violated, the Declarant, any Merchant Builder, the Master Association, any Sub-Association or any Owner in the Community may commence a legal action in any court of competent jurisdiction to enjoin or abate said violation and/or to recover damages; provided, however, such violation shall not defeat or render invalid the lien of any Mortgage made in good faith and for value. Said Protective Covenants shall be binding upon and effective against any Owner whose title is acquired by foreclosure, trustee sale or otherwise.

Section 3. Effect of Amendments. Except as otherwise provided in the Article herein entitled "General Provisions," no amendment to the Master Association Documents shall affect the rights of any Mortgagee whose lien was created prior to recordation of such amendment, unless such Mortgagee shall have consented thereto in writing.

Section 4. Amendments to Conform With Mortgagee Requirements. It is the intent of Declarant that the Master Association Documents and the Community in general meet all requirements necessary for FHLMC, FNMA and GNMA to purchase, guarantee, insure or subsidize any Mortgage of a Lot or Condominium in the Community. In furtherance of said intent, Declarant may amend this Master Declaration without the consent of the Members at any time after the Close of Escrow for the first sale of a Lot or Condominium in the Community by recording a written instrument setting forth the amendment, provided that the amendment is necessary to cause this Master Declaration to comply with the requirements of the DRE, FHLMC, FNMA and/or the GNMA; provided, however, that any such amendment shall be effective only if Declarant mails a copy of the amendment to all of the foregoing entities which are, or have agreed to be, a holder, insurer or guarantor of a first Mortgage, and does not, within thirty (30) days thereafter, receive a notice of disapproval from any such entity. Said amendments shall not be recorded by Declarant until after the expiration of such thirty (30) day period.

ARTICLE XVI

ANNEXATION OF ADDITIONAL PROPERTY

Additional property may be annexed to and become subject to this Master Declaration as set forth in this Article.

Section 1. Annexation Pursuant to Approval. Any person or entity who owns any real property (other than the Annexable Property) and who desires to annex said property to the scheme of this Master Declaration and to subject it to the jurisdiction of the Master Association may record a Notice of Annexation, as described in Section 3 of this Article, provided such person or entity shall first obtain the approval in writing of: (a) the Declarant so long as Declarant or any Merchant Builder owns any portion of the Annexable Property; and (b) the Master Association, pursuant to the vote or written assent of Delegates representing at least sixty-seven percent (67%) of the total voting power of the Master Association.

Section 2. Annexation Pursuant to General Plan. Declarant (and any Merchant Builder with Declarant's consent) shall have the right to annex all or any part of the Annexable Property described in Exhibit "B" to this Master Declaration and to add such Annexable Property to the scheme of this Master Declaration so that it will be subjected to the jurisdiction of the Master Association without the assent of the Master Association, provided and on condition that:

(a) The development of the Annexable Property shall be in substantial conformance with the overall general plan of development for the Community originally submitted to and approved by the Public Agencies; and

(b) A Notice of Annexation, as described in Section 3 of this Article, shall be recorded covering the applicable portion of the Annexable Property.

Section 3. Notice of Annexation. The annexation of additional property authorized under this Article shall be made by recording a Notice of Annexation, or similar instrument, covering said property. The Notice of Annexation shall include at least the following, as applicable:

(a) A reference to this Master Declaration, which shall include the date of recordation hereof and the instrument number or other relevant recording data of the records of the County Recorder of the County of Orange where this Master Declaration is recorded, together with a statement that this Master Declaration shall apply to the Annexable Property as set forth herein;

(b) A description of the portion of the Annexable Property being annexed (including, as applicable, the legal description of the Lots and/or Condominiums and/or additional Master Association Property);

(c) A depiction of, or other reference to, any additional Maintenance Areas being annexed; and/or

(d) The number or other designation of a new Delegate District which is being formed or the existing Delegate District into which the Annexable Property is being incorporated, if applicable.

A Notice of Annexation may annex solely Master Association Property and/or Maintenance Areas so long as such annexation would not violate the provisions in this Master Declaration regarding increases in Regular Assessments. A Notice of Annexation may contain

such complementary additions to and modifications of the Protective Covenants set forth in this Master Declaration which are necessary to reflect the different character, if any, of the Annexable Property and which are not inconsistent with the general scheme of this Master Declaration. Except as set forth in this Section, no Notice of Annexation shall add, delete, revoke, modify, or otherwise alter the Protective Covenants set forth in this Master Declaration.

Section 4. Parties to Notice of Annexation. For so long as Declarant (or a Merchant Builder with Declarant's consent) has the right to annex all or any portion of the Annexable Property into the Community pursuant to Section 2 above, each Notice of Annexation covering property owned by Declarant shall be executed only by Declarant, and each Notice of Annexation covering property owned by a Merchant Builder must be executed by both the Merchant Builder and Declarant. Declarant's execution of any Notice of Annexation shall evidence Declarant's consent thereto.

Section 5. Effective Date of Annexation. A Notice of Annexation recorded on a subsequent Phase shall become effective immediately upon the first Close of Escrow for the sale of a Lot or Condominium in said Phase, or in the case of an Apartment Area, upon the first occupancy of an Apartment in such Apartment Area. Thereafter, the rights, obligations, privileges, duties and liabilities of the Owners in said Phase shall be governed by this Master Declaration. A Notice of Annexation that annexes only Master Association Property shall become effective concurrently with the recordation of the grant deed conveying such Master Association Property to the Master Association, and a Notice of Annexation that annexes only a Maintenance Area shall become effective immediately upon recordation of such Notice of Annexation.

Section 6. Amendments to a Notice of Annexation. Notwithstanding any other provisions of this Master Declaration to the contrary, a Notice of Annexation may be revoked, amended and/or restated solely by the Declarant (or by a Merchant Builder with Declarant's consent) prior to such Notice of Annexation becoming effective as provided in Section 5 above. Thereafter, a Notice of Annexation may be amended by the Delegate for such Delegate District upon the vote or written consent of a majority of a quorum of the Members (and first Mortgagees, if applicable) in only such Phase, rather than by the Delegates casting affirmative votes or giving written consent on behalf of a majority of all Members of the Master Association (and first Mortgagees, if applicable) in the Community on the following conditions:

(a) Such amendment applies only to the Annexable Property described in said Notice of Annexation; and

(b) Such amendment shall in no way contradict, revoke or otherwise alter any of the Protective Covenants set forth in this Master Declaration.

Section 7. Right of Revocation and Deannexation. Declarant (and each Merchant Builder with Declarant's consent) shall have the right to revoke a Notice of Annexation and de-annex a Phase that was previously annexed into the Community so as to delete said Phase from the scheme of this Master Declaration and from the jurisdiction of the Master Association, provided and on condition that each and all of the following conditions are satisfied: (i) no escrow has closed for the sale of a Lot or Condominium in the Phase being deannexed; (ii) Declarant has not exercised any vote attributable to any Lot or Condominium in the Phase being deannexed; (iii) Assessments have not commenced as to any Lot or Condominium in the Phase being deannexed; (iv) no Master Association Property in the Phase being deannexed has been conveyed to the Master Association; and (v) a Notice of De-annexation is executed by Declarant (and the Merchant Builder, if applicable) and recorded with the County Recorder. Additionally, the Master Association shall have the right to deannex any portion of the Master Association Property which it owns so as to delete said portion from the scheme of this Master Declaration and from the jurisdiction of the Master Association in furtherance of a conveyance of such portion of the Master Association Property pursuant to Section 2 of Article III of this Master Declaration.

ARTICLE XVII

ENFORCEMENT OF BONDED OBLIGATIONS

Section 1. Enforcement of Bonded Obligations. In the event that the Improvements to the Master Association Property have not been completed prior to the issuance of a Final Subdivision Public Report by the DRE for a Phase of the Community, and the Master Association is obligee under a bond or other arrangement (hereinafter referred to as the "Bond") to secure the performance of a commitment by Declarant or a Merchant Builder to complete such Improvements, the following provisions shall apply:

(a) Board Action. The Board shall consider and vote on the question of action by the Master Association to enforce the obligations under the Bond with

respect to any Improvements for which a Notice of Completion has not been filed within sixty (60) days after the completion date specified for such Improvements in the Planned Construction Statement appended to the Bond. If the Master Association has given an extension in writing for the completion of any Master Association Property, the Board shall consider and vote on the aforesaid question if a Notice of Completion has not been filed within thirty (30) days after the expiration of such extension.

(b) Meeting of the Delegates. In the event that the Board determines not to initiate action to enforce the obligations under the Bond, or in the event the Board fails to consider and vote on such question as provided above, the Board shall call a special meeting of the Delegates for the purpose of voting to override such decision or such failure to act by the Board. Such meeting shall be called according to the provisions of the Bylaws dealing with meetings of the Delegates, but in any event, such meeting shall be held not less than thirty-five (35) days nor more than forty-five (45) days after receipt by the Board of a petition for such meeting signed by Delegates representing five percent (5%) of the total voting power of the Master Association.

(c) Vote by Delegates. The only Delegates entitled to vote at such meeting shall be Delegates representing Members, other than Declarant and the Merchant Builders. A vote at such meeting of Delegates representing a majority of the voting power of the Master Association to take action to enforce the obligations under the Bond shall be deemed to be the decision of the Master Association, and the Board shall thereafter implement such decision by initiating and pursuing appropriate action in the name of the Master Association.

ARTICLE XVIII

APARTMENT AREAS

Section 1. Application of Master Association Documents to Apartment Areas. Those portions of the Annexable Property that constitute Apartment Areas may be annexed into the Community. Except as otherwise provided in this Article, the Notice of Annexation shall automatically become effective concurrently with the first occupancy of an

Apartment in such Apartment Area, and thereafter, such Apartment Area shall be subject to the provisions of this Master Declaration and to the jurisdiction of the Master Association as provided herein. Due to the multi-family character of an Apartment Area, the provisions of this Article are intended to supplement and clarify the provisions of this Master Declaration as such provisions apply to an Apartment Area. In the event of a conflict between the provisions of this Article and any other provisions of this Master Declaration pertaining to Apartment Areas, the provisions of this Article shall control.

(a) Membership in the Master Association. At such time as the annexation of an Apartment Area into the Community becomes effective as provided above, the Merchant Builder who developed such Apartment Area shall automatically become an "Owner" and a "Member" of the Master Association as defined in Article I hereinabove and shall be entitled to all of the rights and subject to all of the obligations of an Owner and Member as set forth in the Master Association Documents.

(b) Voting Rights. Subject to the Declarant's and Merchant Builder's Class B voting rights as set forth in the Article herein entitled "The Master Association," the Owner of an Apartment Area that has been annexed into the Community shall be entitled to one (1) vote for every three (3) Apartments (or fraction thereof) located within such Apartment Area. (For example, the Owner of an Apartment Area consisting of fifty [50] Apartments would be entitled to seventeen [17] votes for such Apartments.) The voting rights attributable to Apartments commence concurrently with the levy of Assessments by the Master Association against the Apartments in such Apartment Area.

(c) Assessments. The Owner of an Apartment Area that has been annexed into the Community shall be obligated to pay Assessments (other than Compliance Assessments) on the basis of one (1) Assessment for every three (3) Apartments (or fraction thereof) within such Apartment Area. (For example, the Owner of an Apartment Area consisting of fifty [50] Apartments would be obligated to pay seventeen [17] Assessments for such Apartments.) Except as otherwise provided below, Assessments shall commence as to all of the Apartments in the Apartment Area upon the first occupancy of an Apartment in the Apartment Area.

Compliance Assessments may be levied by the Board on an individual Apartment basis depending upon the circumstances giving rise to the levy of such Compliance Assessment, at the discretion of the Board.

(d) Annexation of an Apartment Area in Phases. Although a Merchant Builder who developed an Apartment Area may annex the entire Apartment Area into the Community by recording a Notice of Annexation on the entire Apartment Area, the Assessments and voting rights attributable to the Apartments within such Apartment Area may commence in phases. If so indicated in the Notice of Annexation recorded on an Apartment Area, the Owner's obligation to pay Assessments and right to vote shall commence on an Apartment Building by Apartment Building basis and shall commence as to each Apartment Building on the first day of the month immediately following the satisfaction of both of the following conditions: (i) construction of the Apartment Building is substantially complete and one or more Apartments within such Building has been approved by the City for occupancy, and (ii) a tenant or lessee has taken occupancy of an approved Apartment in such Building.

(e) Delegate District. Each Apartment Area shall constitute a separate Delegate District; however, Declarant may, at its discretion, combine Apartment Areas owned by the same Owner into one or more Delegate Districts. The Owner of such Apartment Area may appoint the Delegate and Alternate Delegate to represent such Owner and cast the votes attributable to the Apartments in such Apartment Area.

(f) Rental Operations. Notwithstanding any other provisions in the Master Association Documents to the contrary, the Owner of an Apartment Area may maintain and operate a rental or leasing office, model complex and may place reasonable signs and banners on such Apartment Area advertising Apartments for rent or lease.

(g) Delegation of Use. Subject to the provisions of the Master Association Documents, the Owner of an Apartment Area may delegate its rights of use and enjoyment in and to the Master Association Property to its tenants and lessees during the term of their tenancy, and such tenants and lessees may further delegate

their rights of use and enjoyment to the members of their respective families and their guests and invitees during the term of their tenancy.

(h) Apartment Area Rules and Regulations. The Owner of an Apartment Area may establish additional rules and regulations that are applicable only to the residents of the Apartments. Such additional rules and regulations may address, among other things, the parking of vehicles within the Apartment Area, the storage and pick-up of trash, the keeping of animals in an Apartment, the use of any recreational amenities within the Apartment Area, and the prevention of noise and other disturbances. Such rules and regulations may supplement and/or create more restrictive provisions than the provisions of the Master Association Documents, but in no event shall such rules and regulations contravene the provisions of the Master Association Documents such that the rules and regulations applicable to the residents in the Apartment Area would be less restrictive than the provisions of the Master Association Documents. In the event of a conflict between any such rules and regulations and the Master Association Documents, the Master Association Documents shall control.

(i) Design Review. The Merchant Builder of an Apartment Area shall be exempt from all of the provisions set forth in the Article herein entitled "Design Review" as to the original design, development and construction of the Apartment Buildings and related Improvements to such Apartment Area. At such time as at least one (1) Apartment in each Apartment Building within such Apartment Area has been occupied, any external Improvements to such Apartment Area which would be visible outside such Apartment Area (e.g., exterior structural modifications to an Apartment Building, changes in the roof material of an Apartment Building, changes in the exterior color scheme of an Apartment Building, etc.) shall be subject to the prior approval of the Design Review Committee in accordance with the provisions of the Article herein entitled "Design Review."

(j) Use of Amenities in an Apartment Area. Any recreational amenities located within an Apartment Area shall be available for use solely by the residents of the Apartment Area and their guests and invitees subject to the rules and regulations established by the Owner of the Apartment Area and shall not be

available for use by other Owners and residents within the overall Woodbury Community.

ARTICLE XIX

GENERAL PROVISIONS

Section 1. General Rights of Enforcement.

(a) Enforcement of Protective Covenants. The Declarant, each Merchant Builder, the Master Association, each Sub-Association and/or any Owner of a Lot or Condominium in the Community shall have the right to enforce, by proceedings at law or in equity, all of the Protective Covenants now or hereafter imposed by this Master Declaration and the provisions of the other Master Association Documents, including, without limitation, the right to prosecute a proceeding, at law or in equity, against the person or persons who have violated, or are attempting to violate, any of said Protective Covenants and/or provisions, to enjoin or prevent them from doing so, to cause said violation to be remedied and/or to recover damages for said violation.

(b) Nuisance. The result of every act or omission whereby any of the Protective Covenants contained in this Master Declaration or the provisions of the Master Association Documents are violated, in whole or in part, is hereby declared to be and constitutes a nuisance, and every remedy allowed by law or equity against a nuisance shall be applicable against every such result and may be exercised by Declarant, any Merchant Builder, any Owner, the Master Association, any Sub-Association and their respective successors in interest.

(c) Cumulative Remedies. The remedies herein provided for breach of the Protective Covenants contained in this Master Declaration or the provisions of the Master Association Documents shall be deemed cumulative, and none of such remedies shall be deemed exclusive.

(d) Waiver. The failure of Declarant, any Merchant Builder, the Master Association, any Sub-Association and/or any Owner to enforce any of the Protective Covenants contained in this Master Declaration or the provisions of the Master Association Documents shall not constitute a waiver of the right to enforce the same thereafter.

(e) Non-Impairment of Mortgages. A breach of the Protective Covenants contained in this Master Declaration or of the provisions of the Master Association Documents shall not affect or impair the lien or charge of any bona fide Mortgage made in good faith and for value on any portion of the Community (including, but not limited to, any Lot or Condominium); provided, however, that any subsequent Owner of such property shall be bound by said Protective Covenants, whether or not such Owner's title was acquired by foreclosure, a trustee's sale or otherwise.

(f) Discipline: Non-Payment of Assessments. The Board, for and on behalf of the Master Association, may, after Notice and Hearing, assess monetary penalties against an Owner as a Compliance Assessment and/or temporarily suspend the voting rights attributable to the Owner's Lot or Condominium and right to use any common recreational amenities located on the Master Association Property for the period during which any Assessment against said Owner's Lot or Condominium remains unpaid.

(g) Discipline: Violation of Master Association Documents. The Board, for and on behalf of the Master Association, may, after Notice and Hearing, assess monetary penalties against an Owner as a Compliance Assessment, temporarily suspend the voting rights attributable to the Owner's Lot or Condominium, and/or and temporarily suspend the Owner's right to use the common recreational amenities located on the Master Association Property, for a period not to exceed thirty (30) days for any violation of the Master Association Documents by such Owner or by any person to whom such Owner has delegated his rights to use the Master Association Property as provided herein.

(h) Rights of Public Agencies. In addition to the above general rights of enforcement, the Public Agencies shall have the right, through their agents and employees, to enter upon any part of the Community for the purpose of enforcing the California Vehicle Code and their local ordinances, and are hereby granted an easement over the Community for that purpose.

Section 2. Enforcement by Third Party Beneficiaries.

(a) Enforcement by the City. The City is hereby designated as an intended third party beneficiary of this Master Declaration and shall have the right, but not the obligation, to enforce those provisions of this Master Declaration which were imposed by the City as a condition of approval for the development of any portion of the Community, (including, but not limited to, building and zoning codes). If, in its sole discretion, the City shall deem it necessary to take legal action to enforce such provisions against the Master Association, a Sub-Association or any Owner or other resident, and shall prevail in such action, the City shall be entitled to recover the full cost of said action, including its reasonable attorneys' fees.

(b) Enforcement by the Regional Water Quality Control Board. The Regional Water Quality Control Board ("RWQCB") is hereby designated as an intended third party beneficiary for the purpose of monitoring compliance by the Master Association, a Sub-Association and the Owners and other residents within the Community with the Best Management Practices, and for the purpose of enforcing compliance with the Best Management Practices. The RWQCB shall have the right, but not the obligation, to monitor compliance by the Master Association, a Sub-Association and the Owners and other residents in the Community with the Best Management Practices, and to enforce compliance therewith. If, in its sole discretion, the RWQCB shall deem it necessary to take legal action to enforce such compliance, and shall prevail in such action, the RWQCB shall be entitled to recover the full cost of said action, including its reasonable attorneys' fees.

Section 3. Owner's Indemnification Obligation After the Close of Escrow.

Each Owner of a Lot or Condominium in the Community shall indemnify, defend with counsel approved by Declarant and hold harmless Declarant, its parent company and their subsidiaries, divisions and related entities, the Master Association, each Merchant Builder, and all of their respective employees, officers, directors, shareholders, agents, representatives and professional consultants and all of their respective successors and assigns (collectively the "Indemnitees") from and against any and all damages, injuries, accidents and other casualties, claims, losses, liabilities, costs and expenses (including actual attorneys' fees) of any kind or character, whether incurred, directly or indirectly, by such Owner, any member of such Owner's family, or such

Owner's employees, agents, independent contractors or invitees (collectively the "Owner's Representatives"), by any of the Indemnitees, or by any third party, arising from or in any way related to any work, act, activity or other event on such Owner's Lot or Condominium, or by such Owner or any of such Owner's Representatives, which (i) is in breach or violation of any present or future federal, state or local laws (whether under common law, statute, rule, regulation or otherwise), permits, orders or any other requirements of governmental authorities relating to the environment or the protection of the environment (collectively the "Environmental Laws"), (ii) results or is likely to result in the violation or breach of any such Environmental Law on or affecting any portion of the Community or Annexable Property owned by Declarant or any portion of the Master Association Property owned by the Master Association (e.g., discharge of any hazardous material into any drainage device), or (iii) is in breach or violation of any provision of the Master Association Documents relating to the Best Management Practices or hazardous materials. Payment shall not be a condition precedent to the enforcement of the provisions of this Section.

Section 4. Severability. Invalidation of any one of the Protective Covenants by judgment or court order shall in no way affect any other Protective Covenant herein, which shall remain in full force and effect.

Section 5. Term. The Protective Covenants set forth in this Master Declaration shall run with the Community, and shall be binding upon and inure to the benefit of Declarant, each Merchant Builder, the Master Association, each Sub-Association and all Owners of any land subject to this Master Declaration, their respective legal representatives, heirs, successors, assigns and grantees, for a term of sixty (60) years from the date this Master Declaration is recorded, after which time said Protective Covenants shall be automatically extended for successive periods of ten (10) years, unless an instrument meeting the requirements for amendment to this Master Declaration, as set forth in Section 7 below, has been signed and recorded within one (1) year prior to the termination of the initial sixty (60) year term or within one (1) year prior to the termination of any successive ten (10) year period.

Section 6. Construction. The provisions of this Master Declaration shall be liberally construed to effectuate its purpose of creating a uniform plan for the development and maintenance of the Community. The Article and Section headings have been inserted for

convenience only and shall not be considered or referred to in resolving questions of interpretation or construction.

Section 7. Singular Includes Plural. Whenever the context of this Master Declaration may so require, the singular shall include the plural, and the masculine shall include the feminine and neuter.

Section 8. Amendments.

(a) Amendments by Declarant.

(1) Prior to the First Close of Escrow. Prior to the first Close of Escrow for the sale of a Lot or Condominium in this first Phase of the Community, this Master Declaration may be amended, restated and/or revoked by an appropriate instrument executed solely by Declarant (and Lennar as the Owner of the Property) and recorded in the Official Records of Orange County, California.

(2) After the First Close of Escrow. After the first Close of Escrow for the sale of a Lot or Condominium in this first Phase of the Community, Declarant may unilaterally amend this Master Declaration by recording in the Official Records of Orange County, California, an appropriate instrument executed solely by Declarant so long as such amendment is solely for any of the following purposes: (i) to conform this Master Declaration to applicable law; (ii) to conform this Master Declaration to any requirements of the DRE, FNMA, FHLMC and/or GNMA, or to any condition of approval for the development of the Community imposed by a Public Agency; (iii) to correct typographical errors; (iv) to correct an error in any Exhibit or to cause an Exhibit to conform to as-built conditions; and/or (v) to place of public record a copy of the final Woodbury Master Maintenance Exhibit.

(b) Amendments by the Board. After the first Close of Escrow for the sale of a Condominium in this first Phase of the Community, the Board may amend this Master Declaration by recording in the Official Records of Orange County, California, an appropriate instrument executed by two (2) officers of the Master Association if such amendment is solely for any of the following purposes: (i) to conform this Master Declaration to applicable law; (ii) to conform this Master

Declaration to any requirements of the DRE, FNMA, FHLMC and/or GNMA; (iii) to correct typographical errors; (iv) to correct an error in any Exhibit or to cause an Exhibit to conform to as-built conditions; and/or (v) to place of public record a copy of the final Woodbury Master Maintenance Exhibit.

(c) Amendments by the Master Association.

(1) Material Amendments. Subject to the provisions of subsections (a)(2) and (b) above, after the first Close of an Escrow for the sale of a Lot or Condominium in this first Phase of the Community, any revocation or "material" amendment of the Master Declaration (i.e., an amendment which pertains to any of the topics enumerated in the Article herein entitled "Mortgagee Protection," but which is not required solely to comply with any regulation or requirement imposed by the DRE, FNMA, FHLMC and/or GNMA), may only be adopted in accordance with the voting procedures for material amendments set forth in the Article herein entitled "Mortgagee Protection."

(2) Non-Material Amendments. Subject to the provisions of subsections (a)(2) and (b) above, after the first Close of Escrow for the sale of a Lot or Condominium in this first Phase of the Community, any non-material amendment (i.e., an amendment which does not pertain to any of the topics enumerated in the Article herein entitled "Mortgagee Protection") shall be adopted if, at a meeting of the Delegates at which a quorum was established (or by action of the Delegates without a meeting), such amendment is approved by Delegates casting affirmative votes representing at least sixty-seven percent (67%) of both classes of the Membership. At such time when the Class B Membership shall cease and be converted to Class A Membership all non-material amendments shall be adopted if, at a meeting of the Delegates at which a quorum was established (or by action of the Delegates without a meeting), such amendment is approved by Delegates casting affirmative votes representing at least sixty-seven percent (67%) of the total voting power of the Master Association and by Delegates representing at least sixty-seven percent of the Members (other than Declarant and the Merchant Builders).

In all cases, the percentage of the voting power necessary to amend a specific provision shall not be less than the percentage of affirmative votes prescribed for action to be taken under said provision. Any Owner or the Master Association may petition the Superior Court of Orange County for an order reducing the necessary percentage required under this Section to amend the Master Association Documents. The procedure for effecting this petition is set forth in Section 1356 of the California Civil Code, as the same may be amended from time to time.

Notwithstanding the provisions of this subsection (c), so long as Declarant and/or any Merchant Builder owns any portion of the Community and/or the Annexable Property, the provisions of this Master Declaration regarding the rights and/or easements in favor of Declarant and/or the Merchant Builders may not be amended without the prior written consent of Declarant.

(d) Approval of Mortgagees. In addition to the rights of first Mortgagees to approve a material amendment as enumerated in the Article herein entitled "Mortgagee Protection," in the event the Master Association is considering termination of the legal status of the Community for reasons other than the substantial destruction or condemnation of the Community, then sixty-seven percent (67%) of the first Mortgagees must consent to said termination. Notwithstanding the foregoing, in the event any first Mortgagee receives a written request, delivered by certified or registered mail, with return receipt requested, from the Board to approve any amendment to this Master Declaration, and such first Mortgagee does not deliver a negative response in writing to the Board within thirty (30) days of the mailing of such request by the Board, such first Mortgagee shall be deemed to have approved such proposed amendment and shall be bound thereby.

(e) Approval of a Public Agency. No amendment to this Master Declaration that would revoke or amend any condition of approval or other requirement imposed by a Public Agency in connection with the development of the Community shall be effective without the prior written consent of such Public Agency.

(f) Recordation of Amendments. An amendment made in accordance with the provisions set forth hereinabove shall be effective when executed by the

President and Secretary of the Master Association, who shall certify that the amendment has been approved by the Delegates as provided herein, by the first Mortgagees in the percentages set forth hereinabove, when applicable, and by a Public Agency, when applicable, and recorded in the Office of the County Recorder for Orange County. Upon such recordation, the amendment shall be effective and binding upon all Owners and all Mortgagees, regardless of whether such Owner or such Mortgagee consented to such amendment.

Section 9. Distribution of Documents. All documents required to be delivered to Members by the Master Association shall be delivered in accordance with the provisions of Section 1350.7 of the California Civil Code, which permits delivery to Members by various methods, including, without limitation, the following: (i) personal delivery; (ii) first-class mail, postage prepaid, addressed to the Member at the address last shown on the books of the Master Association or as otherwise provided by the Member (delivery deemed complete on deposit in the mail); (iii) e-mail, facsimile or other electronic means, if the Member has agreed to that method of delivery (delivery deemed complete at time of transmission); or (iv) any other method of delivery that the Member has agreed to. In all cases, a document may be included in or delivered with a billing statement, newsletter or other document that is delivered in accordance with Section 1350.7

Section 10. Notices. Any notice permitted or required to be delivered as provided herein shall be in writing and may be delivered either personally or by mail. If delivery is made by registered or certified mail, it shall be deemed to have been delivered forty-eight (48) hours after a copy of the same has been deposited in the United States mail, postage prepaid, addressed to any person at the address given by such person to the Master Association for the purpose of service of such notice, or to the Lot or Condominium of such person if no address has been given to the Master Association. If such notice is not sent by registered or certified mail, it shall be deemed to have been delivered when received. Such address may be changed, from time to time, by notice in writing to the Master Association.

Section 11. Attorneys' Fees. If any Owner defaults in paying any Assessment or in the performance or observance of any provision of the Master Association Documents, and the Master Association has engaged the services of an attorney in connection therewith, the Owner shall pay upon demand all costs and fees incurred by the Master

Association, including reasonable attorneys' fees, regardless of whether legal proceedings are instituted. In the event the Master Association commences an action against such defaulting Owner, the prevailing party shall be entitled to recover the cost of the suit, in addition to the aforesaid costs and fees.

Section 12. Conflicts in Master Association Documents. In the event of any conflict between and/or among the provisions of any of the Master Association Documents for the Community, this Master Declaration shall be deemed to supersede the provisions of any conflicting Master Associate Documents, including, without limitation, the Articles, the Bylaws, and Design Guidelines. Additionally, in the event of any conflict between or among the provisions of the Master Association Documents and the provisions of any Sub-Association Documents, the Master Association Documents shall control.

Section 13. Exhibits. All Exhibits attached hereto (or to a Notice of Annexation recorded for a subsequent Phase of the Community) are hereby incorporated herein (or therein, as the case may be) by this reference. All dimensions set forth on an Exhibit (including any exhibits and/or depictions on file with the property manager for the Community) are approximations only and are intended for illustrative purposes only. In the event of a conflict between any Exhibit or other depiction and the actual as-built condition, the as-built condition shall control.

Section 14. Additional Provisions. Notwithstanding the provisions set forth in this Master Declaration, various laws (including, but not limited to, the Davis-Stirling Common Interest Development Act, Section 1350 et seq. of the California Civil Code, and the Federal Fair Housing Act, Title 42 United States Code Section 3601 et seq., as such laws may be amended from time to time), may supplement or override the provisions of this Master Declaration. This Master Declaration shall be interpreted and construed to be consistent with such applicable laws, as same may be amended from time to time, and accordingly, neither Declarant nor any Merchant Builder makes any representations or warranties regarding the future enforceability of the provisions of this Master Declaration.

IN WITNESS WHEREOF, Declarant has executed this Master Declaration on the day and year first written above.

"DECLARANT"

IRVINE COMMUNITY DEVELOPMENT
COMPANY LLC, a Delaware limited liability
company

BY: *Gary H. Luque*
GARY H. LUQUE
Vice President

Its:

BY: *Michele R. Leondis*
Michele R. Leondis
Assistant Secretary

Its:

STATE OF CALIFORNIA)

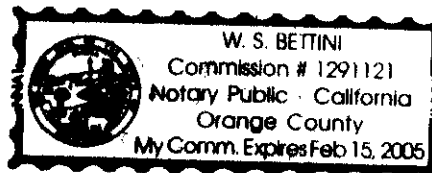
) ss.

COUNTY OF ORANGE)

On August 27, 2004, before me, W.S. Bettini,
the undersigned, a Notary Public in and for said State, personally appeared
Gary H. Luque and Michele R. Leondis personally known to me
(or proved to me on the basis of satisfactory evidence) to be the person(s) whose name(s) is/are
subscribed to the within instrument and acknowledged to me that he/she/they executed the same
in his/her/their authorized capacity(ies), and that by his/her/their signature(s) on the instrument
the person(s) or the entity upon behalf of which the person(s) acted, executed the instrument.

WITNESS my hand and official seal.

W. S. Bettini
Signature of Notary Public



(SEAL)

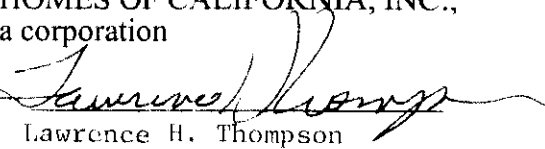
CONSENT OF MERCHANT BUILDER

The undersigned Merchant Builder hereby consents to the recordation of this "Master Declaration of Covenants, Conditions and Restrictions, and Reservation of Easements for Woodbury" (the "Master Declaration") on that certain real property owned by the undersigned which is more particularly described on Exhibit "A" to the Master Declaration, and agrees that the Protective Covenants set forth in the Master Declaration shall run with said real property, and shall be binding upon the undersigned and its successors, assigns and grantees.

Dated: August 27, 2004

"MERCHANT BUILDER"

LENNAR HOMES OF CALIFORNIA, INC.,
a California corporation

By: 

Lawrence H. Thompson

Its: Vice President

By: _____

Its: _____

**CONSENT OF LIENHOLDER AND
SUBORDINATION OF LIEN**

The undersigned beneficiary under that certain Deed of Trust recorded on July 1, 2004 as Instrument No. 2004000603714 in the Official Records of Orange County, California, agrees that the lien of the Deed of Trust shall be junior and subordinate and subject to the attached Notice of Annexation to Woodbury as to the real property described therein.

DATED: August 27, 2004

"LIENHOLDER"

IRVINE COMMUNITY DEVELOPMENT
COMPANY LLC, a Delaware limited liability
company

By:

Gary H. Luque
Its: GARY H. LUQUE

Vice President

By:

Michele R. Leondis
Its: Michele R. Leondis

Assistant Secretary

STATE OF CALIFORNIA)

) ss.

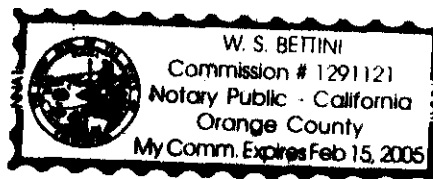
COUNTY OF ORANGE)

On August 27, 2004, before me, W. S. Bettini, the undersigned, a Notary Public in and for said State, personally appeared Gary H. Luque and Michele R. Leondis, personally known to me (or proved to me on the basis of satisfactory evidence) to be the persons(s) whose name(s) ~~is/are~~ subscribed to the within instrument and acknowledged to me that ~~he/she/they~~ executed the same in ~~his/her/their~~ authorized capacity(ies), and that by ~~his/her/their~~ signature(s) on the instrument the person(s), or the entity upon behalf of which the person(s) acted, executed the instrument.

WITNESS my hand and official seal.

W. S. Bettini

Signature of Notary Public



(SEAL)

Government Code 27361.7

I certify under the penalty of perjury that the notary seal on this document read as follows:

Name of Notary: W. S. BETTINI
Date Commission Expires: FEB 15, 2005
County where bond is Filed: ORANGE COUNTY
Commission No.: 1291121
Manufacturer/Vendor No.: N N A 1

Place of execution - Newport Beach

Date - August 31, 2004



FIDELITY NATIONAL TITLE COMPANY

Government Code 27361.7

I certify under the penalty of perjury that the notary seal on this document read as follows:

Name of Notary: M. SUE RUDOLPH
Date Commission Expires: FEB 9, 2005
County where bond is Filed: ORANGE COUNTY
Commission No.: 1290486
Manufacturer/Vendor No.: N N A 1

Place of execution - Newport Beach

Date - August 31, 2004



FIDELITY NATIONAL TITLE COMPANY

EXHIBIT "A"

LEGAL DESCRIPTION OF THE PROPERTY

The Property shall mean and refer to that certain real property located in the City of Irvine, the County of Orange, State of California, more particularly described as follows:

Lots 126 through 136, inclusive, and Lots 168 through 170, inclusive, of Tract 16495 as shown on a map recorded in Book 856, Pages 10 through 29, inclusive, of Miscellaneous Maps in the office of the County Recorder for Orange County, California.

EXHIBIT “B”

LEGAL DESCRIPTION OF THE ANNEXABLE PROPERTY

The Annexable Property shall mean and refer to all of that certain real property located in the City of Irvine, County of Orange, State of California, more particularly described as follows:

All of the real property shown and described on the map of Tract 16495 recorded in the Book 856, Pages 10 through 29, inclusive, of Miscellaneous Maps in the office of the County Recorded for said County;

All of the real property shown and described on the map of Tract 16577 recorded in the Book 857, Pages 26 through 43, inclusive, of Miscellaneous Maps in the office of the County Recorded for said County;

All of that certain real property shown and described on a map of Tract 16755 on file with the City of Irvine;

and

All of the real property shown and described on Tentative Tract 16339 on file with the City of Irvine.

All of the Annexable Property is generally shown and depicted on ***page 2*** of this Exhibit “B”.

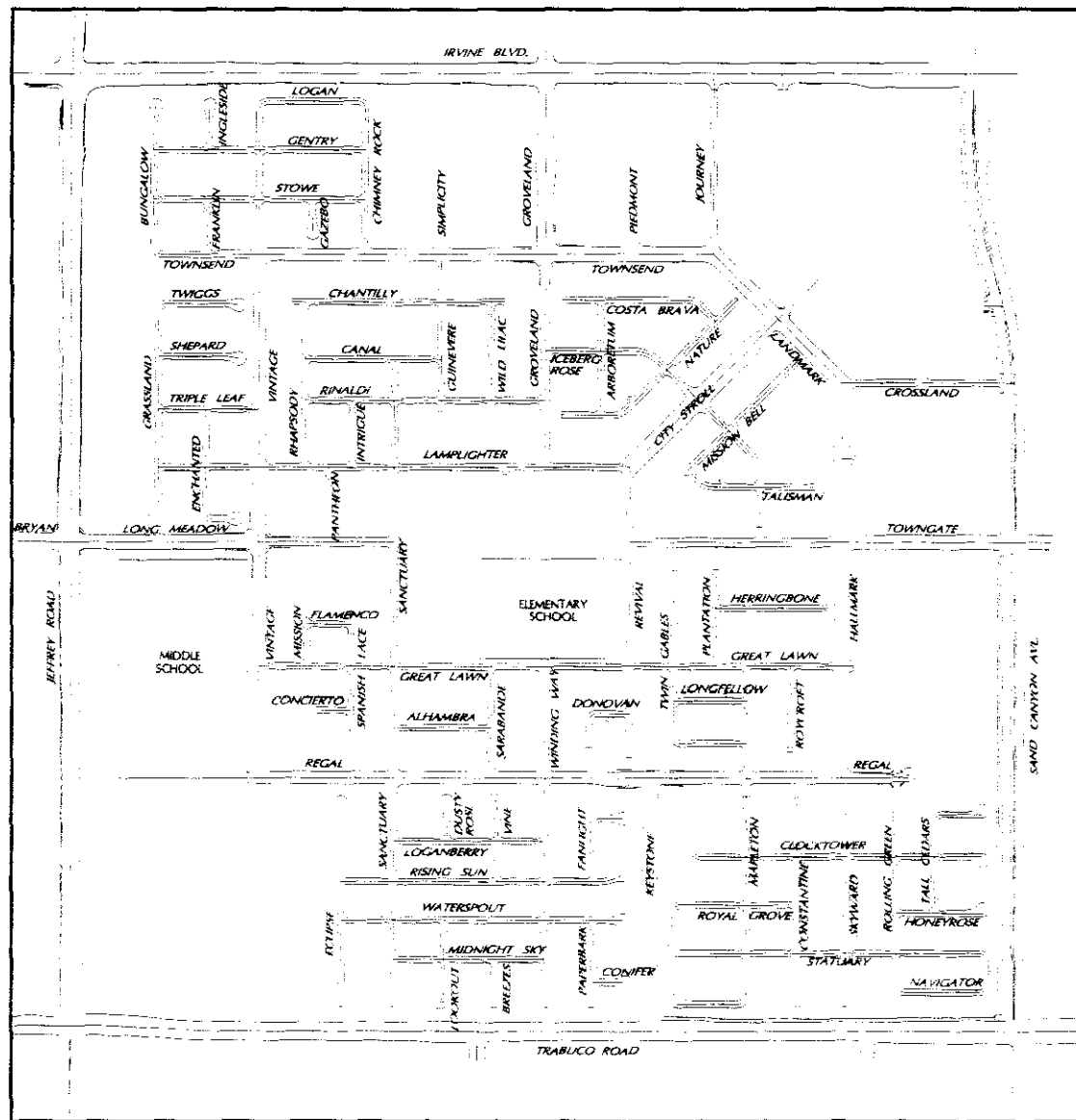


EXHIBIT "B"
ANNEXABLE PROPERTY
AUGUST 2004

PAGE 2 OF 2

Bold perimeter line depicts boundary of Annexable Property

\\c:\d984-2\lms\04\ANNEXABLE\GreenHomes.dwg

EXHIBIT "MAP"

LEGAL DESCRIPTION AND/OR DEPICTION OF THE MASTER ASSOCIATION PROPERTY IN THIS FIRST PHASE OF THE COMMUNITY

The Master Association Property included in this first Phase of the Community shall mean and refer to that certain real property located in the City of Irvine, County of Orange, State of California, more particularly described as follows:

Lot 185 of Tract 16495 as shown on a map recorded in Book 856,
Pages 10 through 29, inclusive, of Miscellaneous Maps in the office
of the County Recorder for Orange County, California.

State of California)

) ss.

County of Orange)

On September 8, 2004 before me, W. S. Bettini, Notary Public,

personally appeared Gary H. Luque and Michele R. Leondis,

personally known to me to be the persons whose names are subscribed to the within

instrument and acknowledged to me that they executed the same in their authorized

capacities, and that by their signatures on the instrument the persons, or the entity upon

behalf of which the persons acted, executed the instrument.

WITNESS my hand and official seal.



W. S. Bettini

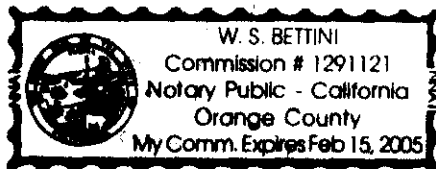
State of California)

) ss.

County of Orange)

On September 8, 2004 before me, W. S. Bettini, Notary Public,
personally appeared Gary H. Luque and Michele R. Leondis,
personally known to me to be the persons whose names are subscribed to the within
instrument and acknowledged to me that they executed the same in their authorized
capacities, and that by their signatures on the instrument the persons, or the entity upon
behalf of which the persons acted, executed the instrument.

WITNESS my hand and official seal.



A handwritten signature in cursive script, reading "W. S. Bettini", written over a horizontal line.

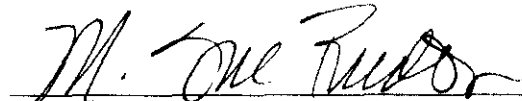
STATE OF CALIFORNIA)

SS.

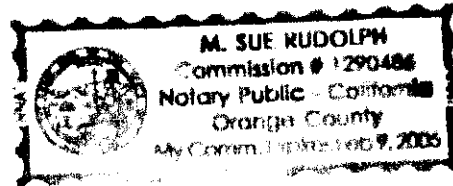
COUNTY OF ORANGE)

On September 8, 2004, before me, M. Sue Rudolph personally appeared Lawrence H. Thompson, personally known to me to be the person whose name is subscribed to the within instrument and acknowledged to me that he executed the same in his authorized capacity and that by his signature on the instrument the person, or the entity upon behalf of which the person acted, executed the instrument.

WITNESS my hand and official seal.



Notary Public in and for said State



NOTARY: M. SUE RUDOLPH
TELEPHONE #: 949/349-8205
COMMISSION #: 1290486
COUNTY: ORANGE COUNTY
COMM. EXPIRES: FEB. 9, 2005